UPSC CSE Mains 2027 · GS Paper II

# GOVERNANCE

Civil services · RTI · Corruption · Lokpal · E-governance · Civil society · CAG · Regulators

**Handwritten-style notes**

Built from the Sarrthi IAS GS-2 Governance handouts (Modules 1-5).
Bracket trees · diagrams · mnemonics · PYQ tags · current affairs
Right column and left binding margin are kept blank for your own use.

Personal study edition · for printing

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# START HERE: GOVERNANCE (GS-2)

✎ *Four modules, 30 topics. Read once with a pen. Use the right column for your own current affairs and value additions. Before a test, cover the recall drill at the end of each chapter.*

Source and rule: only the Sarrthi IAS GS-2 Governance handouts (Modules 1–4). No class slides were supplied, so no teacher-ink forecast. Mains PYQs only (2013–2026), no Prelims PYQ. Priority: High = 2+ PYQs, Medium = 1 or partial, Low = none quoted. ⭐

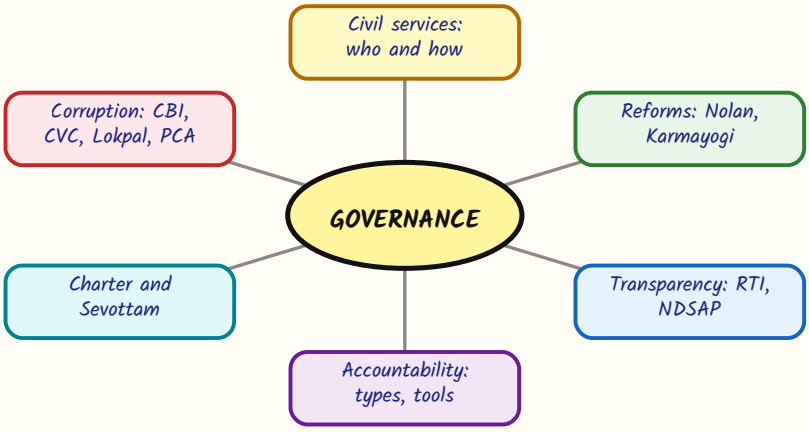
| Box | Means |
|---|---|
| Pink | teacher's point / handout flag |
| Yellow | trap or rule for the exam hall |
| Green | ready conclusion |
| Blue dashed | definition |
| Navy | current affairs (verify dates) |

## PRIORITY MAP: what to read first

| Priority | Topics (handout order) |
|---|---|
| HIGH | 8 Reforms + Nolan (2017, 2020) · 12 Citizen's Charter + Sevottam (2024, 2018, 2013) · 15 Corruption (2016, 2019, 2014) · 19 Whistleblower + PCA (2015, 2022) · 22 E-governance (8 PYQs) · 25 Civil society + NGOs (5) · 26 FCRA + donors (3) · 27 SHGs (6) · 28 Pressure groups (6) · 29 CAG (2018, 2016) |
| MEDIUM | 2 Lateral entry (2014) · 4 Six roles (2017) · 9 Karmayogi (2020) · 11 Accountability (2016*) · 13–14 RTI + CIC (2020) · 16 Social audit (2021, 2016*) · 17 CBI + CVC (2021*) · 18 Lokpal (2013) · 24 Emerging tech (2020*) |
| LOW | 1 PSCs · 3 AIS · 5 Performance · 6 Bureaucracy · 7 Pay / 8th CPC · 10 Transparency · 20 Governance and good governance · 21 Participation + local government · 23 Data protection + cyber |

Lokpal: Bill → Act → body. First Bill introduced 1968; present Bill passed 2013 = Lokpal and Lokayuktas Act, 2013; Lokpal constituted 2019. Mark with * a partial PYQ fit.

## SIX THEMES TO TIE EVERY ANSWER TO




Answer skeleton: Intro (definition or a number) → Body (one approach: roles / problems / reforms / way forward) → Way forward (a named reform: Karmayogi, Sevottam, Lokpal...) → Conclusion ("transparency first, then accountability"). ✅

# PUBLIC SERVICE COMMISSIONS: UPSC & SPSC

PYQ none quoted in the material · Handout MI pp. 3–4

✎ *The Constitution set up independent recruiters for the Centre (UPSC) and the States (SPSCs). They are meant to pick the best on merit, but the shield is thinner than it looks.*

| Article (Part XIV) | Provision |
|---|---|
| 315 | PSCs for Union and States |
| 316 | appointment and term of members |
| 317 | removal and suspension |
| 319 | bar on later office |
| 320 | functions |
| 321 | extend functions |
| 322 | expenses |
| 323 | reports |

**LADDER** — Say it as a ladder: 315 set up → 316 appoint → 317 remove → 319 bar → 320 functions → 321 extend → 322 expenses → 323 report (order kept: it is the Constitution's order). (own mnemonic)

## HISTORY

**1919** GoI Act: for the first time a Federal PSC; provincial PSCs not mandatory (provinces could set up their own by law)

**1924** Lee Commission recommends; FPSC set-up had been delayed

**1926** FPSC finally set up on Lee Commission advice; Sir Ross Barker first Chairman

**1929** Madras: first province to set up a Provincial PSC

**1935** GoI Act: three types: Federal, Provincial, Joint → carried into Art 315

## INDEPENDENCE SAFEGUARDS

**Shield**

- → service conditions cannot be cut after appointment
- → salaries = charged expenditure on Consolidated Fund
- → removal only as the Constitution says
- → post-retirement bar on certain government jobs
- → Convention: seniormost member becomes Chairman → violated in 2015

## ⚠️ PROBLEMS

**👫 UPSC**

→ Deviation from PSC recommendations without adequate reasons: 57 times (1950–84) vs 82 times (1984–88)
→ One-size-fits-all: a common recruitment system may not suit the different needs of various services
→ Art 320(3): its provisions are abused, and three categories of officials (technical, managerial, political) influence it
→ no educational qualification fixed for members
→ Unequal status: regarded as one of the four important constitutional institutions (with EC, CAG, SC), yet UPSC lacks equal status: no separate oath; removal considered relatively easier
→ conflict with the CVC
→ Exam: concerns over structure and duration of exams
→ Negative recruitment policy: focus on eliminating unsuitable candidates rather than finding the most appropriate; archaic or obsolete philosophy of recruitment

**SPSCs**

→ some are centres of corruption
→ poor quality of members
→ blind imitation of UPSC model without considering state-specific requirements
→ compromised independence: may function like subsidiaries of UPSC
→ no formal linkages between UPSC and SPSCs

**UNDONE·A** — UPSC's issues: Unequal status · No qualification · Deviation from advice · One-size-fits-all · Negative recruitment · Exam structure · Abuse of 320(3) (own mnemonic)

## 🔧 REFORM

**🎯 2nd ARC: shorten the exam**

→ Model I: Prelims + Mains together over 2–3 days; Mains marked only above Prelims cut-off; then Interview
→ Model II: shortlist 2–3 × vacancies on Prelims rank; Mains within 2 months, so Mains and Interview start almost together

**👫 1st ARC on PSCs**

→ one SPSC member from outside the state
→ members hold a degree
→ UPSC + SPSC chairmen consulted on SPSC members
→ UPSC Chairman consulted when appointing UPSC members and their successor
→ 2/3 of UPSC members drawn from SPSC chairpersons
→ separate qualifications for official and non-official members

**⚠️ Interview weaknesses**

→ too short
→ desultory chat
→ artificial atmosphere
→ element of luck

→ tendency to reproduce oneself
→ subjectivity and bias.

⚡ Role of UPSC today

→ evolve into a Central Personnel Agency
→ negative → positive recruitment
→ invest more in the psycho-social profile of candidates
→ involve outside experts; become the principal R&D body in civil-service management
→ drop one-size-fits-all

In the news · Saarthi IAS CA, Jul 2026 (verify) Public Examinations (Prevention of Unfair Means) Amendment Act, 2026: amends the 2024 Act; higher penalties; probe in 2 months; trial in 3 months of chargesheet; Court of Session in every State/UT; appeals to a 2-judge HC bench. Link: recruitment integrity (2nd ARC).

## Recall drill: cover and answer

| | | | |
|---|---|---|---|
| Part and Articles for civil services | Part XIV, Arts 308-323 | First PSC and chairman | FPSC 1926, Sir Ross Barker (Lee Commission 1924) |
| First provincial PSC | Madras 1929 | UPSC advice set aside | 57 (1950-84), 82 (1984-88) |
| Convention broken in 2015 | seniormost member as Chairman | Two 2nd ARC exam models | I: together; II: shortlist 2-3× vacancies |

# CIVIL SERVICES: MEANING & LATERAL ENTRY

PYQ Mains 2014 (cadre-based civil services and slow change) · Handout MI pp. 5-7

✎ *"Civil servants" are a narrower group inside "public servants". The closed, cadre-based, generalist system built for the British now needs specialists, so lateral entry is knocking.*

Origin: the East India Company coined "civil services" around 1765 to distinguish combatant from non-combatant personnel; those in commercial or non-combatant roles were civil servants. State = largest employer; ~3% of GDP goes on civil servants.

Civil servants EXCLUDE

→ political executive
→ judiciary
→ defence forces
→ PSU employees
→ but these do come within the wider idea of public servants

Rule: all civil servants are public servants; not all public servants are civil servants.

| Category | Services |
|---|---|
| All India | IAS, IPS, IFoS |
| Central | IRS, ICAS, engineering, health, railway, para-defence (IDES, IDAS, IOFS), Secretariat |
| State | recruited by state |
| Municipal | local bodies |

Groups: the 3rd Pay Commission suggested replacing the names Class 1, 2, 3, 4 with Group A, B, C and D.

**ACSM** — All India · Central · State · Municipal (top to local) (own mnemonic)

## 🎯 A CLOSED "ARISTOCRATIC" SYSTEM PYQ 2014

**💡 Features**

→ sharp divide between grades
→ recruitment in a narrow age band
→ tests general ability only
→ may mirror class preference
→ cadre-based services

**Consequences**

→ conservative, status quoist, non-responsive
→ rule fetishism; placement by rank not competence
→ elitist mindset; obstacles to change

📌 **CORNERS** — A closed system CORNERS the officer: Conservative · Obstacles to change · Rule fetishism · Non-responsive · Elitist · Rank not competence · Status quoist (own mnemonic)

**Why social change is slow**

→ education: society still influenced by traditional religious and social complexes
→ conservative attitudes, esp. towards women
→ limited social and spatial mobility
→ failure of the political system
→ cadre-based services + aristocratic personnel system
→ high poverty

## 👫 GENERALIST vs SPECIALIST

| Generalist | Specialist |
|---|---|
| holistic policy view, inter-department coordination: balances competing demands across sectors (2nd ARC: preserve broad-spectrum orientation while developing domain expertise) | techno-economic complexity: AI, digital finance, climate technology, energy, specialised trade need technical knowledge (NITI Aayog 3-Year Action Agenda 2017-20: economy's complexity made policymaking a specialised activity → recommended lateral entry of specialists) |
| ⚡ grassroots experience: field postings give direct knowledge of local conditions and implementation; career combines field and policy roles at different levels of govt | policy inertia, lack of domain depth: frequent moves across unrelated sectors block deep expertise (2nd ARC: assign officers to specific domains over a career to match skills with senior policy posts) |
| permanence and institutional memory: continuity despite political change (2nd ARC linked better personnel management with professional, accountable administration) | evidence-based policymaking: sector research, technical skills and professional experience (Civil Services Exam Review Committee 2001: move from purely generalist approach; develop core competencies after initial 8-10 years) |
| 📜 political acumen, stakeholder mediation: experience with political executives, legislatures, departments | institutional specialisation: India itself has recognised the need to combine general administration with domain expertise |

⭐ Urgent need for specialisation in broad sectors (financial, infrastructural, social, regulatory) after officers complete 10-12 years of service. Lack of appreciation of the nuances and implications of choices limits their ability to take an informed view and give the right advice to ministers. Modern administration needs both broad coordination and domain knowledge; lateral entry tries to bridge the gap.

## 👫 LATERAL ENTRY (since 1st ARC)

Lateral entry = induction of private-sector specialists into government departments; recommended since the First ARC. 💡

**Why**

→ **Type I error**: wrong person recruited

→ **Type II error**: right person rejected

→ career path of civil servants is largely automatic

→ **reduce conservatism** in civil services

→ IAS (esp.) designed for the pre-reform, dominant State

→ some specialised Union departments need knowledge IAS officers may not gain in state cadre postings

**⚠ Issues**

→ may lack district and field experience

→ may not see govt service as a long-term career

→ difficulty adapting to the government work ecosystem

→ risk: corporates place their own representatives; ruling party places its favourites

→ **top-heavy** administration: overstaffed at top, understaffed in field (fix: remove incompetent or unproductive staff)

→ must also **upgrade skills of permanent civil servants**

**2018**
**10 Joint Secretary** posts advertised; min **10 yrs** experience in notified fields (civil aviation, shipping, commerce, environment); age **below 40**; **3 years, extendable to 5**

**2021**
applications for **31** posts: Joint Secretary, Director, Deputy Director

**Aug 2024**
UPSC advertised **45** posts: 10 Joint Secretaries + 35 Directors/Deputy Secretaries

**Controversy**
criticised for no SC/ST/OBC reservation: single designated posts treated **outside the reservation roster**

**20 Aug 2024**
DoPT asked UPSC to cancel; govt stressed **equity and social justice**; UPSC cancelled the drive

## Recall drill: cover and answer

| | | | |
|---|---|---|---|
| Who coined "civil services", when | East India Company, c. 1765 | Excluded from civil servants | political executive, judiciary, defence, PSUs |
| 3rd Pay Commission change | Class 1–4 → Group A–D | Type I / Type II error | wrong person hired / right person rejected |
| Aug 2024 lateral entry | 45 posts; advert cancelled 20 Aug | | |

# ALL INDIA SERVICES

**PYQ none quoted in the material · Handout M1 pp. 7–9**

✎ *Officers recruited and trained by the Union but serving States. Patel saved them as the "Steel Frame" of unity; states now say they get responsibility without authority.*

**Meaning:** AIS originated under British rule. Officers are **recruited and trained by the Union** but must serve under **both the Centre and the States**.

**1909**
nine AIS

**1924**
four

**1947**
two

**Today**
three: **IAS, IPS, IFoS**

**Provincialisation** = abolishing an AIS; **states then become responsible** for recruiting personnel for that part of administration. **25 cadres**, incl. 2 joint: **AGMUT** (Arunachal, Goa, Mizoram, Union Territories) and **Assam–Meghalaya**.

## 🏛️ CONSTITUENT ASSEMBLY DEBATE

**🧑‍🤝‍🧑 Against**

→ Nehru Committee Report 1928 not keen

→ regional interests seeking more devolution opposed AIS: could extend Centre's influence

→ British policy cut their number

→ Nehru initially not in favour of continuing them

**For: Sardar Patel**

→ retained with constitutional status (Art 312) largely due to his insistence; "Father of AIS"

→ states lacked adequate capacity to recruit such personnel

→ AIS = Steel Frame of unity

→ Note: "Steel Frame" was used by British PM David Lloyd George for the Imperial Civil Service (ICS)

📌 **R R R R** – Service Articles: 309 Recruit · 310 Retain (pleasure) · 311 Remove (safeguards) · 312 Raise AIS; then 16 equal opportunity, 323A tribunals. (own mnemonic)

## SHOULD AIS CONTINUE?

| For (rationale) | Against (states' view) |
|---|---|
| 🗺️ best talent joins; promotes national unity; wholesome influence on the federal system | changing circumstances: unity and integrity not threatened as at Independence; national unity must rest on a stronger foundation than an administrative structure |
| 📜 Union stays in touch with ground realities; states gain a wider national outlook; Centre can act through AIS in emergencies | authority-responsibility mismatch: states have limited control over AIS officers, weakening ministerial responsibility; demoralised state civil services (often second-in-command) |
| 👥 fewer political considerations in recruitment and in appointments to key posts; integrated infrastructure development | 2:1 outsider-to-insider ratio seen as extending central influence; sons of the soil demand for local representation |
| 📜 Centre-State, inter-state and day-to-day central-state bureaucracy coordination (21st-century law-and-order) | Federal concern: AIS is a joint Union-State responsibility, yet it falls under Entry 70, Union List; officers spend most careers in one cadre state, weakening the "wider outlook" claim |

States concede AIS has delivered: recruiting and allocating talent proportionately among states, promoting national unity, a broad national outlook, but raise the concerns on the right. ⭐

| Body | View |
|---|---|
| Rajamannar | disband AIS |
| Sarkaria | disbanding AIS is a retrograde step; strengthen AIS while reducing excessive generalism; regular Centre-State consultation; Advisory Council on AIS headed by Cabinet Secretary; create new AIS: Indian Engineering, Medical & Health, Education |

## 🚪 DISMISSAL AND DISCIPLINE

Doctrine of Pleasure: public job ≠ private contract. Responsive to people, responsible to government; termination subject to constitutional safeguards. 💡

**2nd ARC on Art 311**

→ rising procedural protections made it hard to dismiss even those civil servants who deserved removal

→ recommends repeal of Art 311

→ one comprehensive Civil Services Law

→ define clearly the reasonable opportunities and safeguards against arbitrary dismissal

**Service rules**

→ no political party, funds or elections; may vote, not disclose

→ limits on interaction with the media

→ annual declaration of assets and liabilities; report gifts

→ restrictions on political involvement of immediate family; no adverse criticism of govt

**T.S.R. Subramanian (2013)**

→ minimum tenure in key posts
→ Civil Services Boards for postings/transfers
→ avoid verbal orders
→ comprehensive Civil Services Law.

## Recall drill: cover and answer

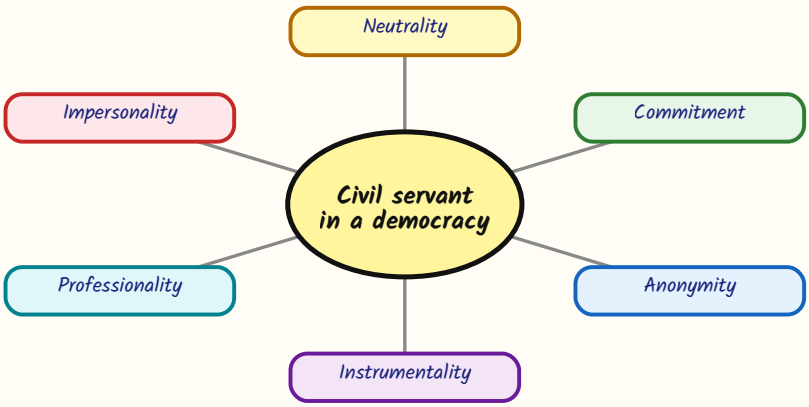
| | | | |
|---|---|---|---|
| AIS count: 1909, 1924, 1947 | 9, 4, 2 | Father of AIS; article | Sardar Patel; Art 312 |
| AGMUT expands as | Arunachal, Goa, Mizoram, Union Territories | Sarkaria on AIS | strengthen; Advisory Council; new AIS |
| T.S.R. Subramanian 2013 | minimum tenure, Civil Services Boards | | |

# ⚖ SIX ROLES OF CIVIL SERVANTS IN A DEMOCRACY ⚖

PYQ Mains 2017 (neutrality and effectiveness) · Handout MI pp. 9-12

✎ *A civil servant must be neutral, committed, anonymous, an instrument of the people, professional and impersonal. Each role has its own pressure point.*

**I PANIC** — Six roles, no sequence (handout order N-C-A-I-P-I): Impersonality · Professionality · Anonymity · Neutrality · Instrumentality · Commitment. A good officer never says "I PANIC". (own mnemonic)




## 🎯 1 · NEUTRALITY PYQ 2017

**Three layers**

→ Class: civil servants mostly come from the middle class, whose mindset often becomes the dominant mindset of the bureaucracy; elite capture of state institutions (example: National Rifle Association, USA) makes neutrality hard
→ Cultural: neutrality on the basis of language, caste, religion, region and other social identities
→ Political: neutral towards all political parties, expressed through 3 confidences ↓

| Confidence of | Meaning |
|---|---|
| People | whichever party the people elect, civil services serve the elected government with diligence, dedication and commitment |

| | |
|---|---|
| 👑 Ministers | irrespective of the ideology of the minister's party, civil servants perform duties with commitment |
| Civil servants | decisions on postings, careers and promotions based on objective merit and rationality, not political affiliation |

Policy vs political neutrality: ministers may lack specialised knowledge of policy and governance, so civil servants advise them on the right course. Political neutrality ≠ policy neutrality: an officer may prefer one policy over another while staying within legality and constitutionality. Involvement in policy = purely intellectual, never emotional. Civil servants must understand politics, not play politics, and must consider the political implications of policies they recommend. ⭐

**⚠️ Problems**

→ a thinking person can never be completely neutral

→ the 4Cs of the political environment (criminalisation, casteism, communalism, corruption) make neutrality difficult

→ parties may demand loyalty instead of encouraging neutrality

→ no complete agreement on fundamentals such as the country's vision and direction (extreme right, extreme left, secular parties)

→ rise of multi-party democracy exposes officers to pressure from different parties at Centre and state.

| Bhaskar Ghose's 3 types | Behaviour |
|---|---|
| Neither Wilt nor Tilt | stand firm, refuse orders that deviate from established policy or law; may face transfers but do not compromise neutrality and honesty |
| Incorrigibly Corrupt | find political godfathers early in their careers and align with political parties |
| Weather Report Readers | shift loyalty with changing political circumstances; adjust positions to suit convenience |

## 2-6 · THE OTHER FIVE

**Commitment**

→ commitment towards: impartial implementation of the rule of law; established code of ethics

→ settled policies; probity; transparency; duty

→ welfare of the Daridra (poorest of the poor)

**Anonymity**

→ works behind the scenes; minister = public face

→ credit for good goes to the minister; in a major failure the minister must also accept responsibility: anonymity goes hand in hand with ministerial responsibility

→ it is the duty of ministers to protect civil servants

→ changing with social accountability mechanisms: social audits, RTI, Citizens' Charters, time-bound public service delivery laws

**Instrumentality**

→ instrument of the people, but a full bureaucracy can become an independent power structure with elitist values

→ Max Weber: once an institution, bureaucracy is among the hardest structures to dismantle

**Professionality**

→ a professional keeps improving knowledge and skills, stays updated, undertakes training; civil service is a profession

→ hindrances: generalists in specialist services · poor training (largely Group A and B; only 1 in 5 can expect formal training; mid-career training absent or inadequate) · weak appraisal (no quantifiable targets) · weak incentives and disincentives: "hire, but no fire" · cadre-based dominance of IAS, limited lateral entry

**Impersonality**

→ don't personalise the post (DC, SP): impersonality = not personalising the position; the job is to discharge its duties faithfully

→ impersonal attitude to superiors, colleagues and juniors; over-personal ties dull objectivity (example: overlooking a friend's corruption)

## CIVIL SERVICES ACTIVISM

Activism = a civil servant takes the role of a crusader to address problems inside and outside government. 💡

**Forms**

→ going to the media; calculated leaks; going to courts

→ whistleblowing = publicly exposing wrongdoing

→ grassroots activism = initiatives that make people's interactions with district administration easier

→ post-retirement: NGOs, civil society organisations, YouTube channels and similar platforms

Lakhina Experiment (Dr. Lakhina, IAS, Ahmednagar, 1980s): officials needed older files but finding them in heaps was hard; he colour-coded files by year, making retrieval easy. Example of grassroots activism. ✅

**⚠️ Issues**

→ may violate civil service rules and set a bad precedent

→ may personalise institutional issues (e.g. targeting the CM personally over corruption)

→ exposes civil services to manipulation by parties and media

→ can erode credibility of public and democratic institutions

Verdict: activism as such cannot be encouraged, but it is a sign of our times. Civil service and electoral reforms, discussed for decades, must be implemented more effectively to ensure an appropriate political class and civil services.

### Recall drill: cover and answer

| | | | |
|---|---|---|---|
| Six roles | neutrality, commitment, anonymity, instrumentality, professionality, impersonality | Three confidences | people, ministers, civil servants |
| Ghose's 3 types | Wilt-Tilt (firm), Incorrigibly Corrupt, Weather Report Readers | Training coverage | only 1 in 5 gets formal training |
| Lakhina Experiment | colour-coded files by year, Ahmednagar 1980s | | |

# WORKING & PERFORMANCE OF CIVIL SERVICES

*PYQ none quoted in the material (2014 cadre PYQ printed here, answer in Ch 2) · Handout MI pp. 12-13*

✎ *Civil servants formulate, implement, evaluate and adjudicate. Regulation is the best-done job; delivery and facilitation are weakest, and political meddling explains much of it.*

**FIEA** — Four functions: Formulate · Implement · Evaluate · Adjudicate (and keep continuity when politics changes). (own mnemonic)

**⚡ Functions**

→ Formulate: principal channel between grassroots and top decision-makers; give ministers facts and figures, court judgments, laws; technical considerations; policy advice incl. value judgments; draft legislation; help shape balanced policy for overall welfare, not just some sections

→ Implement (a principal responsibility): making rules, financial management, HR management, regular monitoring and supervision

→ **Evaluate:** feedback goes to political leadership to improve, adjust or modify policy, but a **conflict of interest** arises (officers evaluate programmes they implemented) → rising importance of **social audits**

→ **Adjudicate:** quasi-judicial powers (e.g. District Collectors decide certain administrative disputes through revenue courts)

→ **Continuity:** administration continues through changes in political leadership or absence of the political executive

| Function | Performance |
|---|---|
| Regulatory | relatively satisfactory in preserving constitutional order, democracy, secularism, national unity, and law and order against separatism, terrorism, subversion |
| 📜 Impartial rule of law | hit by class bias, corruption, political interference |
| Developmental | mixed: economic development, effective public services, implementing elected governments' policies |
| 🧑‍🤝‍🧑 Facilitation (post-1991) | after 1991 reforms shifted from direct doer towards **facilitating** private sector, civil society, NGOs, local bodies; performance considered **particularly weak** |

## WHY PERFORMANCE SUFFERS

**Causes**

→ **political interference** (cannot keep neutrality); **dual control**: balance of control over AIS weakened, states exercising considerable influence

→ **reluctance to use constitutional protection**: high personal and financial costs

→ **arbitrary transfers, short tenures**: average DC tenure about 1 year; T.S.R. Subramanian stressed tenure security in key posts

→ **corruption**, esp. in **street-level bureaucracy** (lower-level officials citizens meet directly)

→ **poor capacity building**: training has not kept pace with a changing environment

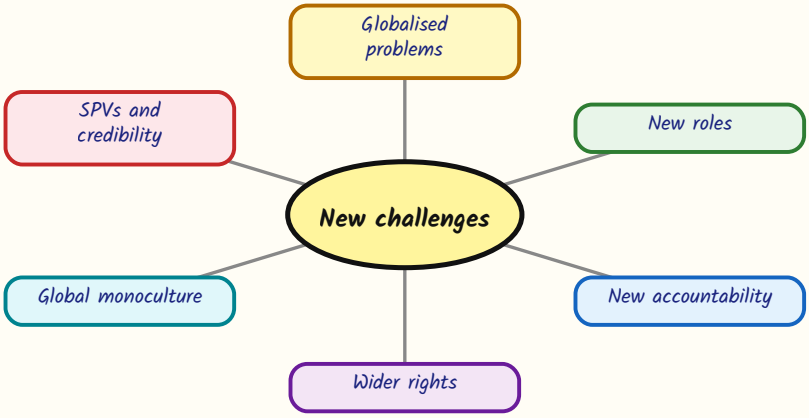
→ **wage compression**: pay not raised in proportion to changing responsibilities

→ **poor evaluation**: inadequate data weakens objective assessment

→ **lack of people's participation** in administration

**WILD SCARE** – Wage compression · Interference · Lack of participation · Dual control · Street-level corruption · Capacity · Arbitrary transfers · Reluctance to use protection · Evaluation poor (own mnemonic)

## ⚠️ 21st-CENTURY CHALLENGES



| Challenge | Meaning (as in handout) |
|---|---|
| ⚠️ Globalisation of domestic problems | domestic problems with international roots (COVID-19, money laundering, terrorism, drug trafficking) need multilateral frameworks; officers need negotiation and diplomatic skills |
| ⚡ Changing roles | Doer: remaining direct functions more effective and cost-efficient. Facilitator: of local bodies, NGOs, civil society. Regulator: law and order needs new skills |
| Changing accountability | beyond local institutions to global standards (Transparency International, HDI, SDGs, Ease of Doing Business); Citizens' Charters and social audits let citizens hold officers accountable directly |
| 🔧 Continuous reforms; professionalism | continuous, not episodic; unlearn old habits, relearn new; reforms regularly; greater professionalism |
| 🛡️ Expanding rights | respond to new rights-based demands: environmental, consumer, disability, LGBT, privacy |
| 📚 Global monoculture | Western consumer culture challenges traditional Indian culture; 3Ms: MTV (fast music), Macintosh (fast computers), McDonald's (fast food); manage tensions of cultural change |
| Tailor-made institutions | specialised bodies and SPVs outside ministerial hierarchies (Solar Energy Corporation, National Skill Development Corporation) |
| 🗺️ Crisis of State credibility | more visible after LPG reforms and India joining institutions like WTO; policy choices more restricted; credibility pressed by forces above and below the State |

Reforms must be continuous, not episodic; professionalism is the aim. PYQ printed here: 2014 cadre-based services → Ch 2. ⭐

📰 *In the news · Saarthi IAS CA, Aug 2026 (verify)* Cabinet Secretary: ACC approved a one-year extension. Link: stable tenure at the top vs arbitrary transfers lower down (T.S.R. Subramanian).

## Recall drill: cover and answer

| | | | |
|---|---|---|---|
| Four functions | formulate, implement, evaluate, adjudicate | Evaluation problem | conflict of interest → social audit |
| Weakest performance area | facilitation (post-1991) | Average DC tenure | about one year |
| 3Ms of monoculture | MTV, Macintosh, McDonald's | | |

# BUREAUCRACY & DEVELOPMENT

*PYQ none quoted in the material · Handout MI pp. 13-15*

✎ *Weber said bureaucracy is like fire: a fine servant, a terrible master. Democracy both needs it and fears it, and Indian bureaucracy has its own habits and paradoxes.*

> Max Weber: *"Democracy has to promote what reason demands but what democratic sentiments hate."* A love-hate relationship: bureaucracy is like fire, invaluable servant, destructive master.

**Promotes democracy**

→ institutionalises rule of law

→ helps conduct **free and fair elections**

→ fulfils the six role expectations

→ **balanced policymaking**: stops policy turning one-sided or giving undue benefit to some sections

→ delivers socio-economic justice through policies

**⚠ Threatens it**

→ **instrument → institution** with own values and privileges; may resist citizen-centric reforms that challenge its authority

→ **oligarchic concentration of power**

→ **secrecy**: citizens cannot know what happens inside; like an "**uninformed parliament**" with little public scrutiny

→ suppresses roles of NGOs, pressure groups, local bodies

→ **no representative bureaucracy** (classes, castes, religions, occupations): fewer perspectives on policy, weaker grassroots-based implementation

→ corruption and lack of neutrality weaken governance

→ **state oppression**: agencies used for political ends against rivals (ED, CBI)

→ **power struggle** between political and permanent executive at the top → **politico-administrative no-man's land** (responsibilities of policymakers and implementers unclear)

**SCORPIOS** – Bureaucracy as master stings: Secrecy · Corruption · Oligarchy · Representation absent · Politico-admin no-man's land · Instrument→institution · Oppression · Suppresses NGOs (own mnemonic)

| Political-bureaucratic conflict | Parties |
|---|---|
| Mundhra scandal 1957 | allegation that LIC invested in loss-making firms of Haridas Mundhra; led to resignation of the Finance Minister and the Finance Secretary |
| Mid-1960s | tussle between Home Minister Gulzarilal Nanda and Home Secretary L.P. Singh |
| 1973 | Railway Minister Hanumanthaiah vs Railway Board Chairman B.C. Ganguli |
| 1987 | disagreements between PM Rajiv Gandhi and Foreign Secretary A.P. Venkateswaran over foreign policy towards Sri Lanka |

## WEBER vs DEVELOPMENT ADMINISTRATION

**Weber:** bureaucracy is not simply the civil service; it is a **form of organisation of work** in which many people work together, so it can exist in **private organisations** too. Its problems became more pronounced in the public sector, so "civil service" and "bureaucracy" came to be used interchangeably.

| Weber's bureaucracy | Development administration |
|---|---|
| division of labour and specialisation | change orientation: bring positive change in people's conditions |
| clear hierarchy giving leadership at levels | result orientation: change shows in quantified, visible results |
| rule orientation: rules ensure impartiality, neutrality, objectivity | commitment to change: implement time-bound programmes |
| ⚡ role specificity: defined responsibilities, so individuals can be held accountable | client orientation: what suits the client, not the government; plus communication and participation inside and with citizens |

**C R C C** – Development admin = Change · Results · Commitment (time-bound) · Clients. (own mnemonic)

**Conflicts**

→ goal displacement (excess rule orientation shifts focus from the real objective)

→ low adaptability (traditional bureaucracy built to maintain status quo; modern ones must lead change)

→ historical mismatch (bureaucracy predates development administration, which emerged largely after WW II, so adapting to a welfare role is hard)

→ political dimension (not merely techno-bureaucratic; society must be prepared for development)

→ excessive formalism, esp. unsuitable for rural development.

## INDIAN BUREAUCRACY

**Structural**

→ British pattern inherited

→ long hierarchies: lower levels get disconnected from higher levels

→ concentration and centralisation of power: little authority devolved to street-level bureaucracy

→ cadre-based civil services

→ unstable tenure: frequent transfers hamper functioning (Collectors "packing and unpacking")

→ standard departmental structure for most purposes

**Behavioural**

→ colonial mindset: master rather than public servant

→ non-responsive; Hakim culture: distance from the local population

→ Babu culture: file and rule fetishism; creative inertia = look of activity without real results on the ground

→ corruption; red tape (slow-moving); secrecy

→ result: less suited to development administration

**Paradoxes**

→ advanced technology amid socio-economic backwardness

→ govt spends more on itself: Rajiv Gandhi said only 16 paise of each rupee spent on development reaches the people; much goes to salaries, procurement, accommodation, office costs

→ archaic and complex values and rules constrain development administration

→ authority-responsibility mismatch: lower levels carry big responsibility with little authority, so decisions feel risky

→ unstable tenure: short tenures stop officers improving programmes with experience

→ poor inter-agency coordination: departmental thinking blocks integrated development

→ **centralised, non-participatory:** public participation often only formal
→ **profound learning disorders:** agencies should learn from mistakes, yet do not (e.g. repeated dengue outbreaks in Delhi)
→ **generalists given more importance;** specialists need rehabilitating in the system
→ **wage compression:** pay should rise with responsibility, as pay is a key determinant of motivation

## Recall drill: cover and answer

| | | | |
|---|---|---|---|
| Weber's metaphor | bureaucracy is like fire: servant or master | Mundhra scandal | 1957, LIC; FM and Finance Secretary resigned |
| Development admin traits | change, results, commitment, clients | Hakim vs Babu | colonial master mindset vs file/rule fetishism |
| Rajiv Gandhi figure | 16 paise of a rupee reaches people | | |

# PAY, 8th CPC & RIGHT TO STRIKE

PYQ none quoted in the material · Handout MI pp. 16–17

✎ *Civil servants earn less than the private sector but get security, perks and status. The 8th Pay Commission is about a multiplier, and strikes in essential services are a public-interest line.*

Salaries are often lower than the private sector, but with **job security, fringe benefits, higher social status** and opportunities for **public service** (salary should not be the only motivation). A balance can be struck with **performance-linked incentives**.

## 8th CENTRAL PAY COMMISSION

**FORMULA** — Revised Basic Pay = Existing Basic Pay × Fitment Factor · reference date 1 Jan 2026 · higher factor → higher allowances and pension liability.

⚠️ Issues

→ minimum-wage calculation: earlier CPCs used a 3-consumption-unit family model; groups want dependent parents included, raising the question of how far pay should cover rising healthcare, eldercare, family support costs

→ Dearness Allowance: employees want DA merged with basic pay before the new structure; usually DA is absorbed into revised pay and then reset, so part of the apparent rise is inflation compensation already given, not a big real-income gain

→ fiscal impact: higher pay and pensions raise committed expenditure, make fiscal consolidation harder, shrink space for capex, infrastructure, development

→ states: CPC applies to Central staff but states face pressure to follow; heavier salary and pension burden; may cut health, education, local development spending

🔧 Way forward

→ regular pay revision: smaller, more predictable revisions, not big decadal shocks

→ performance orientation without weakening administrative neutrality

→ workforce rationalisation: better deployment, fewer unnecessary posts

→ digital governance to raise productivity

→ fiscal balance: link revisions to inflation, revenue growth, overall fiscal capacity

💰 Why fair pay matters

→ attract and retain competent civil servants

→ protect against inflation

→ maintain morale and integrity

→ reasonable social security. But revisions must stay consistent with fiscal sustainability and administrative efficiency: fair pay with an efficient, accountable, fiscally sustainable administration.

## 🛡️ RIGHT TO STRIKE

Trigger: Essential Defence Services Bill, 2021 (the handout calls it a Bill; it became law later: Ordinance June 2021, Act Aug 2021, general knowledge, verify). It was meant to prohibit strikes in specified essential defence services, incl. ordnance factories (41 factories, nearly 84,000 workers), to keep defence supply uninterrupted given India's security challenges and a possible two-front conflict. This raised the question: should civil servants have a right to strike? ⭐

| In favour | Against |
|---|---|
| 🛡️ right of citizens: strike as collective protest | public interest: strikes by civil servants may harm it; threat of a strike is like a loaded gun pointed at citizens |
| 📬 protection against exploitation: denial leaves them without effective remedy against extreme service conditions | model citizens: extreme protest may clash with public responsibilities |
| ⚠️ last resort when other mechanisms fail | government responsibility: govt should treat employees fairly, as its wider aim includes preventing exploitation in public and private employment |

Balanced position (handout): no strikes that seriously disrupt essential public services; distinguish essential from non-essential services. ✅

**Legal position**

→ strike-related misconduct can be a disciplinary offence under service rules and the Essential Services Maintenance Act (ESMA)

→ 1st ARC (1966): opposed a right to strike; recommended making unlawful strikes a penal offence, not merely a disciplinary one

→ Supreme Court: government employees have no fundamental, statutory or equitable right to strike

→ balanced solution: distinguish essential vs non-essential services with different restrictions

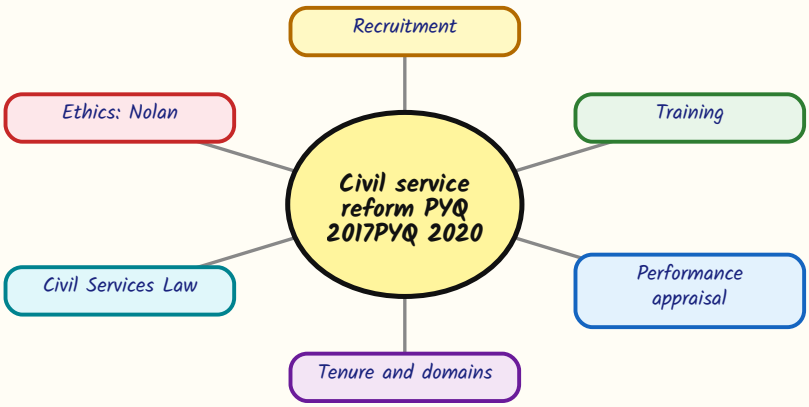
## Recall drill: cover and answer

| | | | |
|---|---|---|---|
| 8th CPC formula | Existing basic pay × fitment factor | 8th CPC reference date | 1 January 2026 |
| Essential Defence Services Bill | 2021; 41 factories, ~84,000 workers | 1st ARC on strikes | oppose; make unlawful strikes penal |
| SC on strikes | no fundamental, statutory or equitable right | | |

# CIVIL SERVICES REFORMS & NOLAN PRINCIPLES

PYQ Mains 2017 (neutrality and effectiveness) · 2020 (institutions and economic performance) · Handout MI pp. 17-18

✎ *Reform has four fronts: recruit better, train everyone, appraise on results, and write a Civil Services Law. Nolan's seven principles are the ethical yardstick.*




**Recruitment**

→ mainstream lateral entry; less dependence on cadre services

→ Satish Chandra Committee: separate exams for technical services

→ NIPAs (2nd ARC proposal): specialised public administration institutes; students finishing higher secondary compete for admission like IITs and AIIMS, then 3-4 years of training in public administration; graduates of other universities may compete after a 1-year bridge course in management or public administration

→ psycho-social profile: recruit by identifying candidates' psycho-social traits; an SSB-type interview may be considered

→ probation rules: use probation to identify and remove unsuitable recruits

**Training**

→ training for all, not largely confined to Group A and B

→ mid-career training regularly, as 21st-century challenges change fast

→ **modify content:** often unsuited to on-ground experience; mid-career courses similar for officers in different fields; training treated as a **paid holiday**

→ **link training to career:** completion and grades should affect advancement

→ **soft skills:** communication, interpersonal and others

**Appraisal**

→ **Performance Appraisal Reports:** periodic evaluation by superiors; numerical grades (commonly 0–10) linked to **actual achievement of assigned targets**

→ **360-degree (multi-source feedback):** from superiors, colleagues, juniors and clients; used to assess AIS officers for **empanelment for central deputation**; 2nd ARC had reservations: could lead to victimisation of honest officers

**⏳ Tenure, law, specialists**

→ **stability of tenure:** adequate security of tenure

→ **domainisation:** senior officers, esp. IAS, build expertise in fields like security, infrastructure, agriculture

→ **performance-linked incentives** can foster competition and raise efficiency

→ **remove deadwood:** incompetent, lazy, lethargic civil servants retired prematurely under applicable rules

→ **comprehensive Civil Services Law** covering all aspects of functioning; 2nd ARC prepared a **draft bill**

→ **transparency in personnel management:** transfers, postings, disciplinary action; stronger action to root out corruption

→ **rehabilitate specialists:** they often work under generalists, with salaries and positions inferior to IAS; this demoralises them; give them a proper place, esp. at the highest levels

## 💡 NOLAN PRINCIPLES (1995)

| Principle | Meaning |
|---|---|
| Selflessness | act solely in the public interest; avoid personal gain from official positions |
| Integrity | maintain moral uprightness; avoid conflicts between personal and professional obligations |
| Objectivity | decisions on merit and evidence, free from bias, favouritism or external influence |
| Accountability | answerable for decisions and actions to the public and oversight bodies |
| Openness | government operations transparent; information accessible unless legally restricted |
| Honesty | truthful in declarations, statements and dealings with citizens and colleagues |
| Leadership | exemplify ethical behaviour; promote these principles through personal conduct |

**HALO iOS** — Nolan's seven: Honesty · Accountability · Leadership · Openness · Integrity · Objectivity · Selflessness. Handout order S-I-O-A-O-H-L. (own mnemonic)

**PYQs printed:** 2017 (250 w) CS designed for neutrality and effectiveness, now lacking; drastic reforms? · 2020 (150 w) institutional quality drives economic performance; suggest CS reforms to strengthen democracy. ⭐

*In the news · Saarthi IAS CA, Aug and Jul 2026 (verify)* **Conflict of interest:** National Horticulture Board bars public functionaries from commercial horticulture subsidies; SEBI rules (Sinha Committee): life-cycle disclosure, 2-year cooling-off, recusal, Office of Ethics and Compliance. Quote: Caesar's wife, trusteeship.

## Recall drill: cover and answer

| | | | |
|---|---|---|---|
| Nolan principles | selflessness, integrity, objectivity, accountability, openness, honesty, leadership | NIPA idea (2nd ARC) | after higher secondary; 3–4 years; 1-year bridge course |
| 360-degree concern | victimisation of honest officers | Appraisal scale | 0–10 grades tied to targets |
| Satish Chandra Committee | separate exams for technical services | | |

# REFORM CHALLENGES · MISSION KARMAYOGI · AARAMBH

PYQ Mains 2020 (institutions and economic performance) · Handout MI pp. 19–20

✎ *Reforms stall for human reasons. Mission Karmayogi tries to move the civil service from rules to roles with online, role-specific training.*

**🔧 Why reforms stall**

→ **political support and will:** priorities change and reforms get deprioritised; inconsistent support can stall or reverse them; leaders resist reforms that cut their influence over the bureaucracy (e.g. less political interference in appointments, transfers)

→ **management capacity:** institutions may lack project management, coordination, accountability mechanisms; fragmented, piecemeal efforts without an overall strategy

→ **civil servants themselves:** resist (job security, uncertainty, old habits); lack of incentives; inadequate rewards for reformers breed apathy or resistance

→ **safety nets:** restructuring and downsizing create insecurity; without retraining or compensation, staff resist; reforms should give compensation, retraining, career counselling

→ **alignment with environment:** reforms must fit political and institutional conditions; diverse federal India means what works in one state may not suit another; long-established norms resist change

→ **communication:** clear communication among political leaders, civil servants, citizens; weak channels breed misunderstanding; stakeholders should join design and implementation to build trust

**CRAMPS** — Communication · Resistance · Alignment with context · Management capacity · Political will · Safety nets (own mnemonic)

**🔧 Way forward**

→ consistent political support with broad cross-party consensus

→ build capacity via targeted training, dedicated reform units, clear accountability frameworks

→ involve civil servants in design and delivery, with incentives incl. career advancement

→ safety nets (retraining, compensation, institutional support)

→ tailor reforms to states and regions

→ institutionalise regular consultation, transparent decisions, feedback. Aim: a more responsive, efficient, accountable bureaucracy.

**SCI-TEC** — Reform way forward: Support (political, cross-party) · Capacity (training, reform units) · Involve civil servants · Tailor to states · Engage (consult, feedback) · Cushion (safety nets). (own mnemonic)

# 🎯 MISSION KARMAYOGI (NPCSCB), 2020 PYQ 2020

⚡ Core shift: rules-based → roles-based HR

→ (launched by GoI in 2020 as the National Programme for Civil Services Capacity Building; seen as one of the most comprehensive, institutionalised civil-service reforms since Independence; aim: dynamic, agile, citizen-centric bureaucracy). Aims: future-ready workforce

→ shift from rule-bound generalist administration to competency-driven, specialist governance

→ align with Viksit Bharat 2047

→ performance-based appraisal over tenure-based promotion.

| Component | What it does |
|---|---|
| iGOT Karmayogi | Integrated Government Online Training: digital learning ecosystem for officials at all levels; on-demand, need-based, role-specific modules; continuous and blended learning; AI-driven personalisation; unified resource across services, ministries, states |
| Competency frameworks | competency dictionaries defining behavioural, functional, domain competencies; assess and train for the competencies each role needs; map individual training needs to roles; replace one-size-fits-all |
| Performance management | robust, transparent, outcome-based system; move beyond Annual Confidential Reports to real-time feedback and tracking; link performance with promotions, postings, recognition for a merit-based culture |
| SPV: Karmayogi Bharat | not-for-profit company to oversee content, manage partnerships, support implementation; enables tie-ups with public, private, global institutions for content, research, evaluation |
| 👑 Capacity Building Commission | oversees capacity-building standards; aligns ministries, services, states with Karmayogi principles; gives strategic direction, monitors implementation, ensures quality assurance |

**I C P S** – Karmayogi: iGOT · Competency · Performance · SPV (+ the Commission). (own mnemonic)

⚠️ Implementation problems

→ lateral entrants: bridge the culture gap with career civil servants; unified competency and performance frameworks for both; coordination between domain specialists and generalists

→ mindset: compliance-oriented → problem-solving, citizen-centric; beat bureaucratic inertia; ownership and motivation for digital learning

→ Centre-State: state needs are diverse; collaborate for uniform standards without hurting federal diversity; states and local bodies need capacity

→ resources: digital infrastructure in remote areas; funds for content, training partnerships, scaling up

💡 Significance

→ raises efficiency, transparency, accountability of civil services

→ responsive governance: modern tools and competencies

→ aligns civil services with India's changing aspirations and a dynamic democracy

→ shift from rule-based, control-focused to role-based, citizen-first delivery

**C C C** – Aarambh (Common Foundation Course): capacity-building initiative nurturing a shared understanding of governance among civil services probationers; stresses three foundational values for new entrants: Commitment · Character · Conduct.

*In the news · Saarthi IAS CA, Jul 2026 (verify)* DAKSH Leadership Programme (3rd batch): senior PSE executives; run by the Capacity Building Commission and SCOPE with ISB.

## Recall drill: cover and answer

| | | | |
|---|---|---|---|
| Mission Karmayogi shift | rules-based → roles-based | iGOT stands for | Integrated Government Online Training |
| SPV | Karmayogi Bharat, not-for-profit | Aarambh stresses | Commitment, Character, Conduct |
| Karmayogi aligns with | Viksit Bharat 2047 | | |

# TRANSPARENCY & NDSAP

*PYQ none quoted in the material · Handout MI pp. 21-23*

✎ *Transparency means the rules, reasons and records of power are open to the people. It comes first; accountability and integrity follow. NDSAP opens government data.*

OECD: an environment where policy objectives, legal and institutional frameworks, decisions, their rationale and relevant information reach the public in a comprehensible, accessible, timely way.

UNESCAP: decisions and their enforcement follow rules and regulations; information is freely available and directly accessible to those affected by decisions.

In governance: people have the right to know what government is doing and government has an obligation to tell; criteria, processes and systems of decision-making are openly known to all (Tandon, 2002). Example: under Skill India Mission, citizens should know eligibility criteria, who applies them, benefits and conditions. TI: those affected should know the mechanisms and processes behind decisions, not just facts and figures. Open government: run openly so citizens can trust elected representatives and institutions. Public scrutiny: actions must withstand scrutiny, with information in an understandable form.

**TOP** – Three metaphors: Tool of good governance · Open decision-making (secrecy vs privacy) · Public value (counters corruption). (own mnemonic)

**ACE TIPS** – Objectives: Accountability · Combat corruption · Entitlements · Trust · Informed citizens · Participation · Service delivery (own mnemonic)

**Objectives in detail**

- → transparency makes govt accountable
- → raises chances of detecting corruption and deters it (TI Global Corruption Report 2003 stressed information)
- → lets citizens access entitlements
- → improves service delivery
- → informed citizens understand decisions and reasons
- → participation in democracy needs access to information
- → lack of information breeds disempowerment, mistrust, frustration.

Transparency is the precursor of accountability, integrity and probity. Ethical governance needs not only rule of law but fairness, equality and justice. Mechanisms: RTI, e-governance, Citizens' Charters. Key measures: RTI 2005, NDSAP 2012, Charters, e-governance, CPGRAMS.

## SOCIAL ACCOUNTABILITY TOOLS

Social accountability stresses civic engagement: citizens help monitor govt performance. Tools: social audits (e.g. MGNREGA), public expenditure tracking, Citizen Report Cards, public hearings. They raise service quality and deter corruption by making governance participatory.

| Tool / practice | Impact |
|---|---|
| Social audits, MGNREGA, Rajasthan model | villagers audited public works and found ghost beneficiaries and wage leakages |
| Citizen Report Cards, Bengaluru | survey-based feedback on services like electricity and water improved delivery |
| Public Expenditure Tracking, Uganda | greater transparency in fund flows reduced diversion of education grants |
| EDUCO, El Salvador | community participation in school management improved teacher accountability and student outcomes |

**E-governance**

→ digital platforms streamline processes, reduce discretion, speed up grievance redressal

→ but digital divide, privacy concerns, cybersecurity threats, low digital literacy can undermine transparency

**⚠️ Challenges of transparency**

→ administrative burden: non-serious applications pressure already understaffed bureaucracies

→ misuse: anti-social elements may use information to create disharmony or threaten national security

→ questionable authenticity of disclosed information

→ wrong interpretation can hurt an organisation

→ privacy and confidentiality conflict

| Committee / report | Recommendation |
|---|---|
| 2nd ARC, 14th Report | mandatory proactive disclosure; integrate e-governance with service delivery; public data portals |
| 📜 Law Commission 179th and 255th | redefine RTI exemptions; clearer guidelines on public-interest disclosure |
| 👥 NCRWC (Constitution review commission) | replace the Official Secrets Act with more appropriate national-security legislation |
| CIC (2013) | held that political parties come within the ambit of RTI; non-compliance has persisted |

## NDSAP 2012

NDSAP: promotes sharing of and access to government-owned data for national planning and development; non-sensitive information of public authorities is made accessible in machine-readable (and human-readable) open formats. Applies to data created, generated, collected or archived with public funds by ministries, departments, organisations, agencies, autonomous bodies. Objective: proactive, periodically updated access to shareable data within applicable laws.

## NDSAP MACHINERY

OGD Platform gives access to datasets of ministries and agencies → DST is the nodal department: coordination, formulation, implementation, monitoring → Principles: openness, flexibility, transparency, data quality, wider access → Negative list = data that cannot be shared; consider RTI Sec 8 and 9, IT Act 2000, Right to Privacy

Transparency vs privacy: RTI may clash with the Official Secrets Act, Conduct Rules, privacy. Sec 8(2): disclose when public interest outweighs protected interest. Aadhaar and DBT need strong data protection. Digital and language barriers may exclude marginalised communities; data-sharing should prioritise inclusivity, citizen-centric interfaces, feedback mechanisms.

### Recall drill: cover and answer

| | | | |
|---|---|---|---|
| NDSAP year, nodal dept | 2012; DST | Platform | Open Government Data (OGD) |
| Negative list based on | RTI Sec 8-9, IT Act 2000, privacy | Transparency is precursor of | accountability, integrity, probity |
| Rajasthan social audit | MGNREGA; ghost beneficiaries | | |

# ACCOUNTABILITY

PYQ Mains 2016* (effectiveness of government and people's participation) · Handout MI pp. 24-28

✎ *Accountability = answering for your actions and facing a penalty if you fail. It runs up, down and sideways, and every answer should ask: for what, to whom, through what?*

Responsibility = obligation to carry out assigned tasks at any level of the hierarchy. Accountability = responsibility operating hierarchically (the "hierarchical locus of responsibility"); simply, answerability for one's actions or behaviour. Public service accountability = how an agency or official fulfils duties and how they must account for it. Govt servants must work in the public interest and answer for what they do or fail to do. Needs acceptance of responsibility (others may evaluate performance) and openness (transparent working, ways to hold officers accountable).

Bureaucratic accountability has two aspects: Answerability = giving an account of actions taken or not taken; Enforceability = penalties or corrective measures for illegal, inadequate or improper performance.

**EAR** — Components: Enforcement (sanctions for failure) · Answerability (ability to justify an action) · Responsiveness (responding to demands of the organisation and its clients). (own mnemonic)

**CHAI** — Dimensions: Controlling political power (prevent abuse via sanctions, transparency, duty to justify) · Human (ethics, public values, trust in govt) · Argumentative (citizens may seek explanations; authorities must justify conduct) · Informational (citizens may receive information; institutions must give details). (own mnemonic)

💡 Values and objectives

→ integrity: values match actions; do not trade personal integrity for short-term gain

→ **impartiality and non-partisanship:** neutral in implementing policy; resist political pressure

→ **objectivity:** decisions on evidence; remove bias

→ **empathy and compassion:** sensitivity to weaker and vulnerable sections

→ **objectives:** control abuse of power and discretion · ensure performance meets standards and quality · continuous learning and improvement · bring administration closer to democratic principles · **institutional introspection** (review internally, accept external scrutiny)

## TYPES OF ACCOUNTABILITY

| Type | Meaning |
|---|---|
| Managerial | within the administrative hierarchy, between superiors and subordinates |
| Political | civil servants answer to political executives, who answer to Parliament or legislature |
| Judicial | for unconstitutional or illegal actions |
| Institutional / Horizontal | enforced through external institutions such as CAG, CBI, CVC |
| Professional | through professional codes of ethics enforced by bodies such as the Bar Council or ICAI |
| Social | citizens directly hold civil servants accountable through RTI, Citizens' Charters, social audits and institutions such as Lokpal |

**Accountability requires administration to**

→ make laws work as intended with minimum waste and delay

→ use discretion lawfully and sensibly

→ recommend new policies and changes in programmes when needed

→ raise citizen confidence in administrative institutions. **To whom?**

internal hierarchy

→ legislature

→ judiciary

→ citizens and civil society

→ media.

**Intra-organisational**

→ hierarchy gives a superior-subordinate link

→ subordinates answer to superiors; senior officers to ministers, who answer to the legislature

→ also called **organisational** accountability

**Inter / extra-organisational**

→ operates **outside** the department

→ officials can face legal action for lapses or unlawful conduct

→ executive is constitutionally accountable to the legislature

→ citizens and media can question injustice, inaction, improper conduct

## THREE DIRECTIONS

*Horizontal: institutions within the State with power to seek explanations and impose penalties on other state actors (CAG, Election Commission, CVC, CIC, ombudsman)* → *Vertical: citizens and civil society: elections, lobbying, participation in budgeting and policymaking, Citizen Report Cards, social audits* → *Diagonal: citizens directly engage with horizontal-accountability institutions, e.g. PIL*

**Other classifications**

→ **Financial/fiscal:** one of the oldest; scrutiny of financial records so spending is authorised and lawful; legislature exercises its power over the **public purse**; may reveal corruption, kickbacks, misuse of welfare funds. **World Bank** says it needs: a working govt accounting system (expenditure control, cash management), an **external audit** system, and mechanisms to review audit findings and ensure corrective action

→ **Process: how** agencies do their tasks; detects procedural irregularities (improper tenders, contracts, construction procedures)

→ **Programme: results and effectiveness**; spending is not enough, objectives must be met (poverty programmes: were beneficiaries correctly identified? did living standards improve?); looks beyond efficiency to effective implementation

→ **Legal:** actions must comply with laws and judicial processes; court action and **judicial review**

→ **Professional:** doctors, engineers etc. follow professional codes while protecting the larger public interest

→ **Political:** concerns legitimacy of programmes; administrators must recognise the authority of elected representatives to set priorities, allocate resources, ensure compliance with lawful decisions

→ **Social:** citizens and civil society hold public institutions accountable, directly or indirectly (civic engagement)

→ **Moral:** core of public administration; goes beyond obeying laws and rules; a moral official strives for moral government; rising administrative and political corruption raises demand for it

→ **World Bank: micro**-accountability = govt responsiveness to citizens receiving services; **macro** = financial accountability and accountability for overall economic performance

**Need for transparency and accountability**

→ **expanding govt role** (growing, overlapping departments)

→ **delegated legislation** (more executive power)

→ **politics-bureaucracy nexus** (bureaucrats may become committed to a ruling party's agenda, not settled policy)

→ **corruption** (black money, opportunistic politics, scams)

→ **limited popular participation** (illiteracy, poverty, unemployment; benefits may not reach the needy; transparency lets citizens question misuse of money and power). **How:** several mechanisms together: traditional (ministerial control, debates, legislative committees, media, ombudsman) + **New Public Management** (efficiency, outcomes, competition, value for money, autonomy, partnerships, citizen orientation), which raise **three questions: accountability for what (standards), to whom (agents), through what (means).**

## MECHANISMS

**Institutions**

→ CVC: set up Feb 1964 on Santhanam Committee advice; statutory status by CVC Act 2003; independent vigilance body; monitors vigilance in the Central govt; advises organisations on planning, executing, reviewing, reforming vigilance

→ Lokpal and Lokayuktas Act 2013: Lokpal at the Centre, Lokayuktas in states, to examine corruption allegations against specified public servants; Lokpal selection committee = PM, Speaker of Lok Sabha, LoP in Lok Sabha, CJI or nominated SC judge, eminent jurist

→ Whistle Blowers Protection Act 2014: mechanism for complaints on corruption, wilful misuse of power or discretion; inquiry; safeguards against victimisation; public-interest disclosures to the competent authority (public servants included); anonymous complaints not entertained

→ CAG: guardian of the public purse; checks expenditure was authorised and used for its purpose; independent of the executive; reports laid before Parliament, examined by committees incl. PAC; audits exposed irregularities in big spending and procurement

→ social audit (examination of programmes with participation of citizens, esp. beneficiaries), RTI Act 2005, Citizens' Charters

**Modern**

→ performance audits and outcome budgeting: from input-output accountability to measuring real governance impact

→ Social Audit 2.0: digital dashboards for real-time public participation in auditing programmes

→ ethics committees: institutionalise ethical accountability in legislatures and ministries beyond financial audit

→ data-driven vigilance cells: predictive analytics to spot anomalous transactions in public procurement

→ e-governance platforms: CPGRAMS, PRAGATI improve accountability via digital grievance tracking and monitoring

⚠️ Issues

→ unclear relationships: accountable for what, to whom, through which mechanism?

→ size of govt: distance between citizens and officials; World Bank: expanding state functions make broad political accountability harder

→ administrative secrecy behind complex rules

→ excess focus on inputs (spending) over outputs and outcomes

→ top-down enforcement through political leaders, institutions, superiors rather than directly by citizens

→ bureaucratic power: need to control, supervise it, create institutional constraints

→ new-age: algorithmic/AI bias in welfare and policing (opaque algorithms); platform governance (data privacy, misinformation, monopoly); decentralised social media (propaganda, hate speech, unclear responsibility); PPPs may diffuse blame between agencies and contractors

🔧 Solutions

→ decentralisation (World Bank): stronger local govt improves responsiveness for infrastructure and services

→ resilient mechanisms for complex settings with competing interests and limited resources

→ compliance with rules, laws, professional codes

→ bottom-up accountability: social audits and participation complement top-down

→ adapt to digitalisation

→ value-driven responsibility: beyond procedural oversight to a culture based on public values

→ ethical capacity building: ethical literacy, adaptive governance, citizen-centric evaluation

→ institutionalise ethical governance: internalise accountability beyond fear of sanctions

→ technology with human oversight to prevent algorithmic opacity

Handout flag: the CVC and Lokpal selection committees are different. CVC: PM, Home Minister, LoP. Lokpal: PM, Speaker, LoP, CJI/nominee, jurist.

## Recall drill: cover and answer

| | | | |
|---|---|---|---|
| Two parts of accountability | answerability + enforceability | Horizontal / vertical / diagonal | state bodies / citizens / citizens → bodies (PIL) |
| Micro vs macro | service users vs financial and economic performance | CVC set up | Feb 1964, Santhanam; statutory 2003 |
| Three questions | for what, to whom, through what | | |

# CITIZEN'S CHARTER & SEVOTTAM

PYQ Mains 2024 (15 m) · 2018 (15 m) · 2013 (10 m) · Handout MI pp. 28-31

✎ *A Charter is the office's promise to citizens: what service, how fast, whom to complain to. It creates no new right. Sevottam is the quality system that tries to make the promise real.*

Launched 1991 by John Major (UK). Declaration of commitment on qualitative and temporal entitlements; creates no new rights, seeks to enforce existing ones; includes grievance redress. ⭐

**💡 Purposes**

→ clarifies what to expect from govt; makes govt more responsive; creates a service orientation instead of a master mindset

→ people's participation: a good charter is built on consultation with client groups and citizens: a key element of democracy

→ strengthens accountability: without timelines and standards it is hard to hold anyone accountable; with quality standards and a quantifiable timeline, performance can be measured and performers told from non-performers

→ pro-active approach to good governance (a govt-side initiative)

→ image and credibility: if commitments are met, citizens are satisfied and trust is restored

→ empowerment and democracy: people participate and can hold govt accountable for services

→ development instrument if charters cover every entitlement-based scheme with timelines civil servants must follow

**Elements (India)**

→ vision and mission statement (deliver services on time and with quality)

→ details of business transacted (all services listed so citizens get clarity)

→ details of clients served

→ services given to each client group, with timeline procedure

→ grievance redressal machinery and how to access it if service is not delivered as promised

→ expectations from clients: produce documents, pay fees on time

→ compensation, if any, when service is not delivered as promised; consumer organisations, citizen groups, stakeholders involved in drafting; regular internal and external monitoring, evaluation, review mandated

By 2011-end: 131 central and 729 state charters · site goicharters.nic.in. 💡

## ⚠️ PROBLEMS PYQ 2024 PYQ 2018 PYQ 2013

**⚠️ Why charters fail**

→ bureaucratic mindset
→ limited consultation: should consult stakeholders, client groups and street-level staff; else it degenerates into a manager's or secretary's charter
→ no penal provisions: if commitments go unmet there should be penalties; without them staff are not pushed and departments get overburdened
→ citizens are hardly aware of it
→ standards too lax or too strict become unrealistic and erode confidence; timelines should be stepwise for each service (too long or impossible-short both erode trust)
→ some charters too detailed, some too brief: long enough to inform, short enough to be read
→ names and addresses of grievance redressal officers missing in many charters (found by external agencies or NGOs)
→ no incentives at individual or organisational level (UK Charter Mark fosters inter-department competition; DARPG hired an outside professional agency for this)
→ delays: senior officials took existing brochures and manuals to be charters; DARPG then directed departments to draft separate charter commitments
→ needs of senior citizens, disabled, others ignored (charters treat all alike; sub-categories needed for quicker service)
→ poor review and updating (should draw on complaints and suggestions at the grievance desk)
→ inadequate devolution to street-level staff: check workload and workforce, give powers and resources to deliver without countersignature from above
→ technical jargon, not in vernacular languages
→ same format used for all services of a ministry, hurting timelines and quality

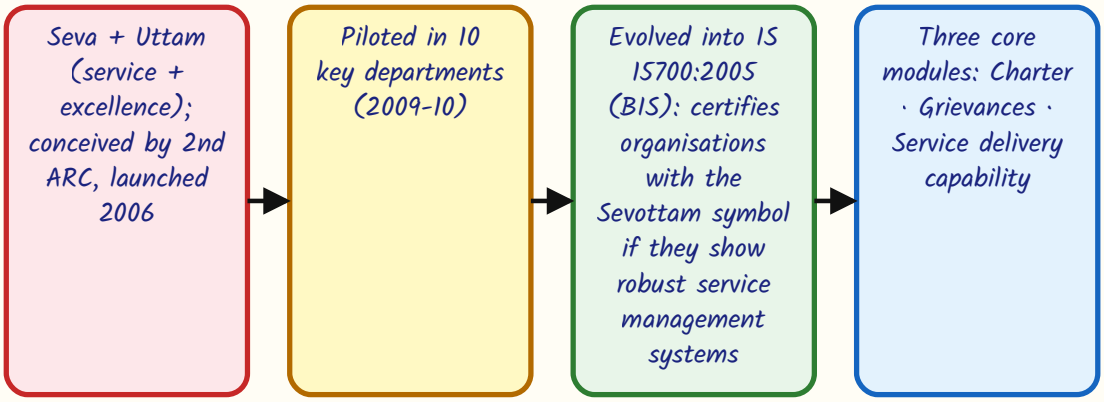
**WHO CARE** – ARC-II fixes: Widest possible consultation · Hold officers accountable for results (penal provisions) · One size does not fit all (separate charter per unit and per service) · Commit only to what you can deliver (fix timelines after assessing resources and workload) · Appropriate redressal mechanism · Reform internal structures and processes to match charter commitments (obsolete rules, power distribution) · Evaluate periodically with end-user feedback (own mnemonic)

**🔧 Suggestions**

→ DARPG hand-holding for first charters (officials posted in each department; start ad hoc, learn, update)
→ more spending on awareness; fund credible NGOs
→ persistent effort for attitudinal change
→ user groups and staff mandatory in drafting
→ built-in monitoring and review, preferably by an outside agency
→ prioritise services, not all at once
→ incentives at organisation and individual level (UK Charter Mark)
→ showcase and replicate best practices
→ simple language, not too detailed
→ 5-year master plan with budget.

## SEVOTTAM = SEVA + UTTAM

## 📝 SEVOTTAM IN FOUR STEPS




| Core module | Focus |
|---|---|
| Citizen Charter implementation | mechanism to implement charters; public feedback shapes service delivery norms and expectations |
| 📬 Public grievance redressal | responsive, empathetic system that builds public trust regardless of the outcome |
| Service delivery capability | build internal capacity (processes, resources, workforce) for consistent, efficient delivery |

**D S D P M E I** — Seven steps in order: Define services · Set standards · Develop capability · Perform · Monitor · Evaluate impact · Improve. Remember: Do Something Daily; People Must Expect Improvement. (own mnemonic)

| Step | Meaning (handout) |
|---|---|
| Define services, identify clients | state range of services; map diverse needs of citizen groups |
| Set standards and norms | measurable benchmarks on quality, accessibility, timeliness |
| Develop organisational capability | strengthen HR, infrastructure, technology to empower frontline staff |
| Perform to achieve standards | institutionalise adherence at every operational level |
| Monitor performance | real-time tracking to catch gaps early |
| 📜 Evaluate impact | independent evaluation of effectiveness and citizen satisfaction; feeds policy refinement |
| 🔧 Continuous improvement | feedback-driven innovation and upgrading of delivery |

| | |
|---|---|
| 💡 Significance | → structured quality management: self-assessment and performance improvement (e.g. 2025 DARPG national workshop, Bhopal, on quality benchmarking)<br>→ citizen-centric culture (expectations, grievances, feedback built into workflows)<br>→ sustainable reform through continuous improvement<br>→ credible self-assessment: ministries use its tools to align internal accountability with citizen satisfaction. |
| ⚠️ Challenges | → officials see it as procedural compliance, not reform (low sensitisation, capacity-building)<br>→ fragmented, inconsistent rollout across ministries<br>→ weak digital integration (no real-time feedback, timeline tracking, dynamic self-assessment). Way: mandatory training and embed in strategy, not just certification; link with CPGRAMS, MyGov, dashboards; periodic third-party audits and structured citizen feedback. |

## Recall drill: cover and answer

| | | | |
|---|---|---|---|
| Charter origin | 1991, John Major, UK | Does a Charter create rights? | No; enforces existing ones |
| Charters by 2011 | 131 central, 729 state | Sevottam launch; standard | 2006; IS 15700:2005 |
| Three Sevottam modules | Charter, grievances, service delivery capability | | |

# RTI ACT 2005 & THE 2019 AMENDMENT

PYQ Mains 2020 (RTI amendments and autonomy of Information Commission) · Handout MI pp. 31-35

✎ *RTI turns a citizen's question into a legal duty on any public authority. Few exemptions, a public-interest override and penalties: the 2019 amendment moved tenure and pay of Commissioners to the Centre.*

## 👫 RTI request: the route

Apply to the PIO (fee Rs 10; BPL free) → Reply in 30 days (48 hours if life or liberty) → First appeal to the senior officer within 30 days → Second appeal to CIC or SIC within 90 days

**1766** Sweden: first RTI law

**1966** USA second

Ombudsman: the institution behind Lokpal and Lokayukta began in Sweden, first ombudsman 1809. India: Lokpal Bill passed 2013 (became an Act); Lokpal body constituted 2019.

| | |
|---|---|
| 👥 Constitutional locus | → not categorically codified<br>→ Preamble ideals (liberty, justice, democracy) amply support it |

→ SC read it into Art 19(1)(a), Art 21, Art 39(b), 39(c). Cases: Rajnarain 1975, S.P. Gupta 1982. "Data is the new oil": Art 39 (equitable distribution of resources: material resources of the community distributed to serve the common good; no concentration of wealth) can support RTI because resources and wealth today must be seen as data and information, not only material resources. Madison (4th US President): popular government without popular information, or the means of acquiring it, is but "a Prologue to a Farce or a Tragedy
→ or, perhaps, both".

**Why demand grew**

→ growing democratisation: far more democracies than 3–4 decades ago; many ex-colonies adopted democracy in the 20th century
→ advocacy: international (World Bank, IMF, Transparency International, a Berlin-based NGO with the annual Corruption Index) and domestic (NCPRI 1996 led by Aruna Roy, PUCL, ADR)
→ MKSS brought transparency to grassroots panchayats; famous event at Janawad village, Rajasthan; slogan "Humara Paisa, Humara Hisab"

**MONOPOLY** – Monopoly + Discretion – Transparency = Corruption. Adding transparency through RTI checks corruption.

| Benefit of RTI | How (handout) |
|---|---|
| ⚡ Corrects power asymmetry | huge gap between govt power and citizen power leaves citizens helpless; RTI is the key tool to know the status of developments |
| 🛡️ Realises other rights | a citizen must know the benefits to claim them (e.g. entitlements under the Food Security Act) |
| Citizen participation | awareness of govt work lets citizens comment, give feedback, suggest improvements |
| 👫 Corrects trust deficit | perception that all civil servants are corrupt; RTI gives status of development work within 30 days |
| Better, faster decisions | departments must keep records properly or face monetary or departmental action; easier retrieval, timely decisions |
| Shields civil servants | from unwarranted pressure of seniors or ministers to act illegally: orders must be documented and answerable with proof |

**1997**
first time: Centre sets up working group under H.D. Shourie; states went ahead: Tamil Nadu first state (1997)

**2002**
Freedom of Information Bill, 2002 (Shourie group draft) enacted but never notified or implemented; critics: feeble

**2005**
RTI Act 2005: bill prepared not by bureaucrats but by the National Advisory Council

**PAID** – A sound regime: Penalties for denial (Rs 250 a day up to Rs 25,000, plus option of departmental disciplinary action) · Access wide (minimal fees, free for BPL, easily perceivable information) · Independent appeal (CIC, SIC) · Disclosure maximum, exemption minimal (own mnemonic)

Philosophy (Preamble of RTI Act): RTI supports transparency, checks corruption, enforces accountability, empowers citizens and promotes democracy, balancing this with genuine concerns of govt confidentiality, without seriously compromising govt efficiency.

## 💡 MAIN FEATURES

**🛡️ Right and scope**

→ all citizens have the right

→ information defined very broadly: any material in any form: records, documents, memos, e-mail, opinions, advice, press releases, circulars, orders, logbooks, contracts, reports, papers, samples, models, electronic data, and info on any private body held by a public authority under any other law

→ right covers info held by or under control of a public authority, incl. right to inspect work, documents, records; take notes, extracts, certified copies; take certified samples; get info in electronic form or printouts

→ public authority: body or institution of self-government set up by/under the Constitution, by Parliament or state-legislature law, or by govt notification/order; includes bodies owned, controlled or substantially financed and NGOs substantially financed (directly or indirectly) by govt funds; "substantially" not defined in the Act (ARC made recommendations)

| Contested body | Handout position |
|---|---|
| 👑 President / Governors | long-pending question: are they part of the definition of public authority? |
| 🗺️ State federations (BCCI) | substantially financed by govt; they resisted; many came under the definition through judicial pronouncements; Law Commission recommended BCCI be a public authority, CIC affirmed 2018 |
| PPP projects | DoPT circular 2013: info to be public even though many PPPs are substantially financed by private firms; DIAL 2010: CIC held it a public authority (typical PPP); Delhi HC stayed the order |
| Judiciary | Subhash Agrawal (2009) asked about the 1997 judges' resolution to declare assets; SC said it was not covered; CIC ruled against SC (2019); SC went to Delhi HC, which sided with CIC; SC in 2019: judiciary by and large covered |
| Political parties | CIC 2013: recognised parties meet the substantial-financing test (IT exemptions, free airtime on state media, land at subsidised prices); not stayed or nullified by courts, yet parties still do not comply, citing sub judice |

**⚠️ Problematic SC observations (handout)**

→ info held by RBI about scheduled commercial banks is open to disclosure, yet in 2019 the court said RBI need not disclose banks' risk-evaluation and inspection reports (despite bank scams)

→ extensive RTI use has created "fear psychosis and paralysis" in govt

→ civil servants' personal status (name, address, physical and mental status), professional records, assets and liabilities are beyond RTI

→ names of recruitment interviewers need not be disclosed. Objections to covering parties: free associations of people

→ do not use tax money directly

→ lack infrastructure for RTI

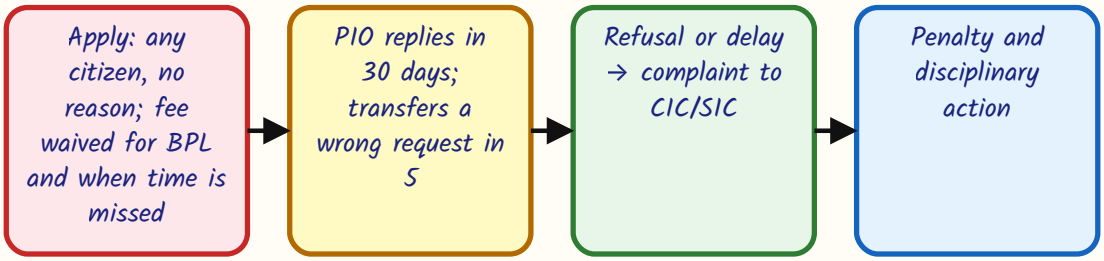
→ parties would use it against each other. Electoral bonds money is not subject to disclosure

→ money above that through proper channels goes to the EC and is public.

## 📝 PROCEDURE: THE NUMBERS

**16·120·100·5·10·20** — Publish 16 types of information within 120 days of the Act (update yearly) · designate PIOs in all units within 100 days · transfer a misdirected request within 5 days · third-party notice 10 days · exempt info released after 20 years. Reply 30 days. Penalty Rs 250/day, up to Rs 25,000. Also: keep records catalogued, indexed, computerised; give as much info suo motu as possible to cut RTI requests.

## PATH OF A REQUEST




## EXEMPTIONS (Sec 8) AND OVERRIDE

**Exempt**

→ info prejudicial to **sovereignty and integrity**, security, strategic, scientific, economic interests of the State, relations with a foreign state, or inciting an offence

→ expressly forbidden by a court or tribunal; contempt of court

→ breach of **privilege** of Parliament and state legislatures

→ **commercial confidence, trade secrets, IP** that would harm a third party's competitive position, unless a competent authority finds larger public interest

→ info held in a **fiduciary** relationship (same larger-public-interest test)

→ info received in confidence from a **foreign government**

→ would endanger **physical safety** or reveal a confidential source for law enforcement or security

→ would **impede investigation, apprehension or prosecution**

→ **Cabinet papers** incl. deliberations of CoM, Secretaries, officers; but decisions of the CoM, reasons and material become public after the matter is complete (exempt matters stay exempt)

→ **personal information** with no link to public activity or interest, or an unwarranted invasion of privacy, unless larger public interest justifies it

**Public-interest override**

→ despite the Official Secrets Act 1923 and the Sec 8(1) exemptions, access may be allowed if the **disclosure outweighs the harm** to protected interests. **Only absolute exemption: copyright** held by a person other than the State. **Parliament test:** what cannot be denied to Parliament cannot be denied to citizens. **Second Schedule:** Act does not apply to listed intelligence and security agencies, but info on allegations of **corruption and human-rights violations** must still be given (human-rights info only after the Information Commission's approval)

→ investigating agencies were not listed, but **CBI and NIA** were added by **executive order**. **Third-party info:** notice and hearing first (**10 days**). Act prevails over the OSA 1923 and any other inconsistent law

→ **no court** can entertain a suit about an order under the Act except by appeal under the Act

→ **wholly retrospective** (covers info held before the Act too). Exempt info is released after **20 years**, **except** Cabinet decisions, legislature-privilege matters, and info affecting sovereignty and integrity, security, strategic, scientific, economic interests, foreign relations or inciting an offence.

## RIGHTS AND THE 2019 AMENDMENT PYQ 2020

**Rights of citizens**

→ right to information
→ choose the **medium** of request
→ choose the **language** (English, Hindi or local language of the application)
→ help in writing the request
→ **no reason** or personal details beyond contact details
→ told **immediately** if the request is transferred to another authority
→ help in accessing records if disabled
→ all fees waived for **BPL**
→ all fees waived if the authority misses the time limit
→ reasons for rejection, appeal period, appellate authority details
→ **complaint to CIC/SIC** if: cannot submit to PIO/APIO, refused access, no response in time, unreasonable fee, incomplete, misleading or false info, or any matter on accessing records.

| 2019 change | Effect |
|---|---|
| Tenure and appointment | Central Govt decides tenure of CIC and ICs; **five-year term removed** |
| Salary and service | Govt empowered to fix salaries, allowances, service terms; **delinked from CEC and ECs** |
| Autonomy concern | excess central control seen as weakening Commissions' independence |
| Status | CIC is **statutory, not constitutional** |

**Negative**

→ **executive overreach** (control of tenure and salary reduces independence)
→ **public distrust** (citizens may hesitate to file RTIs, fearing bias)
→ **federal dilution** (SICs lose autonomy under central oversight).

**Positive**

→ **administrative flexibility** (adjust tenure, salary)
→ **fiscal discipline** (cost-effective pay, free of EC benchmarks)
→ **policy alignment** (central oversight may streamline RTI nationwide). **Reflect:** balances efficiency with independence but risks overreach; impact depends on how responsibly the government uses these powers.

*In the news · Saarthi IAS CA, Aug 2026 (verify)* **NSE and RTI:** SC stayed a Delhi HC order that held NSE a public authority. **Hook:** "substantially financed" is undefined (BCCI, parties, DIAL).

### Recall drill: cover and answer

| | | | |
|---|---|---|---|
| First RTI law | Sweden 1766; USA 1966 | Constitutional articles | 19(1)(a), 21, 39(b), 39(c) |
| Who drafted the RTI Bill 2005 | National Advisory Council | Absolute exemption | copyright of a non-State person |
| 2019 Amendment effect | Centre fixes tenure and pay; CIC statutory | | |

# CIC · RTI ISSUES · IMPACT · 2nd ARC

PYQ Mains 2020 (RTI amendment and independence of Commission) · Handout MI pp. 36-38

✎ *The CIC is the RTI's appeal body. Its biggest problems are pendency, weak penalties and awareness. The 2nd ARC gave a fix for each.*

## 👑 CENTRAL INFORMATION COMMISSION

**1+10 · 3/65 · 5** — 1 CIC + up to 10 ICs · term 3 years or age 65, earlier one · no reappointment · IC elevated to CIC: total max 5 years.

**🗳️ Appointment**

→ appointed by the President on the recommendation of a committee: PM (Chair), Leader of Opposition (Lok Sabha), a Union Cabinet Minister nominated by the PM

→ eminent persons with knowledge or experience in law, science, social service, journalism, mass media, public administration, etc.

→ during tenure: no office of profit, no link with a political party, no business

**⏳ Tenure and pay (RTI Rules 2019)**

→ Centre decides tenure by notification

→ currently 3 years or age 65, whichever is earlier

→ Centre prescribes pay and service conditions by rules, delinked from CEC/EC parity · CIC Rs 2,50,000, IC Rs 2,25,000 a month

→ allowances and conditions are set by the Centre, not embedded in the parent RTI Act. After 2019: tenure and service conditions are no longer codified in the Act but set by executive rules

→ CIC remains statutory, not constitutional, limiting safeguards.

**🚪 Removal**

→ the President removes CIC or an IC on proved misbehaviour or incapacity after a Supreme Court inquiry (on the President's reference); this SC safeguard is retained

→ without SC inquiry the President may remove if: declared insolvent · convicted of an offence involving moral turpitude · in paid employment during tenure · physically or mentally unfit · holds a financial or other interest likely to affect duties prejudicially

**BICEP** — Without SC inquiry: Bankrupt · Infirm · Convicted (moral turpitude) · Employed (paid) · Prejudicial financial interest. (own mnemonic)

## ⚠️ ISSUES AND CHALLENGES

**⚠️ Gaps**

→ means vs end: RTI Act is a means to information; there is a gap between the right to information and actual access

→ bureaucratic mindset: RTI is an accountability tool, so bureaucracy resists it

→ no specific budget: no separate funds (2nd ARC: 1% of flagship scheme funds to upgrade RTI infrastructure)

→ absence of political will: bill well drafted and globally appreciated, but hesitancy in bureaucracy and later politicians weakened will to empower it (many exposed scams hurt the govt of the day)

→ limited awareness (APWC study: only 12% of women, 26% of men, 13% rural, 33% urban aware)

→ vague terms and phrases in the law hamper implementation

→ ICs dominated by retired bureaucrats: impartiality affected

**Enforcement**

→ penal provisions rarely applied: Satark Nagrik Sangathan found no penalty in 95% of cases where one was due; retired bureaucrats allegedly have a soft corner for the govt machinery

→ no organic CIC–SIC relationship: a national collaboration platform is needed

→ PIO duty added without incentive: no separate person hired, an officer with other principal duties gets extra burden, so low motivation

→ juniors appointed PIOs to interpret the law: officers of sufficient seniority needed

→ poor record keeping causes delay (suggested: specialised record-keeping agency to advise and train)

→ abuse of Schedule II: many bodies listed against the spirit of the law

→ IC orders not implemented: ICs have no contempt powers

**Pendency**

→ an estimated 40–60 lakh RTI requests are filed a year; delay defeats the spirit of the law because RTIs serve contemporary needs

→ 2.55 lakh cases pending in 26 ICs; vacancies in IC posts add delay; average disposal about 1 year 11 months; COVID worsened it

→ annual reports (to be laid before the legislature): 21 of 29 ICs did not submit for 2019–20; SICs of AP and Telangana have not published since 2017 and Odisha since 2015–16

→ waning interest: media, activists, civil society must keep generating awareness but interest is fading

**📜 Impact**

→ besides transparency it became a grievance-redressal tool

→ exposed corruption, wasteful expenditure, scams, junkets, false narratives, recruitment results and marks

→ rural sections gained access, largely through NGO help

→ became a national movement aiding Right to Food, Right to Education movements

→ more successful for personally relevant information; falls short where controversial info of large public interest is involved.

## 🔧 2nd ARC RECOMMENDATIONS

**Secrecy**

→ repeal the Official Secrets Act

→ replace oath of secrecy with oath of transparency

→ periodically review Second Schedule to stop list inflation; drop bodies not needed

→ classification norms are laid down by MHA and not public; Public Records Act 1993 mandates a 5-year review of top secret, secret, confidential files for declassification or downgrade, but procedure and norms are also not public, so govt discretion must be checked

| Classification | Damage |
|---|---|
| Top Secret | exceptionally grave |
| Secret | serious |
| Confidential | simple |
| Restricted | official use only |

👥 Structure and access

→ selection of ICs: selection committee to include the CJI instead of the Union Cabinet Minister; at least half of IC members from non-civil-service background

→ access: 4 regional CIC offices; organisations with more than 1 PIO to name a nodal PIO; PIOs in the Central Secretariat at least Deputy Secretary or Director; payment by stamps or postal orders; single-window agency in each district to receive requests for all PIOs; suo motu disclosure in print, free for reference

→ records and funds: independent public records office (Centre and states) as technical repository; one-time 1% of all flagship programme funds for 5 years for RTI infrastructure and manuals

→ training for civil servants, not just PIOs; awareness campaigns through credible NGOs; CIC and SIC to issue ready reckoners

→ National Coordination Committee chaired by the CIC for an organic CIC-SIC link

→ "substantially financed" = receiving 50% of operating costs for 3 years or at least Rs 1 crore of govt funding; bring such bodies under RTI; steps to check frivolous complaints

## Recall drill: cover and answer

| | | | |
|---|---|---|---|
| CIC strength | 1 CIC + up to 10 ICs | Term and age | 3 years or 65 |
| CIC / IC pay | Rs 2.5 lakh / Rs 2.25 lakh | Penalty gap | not imposed in 95% of due cases |
| 2nd ARC definition | substantially financed = 50% operating cost 3 yrs or Rs 1 crore | | |

# THE PROBLEM OF CORRUPTION

PYQ Mains 2016 · 2019 · 2014 · Handout M2 · Corruption

✎ *Corruption is misuse of public power for private gain. Learn the types, why it happens, what it costs and how it is measured, each with an example.*

As old as civilisation: Kautilya's Arthashastra lists many ways a civil servant can be corrupt and specific measures to contain it. Present everywhere, only in varying degree; almost no human activity is untouched; it has contributed to the decline of empires and to reforms in religion. TI definition: private abuse of public office. Elephant Test: corruption may be hard to define or describe, but when a civil servant does something unethical, society knows it: easier to point out than to define. ⭐

⚠️ Defining issues

→ Is a gift a bribe? consider the donor's intent, the recipient's expectation, timing, value, the country's legal framework, and social acceptability

→ Culture varies: old school ties (UK: used to leverage favours, culturally accepted) · lobbying and networking (USA: regulated by law, legal, not seen as corrupt) · Blat (Russia: Soviet-era system of favours and reciprocal favours, culturally accepted) · Guanxi (China: a favour done must be returned)

→ Public bodies only, or private sector too? Many say both, but casting the net too wide dilutes focus and makes corruption unmanageable; counter-view: if government is incorruptible, private-sector corruption will fall naturally

## TYPES

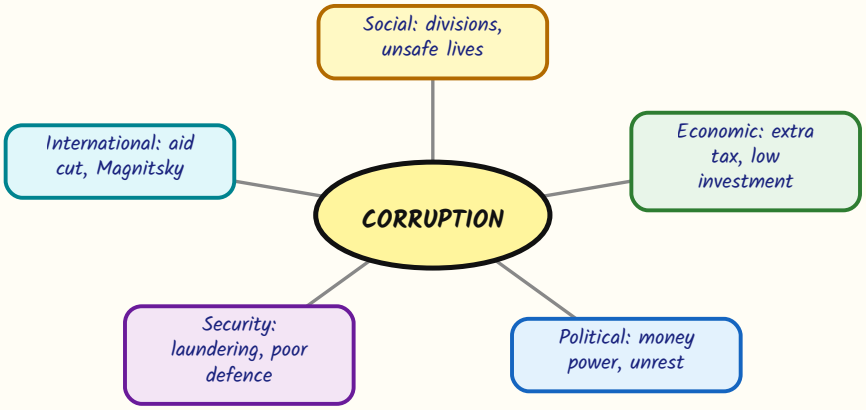
| Pair | Meaning |
|---|---|
| Black | every section of society unanimously feels the behaviour is corrupt and must not be tolerated |
| White | society recognises it as corrupt but tolerates it (common: speed money) |
| Grey | wide differences between sections of the population on whether the behaviour is corrupt |
| Grass eating | public servant who does not seek bribes but does not refuse one if offered |
| Meat eating | public servant who actively seeks opportunities to benefit through corrupt means |
| Coercive (extortive) | faced widely by the common man: must bribe an official just to get his due; the official extorts |
| Collusive (transactive) | official and bribe-giver collude for gain at the cost of public interest; both gain illegally |
| Retail (petty) | small corruption at street-level bureaucracy that the common man meets regularly (e.g. speed money) |
| Policy (grand) | crony capitalism: business houses practise state capture, influencing government to frame policies that illegally benefit them; at the highest levels |

**Corruption in the wider sense**

→ goes beyond giving and taking bribes; it includes any behaviour that harms public interest: lethargy in assigned duties
→ dereliction or negligence of duty
→ repeated carelessness
→ non-punctuality
→ subjective interpretation of public interest
→ favouritism and nepotism
→ communalism, casteism, lynching, regional bias.

## IMPLICATIONS PYQ 2016 PYQ 2019

## FIVE FALLOUTS




**SPIES** – Corruption SPIES on the nation: Social · Political and legal · International · Economic · Security.

| Implication | Detail (handout) |
|---|---|
| Social | divides society vertically (rich or well-connected get their due, the poor do not) and horizontally (favouring one caste or class, neglecting others) · insecurity: people stop reporting crime and cooperating with police, boosting criminals' morale and criminalisation · endangers lives: building collapses, fires from substandard material, false certificates · erodes the social fabric: general distrust |
| Economic | aid reduced: in African countries aid went to dictators, warlords, corrupt officials, so donors changed stance, even for poor countries · lower investment: investors wary; Paulo Mauro: differential between less and more corrupt countries can be as high as 12% · acts as an additional tax on investment (bribes, extortion) · lower government revenue (officials collude or extort in collection) · diverts spending to non-priority sectors to ease corruption · lowers govt efficiency · distorts fair competition (collusion, crony capitalism) · brain drain and capital flight · hard to join international clubs (Eastern Europe vs EU) · environmental damage via collusion with officials |

| | |
|---|---|
| Political and legal | raises officials' power: in a fair system discretion is limited; in a corrupt one officials use it for gain · more money power · pork-barreling: a project shown as public interest but actually serving corporates, officials and politicians · citizens' despair raises appeal of extremist politicians (xenophobia, radical solutions, populism) · mass unrest (India Against Corruption) · radical tendencies: left extremism and North-East insurgency fed by corruption, poor development, a cycle of violence |
| Security | security forces' corruption aids money laundering, drug and human trafficking, arms smuggling; defence procurement corruption hurts contract quality |
| International | Magnitsky Act 2012: Magnitsky, a Russian lawyer prosecuted for exposing corruption; US Congress passed an anti-corruption law in his name, souring ties with Russia · German car insurance (1990s): high-end cars stolen and smuggled to Central Europe with corrupt officials' help; premiums skyrocketed; diplomatic row |

Revisionism: a school of thought with not many takers: some corruption in civil services is not bad. Hypothesis: civil servants are largely lethargic, less motivated, prone to red tape and poorly paid, so efficiency is low; corruption increases bureaucratic efficiency in public work.

## WHY IT HAPPENS

**APPLE** – Corruption is the rotten APPLE; five kinds of factors rot it: Administrative · Psycho-social · Political · Legal · Economic.

**HORNETS** – Psycho-social stings: History · Opportunity theory · Religious context · No popular sanction · Evils · THYMOS · Squirrel Nuts Syndrome.

| Psycho-social factor | Meaning (handout) |
|---|---|
| Basis | behaviour = attitudes/predispositions inside the person + the environment around |
| THYMOS (Greek: respect, recognition) | high corruption correlates with low self-worth; people turn to materialism to raise it; low self-esteem puts the locus of control outside, so worth depends on how society values them |
| Societal attitude | society sees govt as highly corrupt; persistent labelling and shaming; even honest employees are seen through a corrupt lens, a disincentive to be honest |
| Squirrel Nuts Syndrome | bureaucrats near retirement turn more corrupt to keep the benefits they enjoyed |
| Opportunity theory | most civil servants do not seek opportunities, only a few do; but when opportunities come they commit corruption; so reduce opportunities |
| Religious context | European studies: areas with more Protestants less corrupt, since Protestantism was born as a reaction to corruption in the Catholic Church |
| History | long history of corruption (lower bureaucracy corrupt since ancient times, as in Kautilya) makes society tolerant |
| Popular sanction | no popular sanction against corruption; honest people are victimised |
| Social evils | excess spending on marriages, dowry provoke officials to corruption |

**Economic**

→ poor salary at upper levels is blamed, but raising pay alone may not dent corruption much

→ consumerism feeds low self-esteem and so corruption

→ licence-permit-quota raj → clearance raj: so many clearances and NOCs before starting a venture; red tape gives incentive to be corrupt

→ willingness and ability: big MNCs have the clout to bribe their way to favourable policy

→ business houses do not cooperate: if all refused to pay bribes corruption would fall sharply, but they try to outbid and outdo each other for government favours

**Legal**

→ excessive legal protection for public servants against prosecution for corruption

→ **Art 311:** reasonable opportunity before action, so it is very hard to dismiss corrupt servants; a source of excessive protection

→ **PCA 1988, Sec 19:** sanction of the appointing authority before prosecution

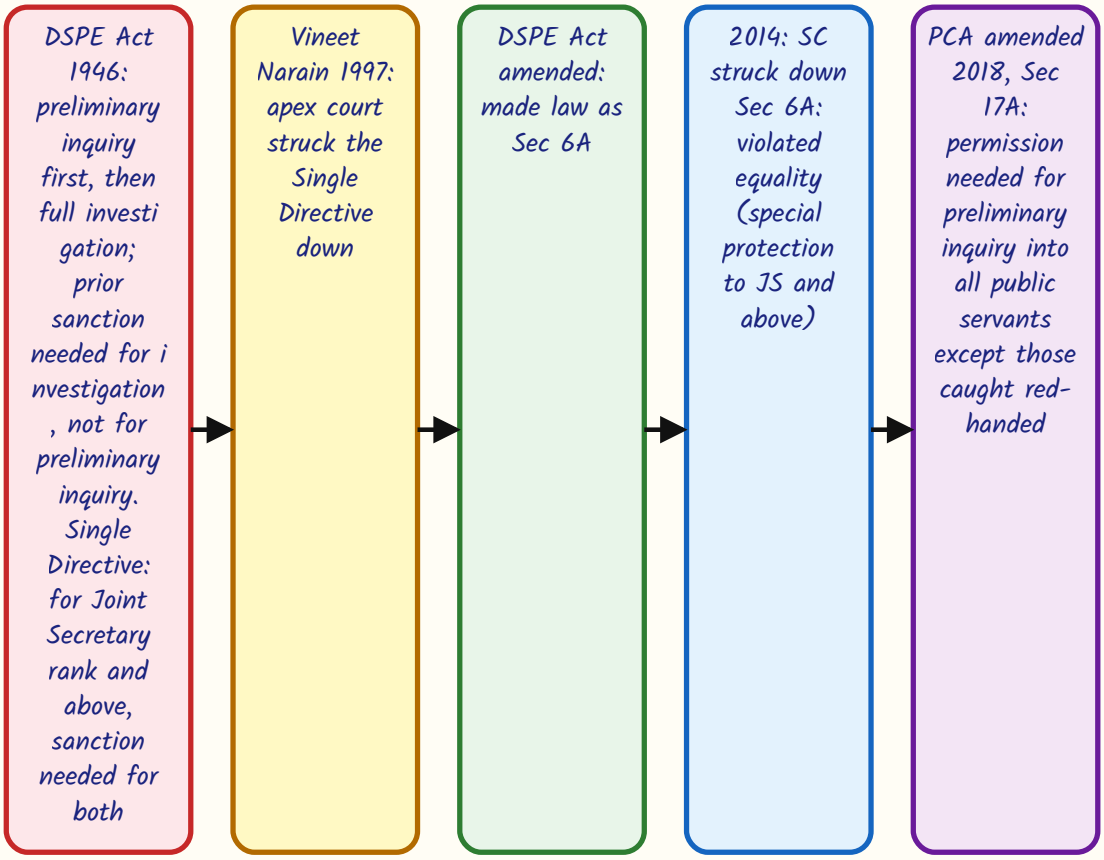
→ **CrPC Sec 197** (as in the handout): permission of the appointing authority to prosecute for any offence **other than corruption** linked to official duty. Sec 19 and Sec 197 were meant to protect honest servants from spurious allegations but are **misused to protect the corrupt**

→ **delay** in prosecution (inadequate judicial process)

→ **no effective whistleblower law** to protect honest officials

→ **inadequate autonomy** of CBI and CVC, which have become politicised

## THE SANCTION CHAIN




**Administrative + Political**

→ **administrative:** procedural complexity breeds **middlemen** who carry the corrupt money · **red tape** · weak internal grievance machinery · **peer pressure and indoctrination** make honest officials afraid to pursue anti-graft action · **bureaucratic resistance to reform** · **politicised** management through transfers and plum postings · general culture of **secrecy**

→ **political: no political will** (repeated attempts to pass the Lokpal Bill, delay in appointing Lokpal) · **criminalisation** of politics (criminals inside the system protect themselves) · system does not encourage neutrality: officials take sides when a dispensation is in power · **lack of voter maturity** (ousted parties re-elected; TINA: There Is No Alternative) · **money power** in elections · weak disclosure norms on functioning and funding of parties

## MEASURING CORRUPTION

**Official statistics:** usable, but if prosecution and investigation are ineffective, they give an incomplete picture. **Perceptual and attitudinal surveys:** especially by international NGOs.

**CPI** – CPI by Transparency International · annual since 1995 · 0 = most corrupt, 100 = least corrupt. 2020 CPI (released 2021): New Zealand and Denmark least corrupt; Somalia, South Sudan last; South Asia: Bhutan 24th; USA 25th, Botswana 35th, China 78th, Pakistan 124th (as printed).

**CPI critique**

→ based on questionnaires to country experts and business leaders, not the common man

→ scores rest on perception, not objective assessment

→ sources change year to year

→ number of countries surveyed varies, so comparing ranks over years is inappropriate.

**Other tools**

→ Experiential surveys: TI's Global Corruption Barometer (actual experience; not annual, regional; in Asia, Japan least corrupt and India most corrupt among 17 countries)

→ Tracking surveys: World Bank PETS (tracks funds and flows at different levels when donor funds are spent)

→ content analysis of media (crude but interesting).

## Recall drill: cover and answer

| | | | |
|---|---|---|---|
| TI definition | private abuse of public office | Grass vs meat eating | accepts if offered vs actively seeks |
| Sanction chain | Single Directive → Narain → 6A → struck 2014 → 17A (2018) | CPI scale; since | 0 corrupt to 100 clean; 1995 |
| Mauro estimate | investment lower by up to 12% | | |

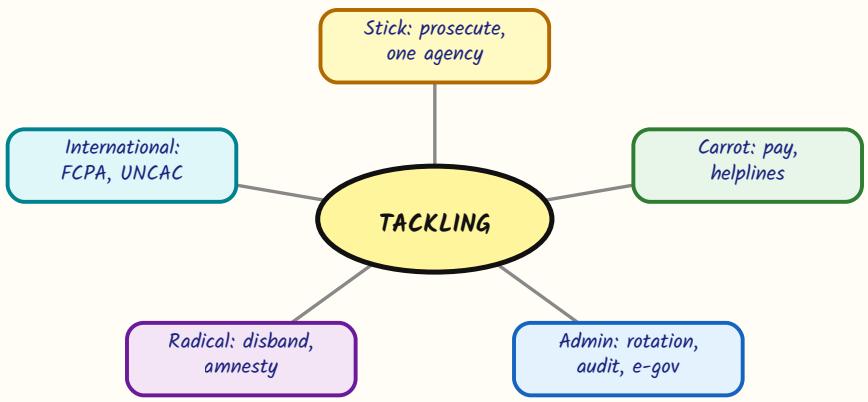
# TACKLING CORRUPTION & SOCIAL AUDIT

PYQ Mains 2021 · 2016* · Handout M2 · Strategies

*Corruption is a "wicked problem": it can be controlled, not removed. Use sticks, carrots, administrative fixes, radical ideas and citizen audit together.*

**Wicked problem:** despite multiple laws (PCA, Lokpal, CVC Act) corruption persists; a proliferation of laws often signals systemic inefficiency. Corruption can only be controlled, not eliminated.

## TOOLKIT



**SCAR-I** – Stick (prosecution, stings, asset declaration) · Carrot (pay rise with enforcement, helplines) · Administrative and technical (rotation, audit, procurement) · Radical (disband, gender balance, amnesty) · International (FCPA, UK Bribery Act, OECD, UNCAC, FATF).

**Stick**

→ **Legal system and prosecution:** higher conviction rates deter (e.g. Botswana); in India delayed trials and lenient punishment cut deterrence; harsh penalties like China's are unsuitable because of rule-of-law gaps and risk of victimisation

→ **Stings and entrapment:** admissibility of sting evidence is ambiguous; **natural stings** (citizen recordings) should be admissible; legal clarity needed to avoid misuse, as Sweden's restrictive stance shows

→ **Tighten anti-corruption laws:** 2018 amendments **diluted the PCA**; political will lacking to plug loopholes in whistleblower law, CVC Act, Lokpal Act

→ **Declaration of assets:** monitor disproportionate lifestyle indicators and run rigorous audits

→ **Effective agencies:** India's fragmented set (CVC, CBI, Lokpal, ED) lacks focus; Singapore (**CPIB**) and Hong Kong (**ICAC**) succeed with a **single dedicated agency**

→ **Public shaming and blacklisting:** naming corrupt officials (South Africa), blacklisting firms from public contracts: soft deterrents

→ **Penalties on financial security:** forfeiting pensions and future benefits creates fear of long-term loss

**Carrot**

→ **substantial pay increase**, if paired with strict enforcement, can improve integrity at entry level

→ **citizen-centric helplines:** **Delhi's anti-corruption hotline** lets citizens report bribe demands without fear; replication needs effective **whistleblower and witness protection** laws

**Admin/ tech**

→ **job rotation:** frequent transfers in sensitive posts break entrenched networks (Kautilya supports)

→ **auditing:** CAG's limited coverage (**25% of auditable units** a year) hampers oversight; more manpower, IT tools, random audits

→ **procurement:** internal bid norms and a comprehensive **Public Procurement Law**; procurement is **30% of GDP** and corruption-prone; **2012 bill lapsed**, revival urgent

→ **digitisation:** online delivery cuts physical interface, curbing petty corruption

→ **CCTV** in high-risk zones (police stations, borders, vulnerable departments), high-risk first

**Radical**

→ **Departmental disbanding (Georgia):** non-reformable departments (Traffic Police, 2004) disbanded; fresh recruitment under stricter norms

→ **Gender balance (Peru):** more women in bureaucracy showed less corruption; could be piloted in India

→ **Monetising bribes (Romania):** allowing official payments to avoid petty bribes (as in its conscription policy); controversial on equity grounds

→ **General amnesty:** to disclose black money (with **50% surrender**); debated; stricter enforcement essential after it

**International**

→ US FCPA 1977 and UK Bribery Act 2010 penalise MNCs' offshore corrupt practices
→ OECD Anti-Bribery Convention 1997 and UNCAC 2003 promote global norms
→ FATF 1989 fights money laundering
→ Interpol IGEC sets corruption standards for police
→ WTO's inaction on corruption as a non-tariff barrier is a missed chance
→ push for global financial transparency against banking havens. Critique: Western countries ignored corruption until the 1990s; post-globalisation it became a geopolitical tool; the "anti-corruption industry" with vested NGO interests often prioritises data production over ground impact; cultural imperialism concerns. Alternatives: spiritual education (ethics and meditation in curricula for internal integrity); Integrity Recognition Certificates (officially recognise honest officers to build peer-pressure networks; must be insulated from politicisation).

## SOCIAL AUDIT PYQ 2021

Definition: details of how a scheme is implemented and its resources, financial and non-financial, are shared with beneficiaries on a public platform (Jan Sunwai, public hearing, Gram Sabha); people can hold the local bureaucracy and Panchayat leaders accountable and judge the real impact. With local people involved, funds, resources, beneficiaries and records are laid bare; people spot loopholes, which checks corruption, raises transparency, fixes accountability and strengthens democracy. Unless public agencies must fully reveal scheme details, social audit is a lost cause: key = sound access to information.

**Features**

→ multi-perspective: helps beneficiaries and local leaders and civil servants, who can present their side when loopholes are found
→ regular: periodic, so issues are re-evaluated continuously
→ comparative: compares over time and across villages to show weaknesses and good practice
→ strengthens demand side: builds pressure on local bureaucracy to implement honestly; directly targets demand-side weaknesses, indirectly supply-side ones

**Significance**

→ more people's participation
→ benefits reach the targeted persons
→ social capital: community-building; people come together to bring change
→ identifies human-resource and training needs of civil servants
→ highlights development concerns
→ promotes transparency, checks corruption
→ helps frame better programmes later

**Issues**

→ not part of mainstream policy discourse
→ statutory in very few programmes (NREGA is one)
→ lack of trained social auditors
→ opposition from vested interests
→ symptom-cause relationship: fixing only surface symptoms (awareness drives for plague without tackling poor sanitation, congested housing) gives minimal impact; a scheme's failure at a remote symptom level should not justify dropping it unless all causal layers are examined; audits must assess multiple cause-effect layers, so trained auditors are essential

**MOST** — Social audit hurdles: Mainstream policy discourse ignores it · Opposition from vested interests · Statutory in very few programmes (NREGA) · Trained auditors lacking.

**👥 Strengthening**

→ Legal and institutional: model national social audit law inspired by Meghalaya's 2017 Act for all public service schemes (community ownership, accountability); independent audit units: autonomous, well-resourced, professionally staffed (AP SSAAT); strengthen CAG oversight and build PRIs' technical and human-resource capacity

→ Stakeholders: grassroots campaigns for Gram Sabha members; structured auditor training in standards and ethics; partner NGOs and media to amplify findings; recognition for active Gram Sabha participants

→ Standardise and digitise: online portals with real-time audit reports, scheme spending, PRI records; proactive disclosure of project data; unified audit guidelines and checklists for uniformity and comparability

→ Best practices: Chhattisgarh: link audits with grievance redressal; wall writing for community transparency · Karnataka: rotate audit teams after every 3 audit cycles to prevent familiarity and collusion

| Success story | Detail |
|---|---|
| AP MGNREGA (SSAAT) | autonomous Society for Social Audit, Accountability and Transparency; trained village-level resource persons; crores misappropriated in wages recovered; World Bank lauded it as a global best practice in participatory accountability |
| Jharkhand SAU (MGNREGA, PDS, pensions) | independent audits exposed ghost beneficiaries, wage delays, PDS ration diversion; SC in Swaraj Abhiyan (2016) appreciated social audits; built local capacity, empowered Gram Sabhas |
| Rajasthan MKSS | jan sunwais in the 1990s revealed massive leakages; movement led to RTI Act 2005 |
| Bengaluru Citizen Report Cards | a civil society organisation pioneered CRCs; surveys on water supply, public hospitals, transport; bribery fell, satisfaction rose; endorsed in a 2003 study; globally recognised |
| Municipal benchmarking | local bodies compared service delivery costs (e.g. cost per km of road); public disclosure built citizen pressure on inefficient bodies, cutting urban corruption |

📰 *In the news · Saarthi IAS CA, Jul/Aug 2026 (verify)* Low Gram Sabha participation (NIRDPR study): barriers: livelihood and time (55.5%), exclusion of migrants, women, youth, elderly; trust fatigue. Impact: elite capture; social audits become a formality; Niyamgiri 2013 (12 Gram Sabhas rejected mining). Way: Action Taken Reports; off-peak meetings; Kudumbashree; ARC-II statutory powers.

## Recall drill: cover and answer

| | | | |
|---|---|---|---|
| Sustained approach | control, not eliminate: wicked problem | Single-agency models | Singapore CPIB, Hong Kong ICAC |
| Meghalaya | 2017 Act: model for a national social audit law | Karnataka best practice | rotate audit teams after 3 cycles |
| Key to social audit | access to information | | |

# 📖 CBI & CVC 📖

*PYQ Mains 2021* · Handout M2 · Institutions*

✎ *CBI investigates, CVC watches. Vineet Narain (1997) put the CVC over the CBI and gave the Director a fixed tenure.*

**Legal framework**

→ BNS Sec 203 (IPC 169): civil servants illegally acquiring property is an offence · BNS Sec 316 (IPC 409): criminal breach of trust by a public servant

→ DSPE Act 1946 sets up CBI for anti-corruption investigation · RPA 1951 Sec 123: corrupt practices in elections · PCA 1988: general anti-corruption law · Benami Properties Act 1988 · PMLA 2003: nodal law on money laundering · CVC Act · RTI 2005 (transparency, accountability) · state Lokayuktas Acts · Lokpal Act 2013 · Whistleblower Act 2014 · time-bound service delivery laws (to tackle speed money)

→ Institutions: CBI, CVC, state anti-corruption bureaus and vigilance wings, CAG, Lokayuktas, Lokpal, ED (principally PMLA and FEMA), Banking Sector Ombudsman, Consumer Courts, the 3-tier judiciary

## CBI

## HOW CBI GREW

*Special Police Establishment, 1941* → *DSPE Act 1946: statutory backing* → *Popular name CBI, 1963*

| CBI division | Handles |
|---|---|
| Anti-Corruption | corruption cases |
| Special Crimes | serious, sensational, organised crimes |
| Economic Offences | cheating, Ponzi schemes, counterfeit currency |
| Banking and Security Frauds | economic offences in banking and securities markets |

**⚠ Issues**

→ politicisation: a former SC judge called CBI a "caged parrot"; every ruling party at the Centre has used such bodies against political opponents, so it is not impartial or autonomous

→ staff shortage: about one-third of posts vacant

→ conviction rate 67% is high vs 30–40% for other agencies, but low in high-profile cases

→ sanction for prosecution: long delays in disposal (partly staff shortage); after investigation comes prosecution, but PCA Sec 19 and CrPC Sec 197 give civil servants undue protection and sanction must come from the government (state govt, per handout); delay in sanction means delay in prosecution

→ no suo motu jurisdiction: CBI handles only cases transferred to it

## VINEET NARAIN 1997

**SCATTER** – Single Directive struck down · CVC superintends CBI on PCA cases · Appointment of Director by a committee · Tenure minimum 2 years · Transfer by the same committee · Executive (DoPT) sets only the policy framework · Reproach remains: still called a "caged parrot". (own mnemonic)

**Directions in detail**

→ CVC supervises CBI: CVC deals largely with anti-corruption cases and civil-service discipline violations; the CVC Act gives it general superintendence over CBI in PCA cases

→ minimum guaranteed tenure for the Director and other key CBI posts; under the DSPE Act, 2 years for the Director; an ordinance allows extension up to 5 years, after the 2 years, in tranches of 1 year

→ Director's appointment not left to the govt's sole discretion: committee of the PM, Leader of Opposition in Lok Sabha (or leader of the largest opposition party if there is no recognised LoP) and the CJI; the transfer of the Director also needs the same committee

→ Single Directive struck down

→ DoPT: CBI is under its broad direction and control, but only for the overall policy framework, not day-to-day work or investigations

## CVC

### CVC TIMELINE

1962 Santhanam Committee → 1964 executive body → 2003 CVC Act: statutory

**1+2 · 4 · 65** — 1 Commissioner + up to 2 Vigilance Commissioners · term 4 years · age 65 · no reappointment.

**🗳️ Selection**

→ chosen from two categories: persons who are or were in All India or Central Services, and officers of CPSUs; selecting from both ensures at least one from each

→ committee: PM, Home Minister, Leader of Opposition (or leader of the largest opposition party); the govt effectively has the final say through its two representatives

→ P.J. Thomas case 2011: SC held that the govt's majority made the LoP's membership pointless, so selection must rest on consensus, not majority (the ruling applied to this appointment, not all committee appointments)

**⏳ Terms**

→ term: 4 years, retirement age 65; no reappointment to the same post, but a Vigilance Commissioner can be elevated to CVC if total stay stays within 4 years

→ pay and conditions: CVC = UPSC Chairperson; VCs = UPSC members; cannot be altered to their disadvantage; paid from the Consolidated Fund of India

→ barred from appointment as UT administrator, diplomatic assignments or any post made under the President's warrant and seal; no office of profit under Centre or states

→ removal: proven misbehaviour or incapacity through a reference to the Supreme Court; other grounds: insolvency, moral turpitude, private employment, infirmity of body and mind, prejudicial financial interests

**⚡ Functions**

→ superintend and give directions to CBI in PCA 1988 corruption cases (as directed in Vineet Narain)

→ inquire or cause inquiry on a Central Government reference, or on complaints against Group A officials, AIS officers and equivalent CPSU officials (Sec 8(2) CVC Act 2003)

→ review progress of DSPE investigations under PCA and of pending applications for sanction of prosecution

→ advice to Central Govt and organisations on referred matters; superintendence over vigilance administrations of ministries and organisations; civil-court powers in inquiries

→ mandatory consultation before the Centre makes rules on vigilance or disciplinary matters of Union services and AIS members

→ CVC is chair (Vigilance Commissioners members) of the committee recommending the Director of Enforcement (and ED officers at Deputy Director level and above, after consulting the Director) and of the committee recommending CBI officers of SP rank and above except the Director, incl. extension or curtailment of their tenure

→ annual report to the President, who places it before Parliament

⚠️ Issues

→ overwhelming dependence on CBI for investigation, and CBI is politicised and government-controlled

→ no independent prosecution power; sanction needs government permission, often delayed

→ cases of non-cooperative attitude of government

→ poor engagement with civil society, citizens, NGOs in the same field.

🔧 Suggestions (handout, with examples)

→ give CVC independent investigative and prosecution powers like Lokpal (2nd ARC Ethics report: functional autonomy for vigilance agencies, less reliance on politicised CBI)

→ statutory 3-6 month timelines for prosecution sanction (Vineet Narain fixed timelines, but TI India 2023: over 70% pending beyond 6 months)

→ make CVC advice a binding oversight over vigilance in ministries and PSUs (Sarkaria)

→ more manpower and technology: dedicated vigilance cadre, digital monitoring (CVC annual report 2023: under 50% of sanctioned staff, over 1500 organisations)

→ civil society participation, public grievance dashboard (2nd ARC; South Korea's ACRC)

→ binding recommendations via amending CVC Act (Punchhi Commission)

→ transparent selection: add judiciary members or eminent anti-corruption experts (P.J. Thomas 2011).

Flag: CVC Selection Committee (PM, HM, LoP) differs from Lokpal (PM, Speaker, LoP, CJI, jurist).

## Recall drill: cover and answer

| | | | |
|---|---|---|---|
| CBI timeline | 1941 SPE → 1946 Act → 1963 named CBI | CVC statutory | 2003 |
| Director committee | PM, LoP, CJI | CVC term; age | 4 years; 65 |
| Thomas case 2011 | selection by consensus | | |

# LOKPAL IN INDIA

PYQ Mains 2013 · Handout M2 · Lokpal

✎ *The Lokpal is the ombudsman for central corruption cases. The Act is detailed, but the body has been slow and thinly used.*

| 1809 | 1967 | 1968 | 1971 | 2013 | 2019 |
|---|---|---|---|---|---|
| Sweden ombudsman | UK Parliamentary Commissioner | India's first Lokpal Bill introduced | Maharashtra Lokayukta | Bill passed = Lokpal and Lokayuktas Act | Lokpal constituted: Justice P.C. Ghose |

Lokpal = ombudsman or watchdog of administration; first came into existence in Sweden, 1809. UK: designated Parliamentary Commissioner, set up 1967. USA: ombudsman only in some states (Hawaii, Oregon, Nebraska), not federal. First ARC: two-tier set-up: Lokpal to probe officials of Secretary rank and above at Union and State levels; a Union Lokayukta for officials below Secretary rank at the Union level; State Lokayuktas for similar cases in states. India: first Bill introduced 1968; present Bill passed 2013 (became the Act); Lokpal constituted 2019, Justice P.C. Ghose Chairperson of the nine-member body. Maharashtra first state to appoint a Lokayukta (1971).

**State experience**

- → flooded with complaints: an apex body's efficiency depends on lower departments handling petty complaints well
- → poor effectiveness: powers inadequate to investigate and prosecute properly
- → inter-state differences in qualifications, tenure, functions, powers, suo motu powers; no separate investigation agency
- → survival at the state government's sweet will: created and abolished by states; Odisha abolished it by ordinance in 1992; Haryana, 1999
- → paper tigers: mostly recommendatory
- → corruption within Lokayuktas (allegations of extortion)
- → misused to intimidate political opponents

## LOKPAL ACT 2013 PYQ 2013

**9 · 25 · 45 · 5/70** — 9 members · 25 years' experience · min age 45 · term 5 years or 70.

**Composition**

- → nine-member body including the Chairperson
- → Chairperson: is or has been a CJI or SC judge, or an eminent person with 25 years' experience in vigilance, anti-corruption, law, finance, administration, management
- → 8 members: half judicial (SC judge or High Court Chief Justice), half non-judicial (eminent person with 25 years' experience in the same fields)
- → 50% affirmative action: opportunity for SC, ST, OBC, minorities, women

**Conditions**

- → not an MP, MLA or MLC; not a member of any local body
- → minimum age 45
- → not removed or dismissed from government service
- → no other office of profit, no business activity or profession
- → no affiliation with any political party

## APPOINTMENT

Selection committee may appoint a 7-member search committee to shortlist (also with 50% affirmative action) but may go beyond its names → Selection committee: PM (Chair), Speaker, LoP in Lok Sabha, CJI or SC judge nominated by him, eminent jurist chosen by those four → Appointed under the name and seal of the President on its recommendation → Tenure 5 years or age 70; no reappointment, except a member elevated to Chairperson within a total of 5 years

Gap: the Act does not say who replaces the Leader of Opposition if there is no recognised LoP in Lok Sabha.

**COPES** – Selection committee: CJI or nominated SC judge · Opposition leader (Lok Sabha) · PM (Chair) · Eminent jurist (chosen by the four) · Speaker of Lok Sabha.

Pay: Chairperson = CJI; member = SC judge; terms cannot be altered to their disadvantage in office. Disabilities after retirement: like CVC, plus cannot contest any election in India for 5 years. Wings: Inquiry wing (Director of Inquiry), Prosecution wing (Director of Prosecution), Secretary of Lokpal, appointed from a panel recommended by the Government of India.

## PRIME MINISTER: IN OR OUT?

**2nd ARC opposed covering the PM**

→ it would cripple administration while an investigation runs

→ foreign powers may exploit it to malign the PM

→ the PM is already covered by the PCA 1988.

**Arguments for covering the PM**

→ CBI works under DoPT, i.e. the PM's direct control, which would hamper investigation

→ the PM should lead by example; some states' Lokayuktas already cover the CM

→ Art 361 exempts only the President and Governors; no legal or constitutional exemption for the PM.

**PAISE** – Act covers the PM only partially: the Lokpal shall not investigate a PM decision on "the Lokpal cannot count the PM's PAISE": Public order · Atomic energy · Internal security · Space · External security and international relations. Even otherwise, the full bench must approve, by a two-thirds majority, the start of an inquiry or investigation against the PM.

## ⚡ JURISDICTION AND POWERS

**Covers**

→ PM (partially), Union Ministers, MPs, Group A–D officials, and functionaries of boards, corporations, societies, trusts funded by govt (receiving above Rs 10 lakh a year)

→ any individual may complain for offences under the PCA 1988

## 📬 FLOW OF A COMPLAINT

*Complaint → Lokpal may order a preliminary inquiry by its Inquiry Wing, CVC or agencies like CBI; first seeks the public servant's explanation to find a prima facie case; Group C and D complaints go to the CVC; inquiry ends in 60 days*

→

*After the inquiry report and a hearing of the public servant, Lokpal can: order full investigation, start departmental proceedings, close the case, or proceed against the complainant if allegations are false*

→

*Investigating agencies report to Lokpal and the court; a Lokpal Bench (min 3 members) decides on sanction to prosecute, departmental action, or closure*

→

*Lokpal replaces the appointing/dismissing authority in granting prosecution sanction under CrPC 218 and PCA 19*

**⚡ Powers**

→ search, seizure, asset attachment, Civil Procedure Code powers for inquiries, superintendence over CBI for cases Lokpal refers. Removal: on grounds of misbehaviour, through a reference to the Supreme Court, but only if signed by at least 100 MPs; on other grounds (insolvency, private employment, infirmity of body or mind, prejudicial financial interest) the President may dismiss on the advice of the Council of Ministers. Also: annual declaration of assets and liabilities by public servants

→ annual report to the President, tabled in Parliament, with a memorandum explaining why recommendations were rejected

→ 7-year limitation period for filing complaints.

## ⚠️ ISSUES AND WAY FORWARD

**⚠️ Issues**

→ jurisdiction too wide

→ very convoluted appointment process

→ PM only partially covered

→ 7-year limitation period is a limit

→ wide scope can lead to intimidation of NGOs

→ delays in appointments

→ Functioning since 2019: allegations of emasculating the body through legislation · govt delayed rules on the complaint form, asset disclosure, and Lokpal's rules for preliminary inquiry and investigation · prosecution and investigation wings not set up by 2020 · yet by Sept 2019 it had disposed of 1,000 of 1,065 complaints · complaints keep falling: 1,427 (2019–20) → 110 (2020–21) → 12 till August of 2021–22

**2nd ARC**

→ give constitutional status (now only statutory) to both the Union and State bodies, for independence and respect

| | |
|---|---|
| | → Rashtriya Lok Ayukta (Union level): Union Ministers, MPs, State Chief Ministers<br>→ State Lokayukta: State Ministers and state legislatures<br>→ CVC should handle civil servants<br>→ Local Bodies Ombudsman for political and administrative officials of local bodies |
| Not a panacea | → corruption is a hydra-headed monster, needing a multi-pronged strategy<br>→ the bureaucracy is huge, so Lokpal cannot handle all complaints<br>→ how well govt bodies deal with petty complaints should be examined, since Lokpal gets them too<br>→ inadequate judicial process<br>→ developed nations have an ombudsman, empowered citizens and willingness to complain; India lacks these. |

**Recall drill: cover and answer**

| | | | |
|---|---|---|---|
| First Bill introduced; Bill passed (Act); Lokpal constituted | 1968; 2013; 2019 | Members; term | 9; 5 years or 70 |
| Prelim inquiry | 60 days | Removal reference | SC, signed by 100 MPs |
| Limit on complaints | 7 years | | |

# WHISTLEBLOWERS & PCA 1988

PYQ Mains 2015 · 2022 · Handout M2 · Laws

✎ *The 2014 Act protects people who report corruption but bars anonymous complaints. The PCA 2018 amendment makes giving a bribe an offence too.*

## WHISTLE BLOWERS PROTECTION ACT 2014

PIDPI Act 2014 (Public Interest Disclosure and Protection of Individuals making Disclosure): anyone can be a whistleblower about any public body or agency. Disclosure goes to the competent authority. No anonymous complaints. The CVC can issue directions for protection. Frivolous complaints: 2 years' jail. A 2015 amendment bill (introduced, later lapsed) proposed that the Official Secrets Act 1923 should override the Whistleblowers Act. (Handout also describes it as a mechanism to receive complaints on corruption or wilful misuse of power or discretion, with inquiry and safeguards against victimisation.)

| Complaint about | Goes to |
|---|---|
| 👑 Union ministers | Prime Minister |
| 👑 State ministers | Chief Minister |
| 📜 Legislators | Presiding Officer |
| Civil servants | CVC |

| | |
|---|---|
| ⚠️ Challenges | → lack of anonymity: the Act mandates disclosing the whistleblower's identity, exposing them to retaliation; the murder of Satyendra Dubey, who reported corruption in the NHAI, shows the danger and discourages whistleblowers<br>→ weak organisational implementation: no clear guidelines or awareness, so employees hesitate to use official channels<br>→ inadequate legal safeguards: limited protection against victimisation, career setbacks, harassment, even physical harm<br>→ rising complaints show latent potential: in 2018, NSE-listed companies got over 3,500 complaints |

**SAFE** — Law Commission + 2nd ARC: Strong law protecting genuine whistleblowers in public and private sectors (extend to corporate whistleblowers exposing fraud or serious harm to public interest) · Anonymity and confidentiality · Fear removed: legal protection against victimisation, administrative safeguards against harassment and bodily harm · Encouragement: SEBI's tipping mechanism pays up to Rs 1 crore for actionable information on insider trading and assures cooperation and confidentiality. (own mnemonic)

## PREVENTION OF CORRUPTION ACT 1988 PYQ 2015 PYQ 2022

"Public servant"

→ anyone in the pay or service of govt; PSU employees; local body functionaries; judges

→ office bearers of govt-funded cooperatives; members of the Public Service Commission

→ employees of central and state universities; deemed universities via an Apex Court decision of 2020

→ anyone holding an office that requires a public duty, which includes MPs and MLAs

## PCA AMENDMENT 2018

**BRIBE** — Bribe-giving an offence · Report within 7 days (coercive) · Includes retired servants (17A) · Business activities covered · Expedited trial: 2 years, up to 4 · jail term raised from 3 to 7 years. (own mnemonic)

| Change | Detail |
|---|---|
| Giving a bribe | categorically an offence; in coercive corruption, a person who complains within 7 days of the offence is not considered guilty |
| Sec 17A | extended to retired civil servants: sanction of the appropriate authority is needed to act against them too |
| Sec 13(1)(d) | originally a public servant could be prosecuted for a decision that benefits a commercial organisation and violates public interest; this was diluted |
| Jail; trial | jail time increased from 3 years to 7 years (handout wording); trial to finish in 2 years, up to a maximum of 4 |
| Commercial activity; property | provisions for prosecution of commercial activities and for attachment or confiscation of property |

## PYQs PRINTED IN THE HANDOUT (MODULE 2 END)

| Year | Question (gist) |
|---|---|
| NEW 2024 · 15m | Citizens' Charter: landmark but short of potential; hindering factors and remedies (Ch 12) |
| NEW 2024 · 15m | Public Examination (Prevention of Unfair Means) Act 2024: aims and objects; are University/State Board exams covered? |
| 2022 · 10m | DBT scheme: progressive step but with limitations |
| 2022 · 10m | Whistleblower at risk of danger and victimisation: policy measures to strengthen protection |
| 2021 · 15m | States withholding consent to CBI is not absolute: federal character |
| 2021 · 10m | Independent, empowered social audit in every sphere of public service, incl. judiciary |
| 2020 · 10m | RTI amendments: impact on autonomy of Information Commission (Ch 13) |
| 2019 · 10m | "Non-performance of duty by a public servant is a form of corruption": agree? (150 words) |
| 2018 · 15m | Citizens' Charter: limitations and measures |
| 2016 · 12.5m | Effectiveness of government and people's participation are inter-dependent (India) |
| 2016 · 12.5m | India low in TI integrity index: legal, political, economic, social, cultural causes of decline in public morality |
| 2015 · 12.5m | If the Whistleblowers Act amendment bill is passed, there may be no one left to protect: evaluate |
| 2015 · 12.5m | Satyam scandal (2009): changes in corporate governance for transparency and accountability |
| 2014 · 10m | Poverty leads to corruption, yet the affluent corrupt too: basic causes, with examples |
| 2013 · 10m | Charters formulated but no improvement in satisfaction: analyse (10m); "A national Lokpal, however strong, cannot resolve immorality in public affairs": discuss (10m) |

## Recall drill: cover and answer

| | | | |
|---|---|---|---|
| Anonymous complaints | not entertained | Frivolous complaint | 2 years jail |
| Satyendra Dubey | NHAI whistleblower, murdered | PCA 2018 jail; trial | jail raised from 3 to 7 years; trial 2 years (max 4) |
| Coercive bribe report | within 7 days | | |

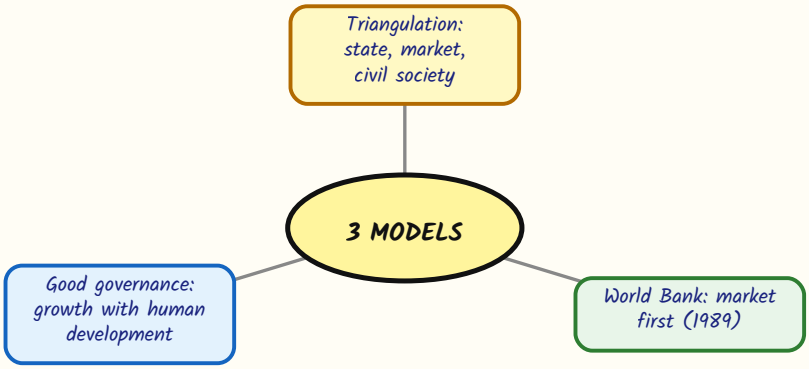
# ⚖ GOVERNANCE & GOOD GOVERNANCE ⚖

PYQ none quoted in the handout (2016 PYQ on effectiveness and participation sits with Ch II) · Handout GEG pp. 3–6

✎ *Governance = delivery of goods and services by state, market and civil society together. Good governance adds a purpose: fair, accountable, inclusive, sustainable. Know the three models and the frameworks (UNDP, DARPG, 4Es, WGI, GGI).*

Governance = comprehensive delivery of goods and services. It has an inverse relationship with research: the more research on it, the more ambiguous it gets; so our understanding of governance and good governance has become more confused instead of more refined. Researchers agree on three basic meanings/models. 💡

## THREE MODELS OF GOVERNANCE




**Triangulation (network / third-party governance)**

→ governance as a process is untied from the apron strings of government and placed in the middle of society: market and civil society also contribute, not only the State

→ State = 1st party, market = 2nd, civil society = 3rd

→ not in isolation but in combinations: State + market, market + civil society, or all three; e.g. State makes policy, market implements, credible NGO evaluates, feedback improves policy

**🌐 World Bank model**

→ based on market ascendancy; first elaborated in a World Bank paper on Sub-Saharan Africa, 1989

→ premise: market plays the dominant role, government a facilitatory or peripheral one, civil society is marginalised; market is the key entity around which world societies should be organised

→ good governance = exercise of political power to manage a country's resources efficiently

→ features: accountability to market (predictable policy, lower deficit) · transparency for business (ease of doing business) · empowerment by e-gov and m-gov, not rights · participation as producer and consumer, not citizen

Critique: such a perspective would substitute politics with management: "a democracy without politics and citizenship without rights" = a kind of soft authoritarianism. ⭐

## 🗺️ STATE vs MARKET

**⚠️ Market problems**

→ consumers vs citizens: market responds to those able to pay (user-pays principle); government always responds to citizens

→ market avoids loss-making ventures; government sees them as part of socio-economic justice (train to a remote area, bank branches in remote areas)

→ market failure: 2008 financial crisis caused by unregulated markets, esp. financial institutions

→ crony capitalism: business houses bribe their way into favourable policy and distort the level playing field

→ environment: profit-oriented, degrades if not regulated

→ not all State activity can be outsourced: external affairs, defence management, law and order

**🗺️ Strong market needs strong state**

→ manage public order
→ manage social conflict
→ level playing field
→ sanctity of contract

📌 Decentring the State and replacing it with the market: the real issue is replacing the "bourgeoisie-feudal-bureaucratic" state with a genuine democratic state.

## GOOD GOVERNANCE MODEL

Good governance model = an environment that enables all to live fulfilling, healthy, innovative and productive lives, i.e. democratic growth with human development. 💡

📌 SMART – Teacher's: Simple · Moral · Accountable · Responsive · Transparent government.

**💡 Features**

→ social justice
→ rule of law with equitable access to justice
→ SMART government
→ space for community organisations
→ empowered local bodies
→ sustainable development
→ socially responsible market economy
→ popular participation.

**3S-CLMP-R** — Features of good governance: 3 S = Social justice · SMART government · Sustainable development; CLMP = Community space · Local bodies · Market (socially responsible) · Participation; R = Rule of law. (own mnemonic)

| UNDP characteristic (8) | Meaning | Indian example |
|---|---|---|
| Participation | citizens take part in decision-making and monitoring | MyGov, Gram Sabha, social audits |
| Consensus orientation | different interests reconciled for collective welfare | Inter-State Council, NITI Aayog Governing Council |
| 📜 Rule of law | fair, impartial enforcement of laws | IBC 2016; Fugitive Economic Offenders Act 2018 |
| Transparency | open decision-making, access to information | RTI Act 2005; Sec 4 proactive disclosure |
| Responsiveness | institutions respond to public needs within reasonable time | PRAGATI, CPGRAMS |
| Accountability | decision-makers answer for their actions | CAG audits, Lokpal, social audits |
| Effectiveness and efficiency | optimal use of resources and time | DBT, ONDC |
| Equity and inclusiveness | opportunities and benefits reach marginalised groups | Nari Shakti Vandan Adhiniyam 2023; Aspirational Districts |

**PCR TARE** — UNDP eight: Participation · Consensus · Rule of law · Transparency · Accountability · Responsiveness · Effectiveness-efficiency · Equity-inclusiveness. (own mnemonic)

DARPG (Dept of Administrative Reforms and Public Grievances) categorises Indian governance into five working dimensions: a basis for understanding governance performance.

| DARPG dimension (5) | Focus and example |
|---|---|
| Political | public participation, conduct of political actors, citizen trust; devolution under 73rd and 74th Amendments |
| Legal and Judicial | rule of law, access to justice, human rights; fast-track courts, e-Courts Mission Mode Project |
| Administrative | efficient, transparent service delivery; RTI Act 2005, e-governance |
| Economic | macroeconomic stability, regulation, ease of doing business; IBC 2016 |
| Social and Environmental | welfare of vulnerable groups, sustainability; POSHAN, Ecologically Sensitive Zones |

**PLAES** — DARPG five: Political · Legal-judicial · Administrative · Economic · Social-environmental. (own mnemonic)

4Es (teacher's)

- → Ethics (honesty, integrity)
- → Efficiency (results, least waste)
- → Equity (fair opportunities)
- → Ethos (public-service values, citizen-centric).

## 👥 CONSTITUTIONAL VISION

No phrase "good governance", but the base is there

→ **Preamble:** justice, liberty, equality, fraternity as guiding values of governance
→ **DPSP:** Arts 38, 39, 41, 47 promote social welfare, reduction of inequalities, better living standards
→ **FRs:** Arts 14, 19, 21 protect equality, freedom of expression, life and personal liberty
→ **Art 50:** separation of judiciary from executive strengthens judicial independence
→ **Parts IX and IXA:** constitutional status to Panchayats and Municipalities: democratic decentralisation

**Judicial contributions:** **Vineet Narain v UoI 1997** (strengthened institutional accountability and independence of investigative agencies) · **Anjali Bhardwaj v UoI 2019** (timely appointments to Information Commissions, to protect effective functioning of the RTI framework).

## INDICES OF GOVERNANCE

| Index | By | Handout position |
|---|---|---|
| WGI | World Bank | six governance dimensions across countries; India relatively better in Government Effectiveness than Voice and Accountability |
| CPI | Transparency International | perceived public-sector corruption; **96th of 180** (2024), score 38 |
| GGI | DARPG | State and UT performance across 10 sectors, 58 indicators; GGI 2020-21 (Group A) led by Gujarat, Maharashtra, Goa |
| SDG India Index | NITI Aayog | State/UT performance on SDGs; 2023-24: Kerala and Uttarakhand joint top |

WGI six

→ Voice and Accountability
→ Political Stability and Absence of Violence
→ Government Effectiveness
→ Regulatory Quality
→ Rule of Law
→ Control of Corruption. **GGI:** launched by DARPG on **25 Dec 2019**. Objective: assess governance across States and UTs and promote competitive improvement; **10 sectors**, measurable indicators; encourages evidence-based policymaking, administrative reforms, transparency, outcome-oriented governance.

**VP GRRC** — World Bank WGI six, handout order: Voice and accountability · Political stability · Government effectiveness · Regulatory quality · Rule of law · Control of corruption. (own mnemonic)

**Check:** the CPI rank "96th" was split across a line break in the handout (reads "9 … 6th"). I read it as 96th; please confirm.

## Recall drill: cover and answer

| | | | |
|---|---|---|---|
| Three models | triangulation, World Bank, good governance | Triangulation parties | state 1st, market 2nd, civil society 3rd |
| World Bank model paper | Sub-Saharan Africa, 1989 | SMART | Simple, Moral, Accountable, Responsive, Transparent |
| GGI launch | 25 Dec 2019 by DARPG; 10 sectors | | |

# PEOPLE'S PARTICIPATION & LOCAL SELF-GOVERNMENT

PYQ none quoted in the handout · Handout GEG pp. 7-9

✎ *Participation goes beyond voting: people shape and watch the work. It needs social capital, equality and strong local bodies, and it is blocked by caste, class, gender and powerlessness.*

Participation goes beyond voting. A person feels liberated when his issues truly get addressed by the authorities responsible: he then truly participates (e.g. Mohalla committees), and people's participation becomes the mainstream paradigm of governance, "almost a re-birth of society". The right to participate should be a fundamental right, especially in aspects of governance affecting citizens' daily lives. ⭐

**Benefits**

→ more information; check fit with ground reality; less policy failure
→ social acceptance and ownership; sustainable projects
→ two-way learning: government learns from people, people learn technical aspects from government; with time government's responsibility for the project falls and people's involvement rises
→ capacity building; vigilance, less pilferage and corruption
→ community feeling, social capital; volunteer resources

**Pre-requisites**

→ a basic, rudimentary level of social capital before participation can even start
→ equality of wealth and power widens the social base of participation
→ institutional environment: local self-government
→ procedural reforms to involve people

**Barriers**

→ caste: upper castes dominate
→ class: landed control
→ gender: male-dominated Gram Sabhas
→ powerlessness: people must be prepared to participate, not just asked
→ low capacity: basic education, awareness of rights and legal framework
→ political: lack of decentralisation

📌 **CCG LPC** — Barriers: Caste · Class · Gender · Lack of motivation · Political constraints · Capacity gap. (own mnemonic)

## URBAN LOCAL BODIES

74th Amendment ULBs: critical to democratic decentralisation, but constrained by inadequate devolution of 3Fs: functions, finances, functionaries. Municipal own revenue below 1% of GDP (RBI 2024) vs South Africa ~6%. State dependence: States retain control over municipal finances and functionaries, diluting autonomy. Capacity deficit: administrative, technological and human-resource. 💡

**🔧 Reforms**

→ Empower State Finance Commissions: constitutional mandate for timely reports, transparent devolution formula, monitoring (2nd ARC, 13th FC)
→ Functional autonomy: Model Municipal Law for urban planning, water supply, sanitation, public health
→ e-municipality; GIS revenue mapping (BBMP Bengaluru)

→ fiscal powers: municipal bonds, user fees, property-tax reform (geo-spatial mapping in Pune, Hyderabad raised tax base by 40%)
→ institutionalise Ward Committees and Area Sabhas as mandated under 74th Amendment for participatory planning
→ integrated urban data platforms

| Best practice | Detail |
|---|---|
| Ahmedabad Municipal Corporation | pioneered India's first municipal bonds, 1998: model for infrastructure financing |
| Pune Smart Governance | GIS-enabled property tax: 35% increase in revenue |
| Delhi Mohalla Sabhas | pilot ward participatory budgeting; needs scale and legal backing |

## GRAM SABHAS

73rd Amendment: Gram Sabhas are the foundation of grassroots democracy but under-used: poor attendance (often below 15% in many states, MoPR survey 2023), bureaucratic dominance, resolutions seen as recommendatory, not binding (no statutory enforcement); PRIs lack training in participatory planning, budgeting and social auditing. ⭐

🔧 Way forward

→ statutory backing to Gram Sabha resolutions, esp. in planning and social audits of schemes like MGNREGA
→ e-GramSwaraj to track attendance, decisions and follow-up
→ reserved discussion slots for women, SC/ST, SHG members in every meeting (Kerala People's Plan Campaign)
→ mandate Gram Sabha-led social audits: downward accountability
→ Panchayat Resource Centres to train PRI functionaries on participatory tools

| Practice / report | Detail |
|---|---|
| Jharkhand Social Audit Unit | institutionalised Gram Sabha-led MGNREGA audits; exposed over Rs 18 crore irregularities |
| Kerala People's Plan Campaign | Gram Sabhas formulated local development plans (rural development index recognition) |
| Chhattisgarh Jan-Chaupal | Gram Sabha-level grievance redressal and planning forums; better local responsiveness |
| 💰 13th Finance Commission | performance-linked grants for PRIs, linking funds to Gram Sabha functionality |
| 🗳️ Bhuria Committee 1995 | recommended Gram Sabha's pivotal role in tribal self-governance |
| 🆕 MoPR 2024 | flagged irregular Gram Sabha functioning in 60% of surveyed villages |

## MINIMUM GOVERNMENT, MAXIMUM GOVERNANCE

Not essentially less bureaucracy but a better bureaucracy.

→ Components: do away with crippling regulations
→ reduce bureaucrats' discretionary powers
→ goals over rules
→ effective facilitation of business and civil society organisations
→ effective accountability mechanism. Steps: self-certification in place of gazetted-officer certification
→ drive to identify obsolete rules
→ labour-law amendments to reduce inspector raj, benchmarking best practices for industrial clearances
→ single window (ends inter-departmental wrangling)
→ introduction of e-governance.

Link · Saarthi IAS CA (verify) Low Gram Sabha participation (NIRDPR study) is covered in Chapter 16: barriers, elite capture and ARC-II suggestions.

## Recall drill: cover and answer

| | | | |
|---|---|---|---|
| Beyond voting example | Mohalla committees | 3Fs of ULBs | functions, finances, functionaries |
| Municipal revenue | below 1% of GDP (RBI 2024) | First municipal bond | Ahmedabad, 1998 |
| Gram Sabha attendance | below 15% in many states (MoPR 2023) | | |

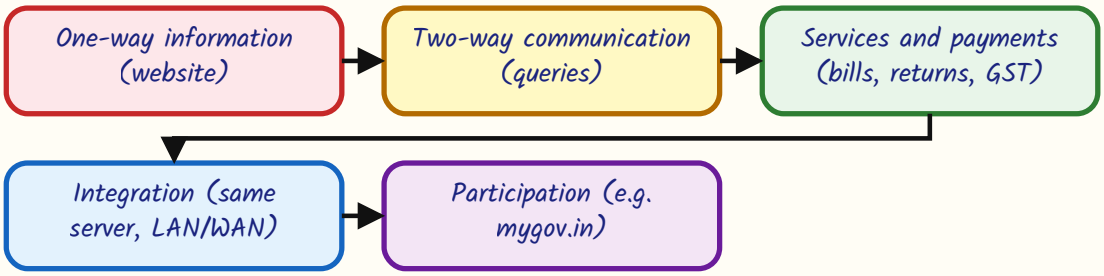
# E-GOVERNANCE

PYQ Mains 2025 · 2024 · 2023 · 2021 · 2020* · 2019 · 2018 · 2013 · Handout GEG pp. 9-14

✎ *E-government digitises the government's own work. E-governance uses ICT to deliver services through state, market and civil society together. Learn stages, four models, ten benefits, and the issues (divide, trust, no re-engineering).*

| E-Government | E-Governance |
|---|---|
| 💰 a more efficient form of government made possible by increasing, extensive use of ICT to manage its own internal processes | based on the triangulation model (state–market–civil society): comprehensive delivery of public goods and services exploiting the synergies between the three, with ICT as the platform |

## 📝 FIVE STAGES (in order)




📝 Stages in detail

→ 1 Simple information dissemination: website reaches people about programmes; one-way data transfer; most basic form

→ 2 Two-way communication: demand-driven data transfer; extra pages of information; a user unable to find information can put a query on the site

→ 3 Services and financial transactions: things people did physically (services, transactions with governmental and non-governmental entities) become digital: bill payment, filing returns, GST or income tax payment

→ 4 Integration: same server or database connects every employee vertically and horizontally in a department; extended to other departments, ministries and national–state–local governments by LAN and WAN

→ 5 Popular participation: sites designed for flow from people to government too: opinions on proposed legislation or policy (mygov.in)

## FOUR MODELS PYQ 2024

| Model | Idea |
|---|---|
| Broadcasting | without internet, information was limited; e-governance gives an exponential rise in flow of information; earlier less access meant less informed decisions, now more informed and empowered citizens |
| Critical Information Flow | critical information needed for a person's growth; farmer needs weather forecast, pesticide use, prevailing price of his produce; earlier cost money, time and energy, now one click, no travel to mandi |
| E-Mobilisation | enforces democratic rights by mobilising people virtually: physical space for assembling is limited; protest in the virtual world and pressure government; democracy-enhancing, citizen-to-citizen engagement |
| Interactive Service | improves pace and quality of services: earlier visit offices and queue for utility bills, now at the push of a button; private sector e-commerce (Amazon, Flipkart); improves B2C, B2B, G2B interactions |

**BCEI** — Four models in handout order: Broadcasting · Critical information flow · E-mobilisation · Interactive service. (own mnemonic)

## BENEFITS (ten)

**Benefits**

→ 1 Administration (overcomes historic disabilities): e-files cut delay (seconds/minutes between departments); team work (copy sent to all, immediate comments); central storage with multiple backups (Adarsh Society scam: documents destroyed); less paperwork, carbon footprint (fewer trees cut), manpower and space; so better intended finance

→ 2 Sound data management for planning and decisions: manual processing limited, computer analytics better; Vikas Darpan (Rajasthan GIS-based decision support); CPGRAMS: aggregated complaints show which departments or procedures need amendment

→ 3 Service delivery: e-FIR (Delhi); rural: land records, agriculture information (seeds, pests, weather, crop disease, prices); utility bills; policing (lost and found, e-FIR); licences, passport, ration card; Where is My Train, RailYatri; e-filing of returns; single-window ME-SEVA (Andhra), FRIENDS (Kerala: Fast, Reliable, Instant, Effective Network for Disbursement of Services)

→ 4 Lower transaction cost and end-to-end time: simultaneous processing, no department-by-department trail

→ 5 Process re-engineering: NIC support; digitisation delayed by complex procedures; rules must be simplified before digitising; status checkable even on off days

→ 6 Anytime-anywhere (24x7): status and new applications

→ 7 Transparency: corruption-prone areas lose the physical interface; transparency, accountability up, corruption down

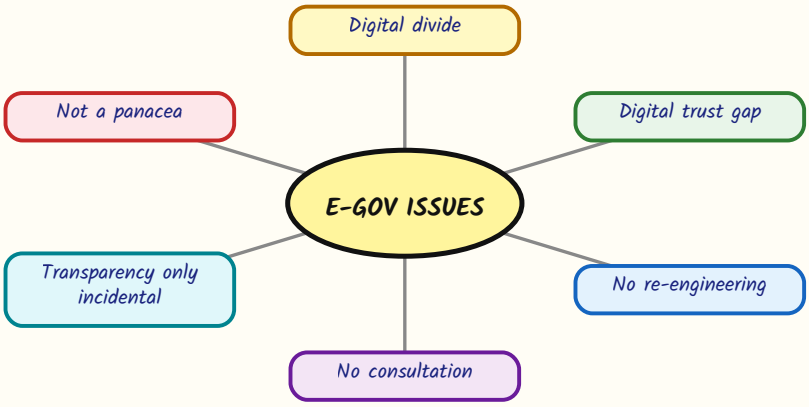
→ 8 Democracy: democratic deficit in physical space organised digitally; communities, propaganda or protest on Twitter/Facebook; citizen-to-citizen mobilisation, G2C interface, EVM

→ 9 Judicial administration: video-conferencing, judicial data grid

→ 10 Government revenue: digital payments reflect white money in banks, so taxes cannot be avoided; black money falls

## ⚠ ISSUES PYQ 2023 PYQ 2021 PYQ 2019

# WHAT HOLDS E-GOVERNANCE BACK




**Digital divide**

→ 75% of net users are in urban India
→ digital illiteracy in rural India (an illiterate person cannot use online services even with a smartphone)
→ mirrors the urban–rural divide (COVID: urban middle-class students on Zoom, rural students excluded; imbalance in education)
→ rural people miss income opportunities, telemedicine
→ elderly more vulnerable
→ inadequate vernacular content
→ last-mile connectivity still a problem.

**DIVIDE** – Digital divide: Digital illiteracy · Income and telemedicine missed · Vernacular content gap · Internet users 75% urban · Dependent elderly · End (last-mile) connectivity. (own mnemonic)

**Digital trust:** entering personal information for transactions or fee payment makes people insecure about misuse of data.

**6 C's** – Teacher's 6 C's of work plan: Content development (revise regularly, relevant to the zone) · Competence building (e.g. bank staff blame "server fault" and wait for an expert: give basic ICT training) · Connectivity, esp. rural (else only the integrated part benefits, majority left on margins) · Citizen's interface (needs phone and internet; internet costly for rural people; awareness; accessible and affordable) · Cyber laws (data protection and security; technology-agnostic; balance privacy so that productive use of technology is not compromised) · Capital (sites need revenue streams; reasonable charges, self-sustaining).

**Inadequate re-engineering:** e-governance lets government restructure and simplify procedure; if not done, procedure never gets digitised. Delay is not because of support agencies but sometimes govt lacks interest in simplifying, as the corruption point barricades digitisation.

**Narrow vision, no consultation:** services shifted from physical to digital without asking stakeholders whether it fits their needs; if consulted first and physical-world problems resolved, e-governance matches needs. **Check on corruption and transparency only incidental:** dip is automatic from removing human interface; design intervention for the twin goals of accountability and transparency.

| E-governance helps | But it cannot |
|---|---|
| 💰 smart classes, presentations, online assignments, parents' access to progress | build adequate schools with adequate teachers |

| | |
|---|---|
| manage traffic: GPS load analysis, signals, CCTV challans | care about congestion, deficit of flyovers/ underpasses, road quality |
| ⚖️ judicial data, case status, next hearing, lawyer allotment, bench | give speedy justice delivery |
| 💰 easy tax payment | ensure government accountability for development works and use of taxes |

Big data ("Data is the new oil"): with increasing data, problems arise: data security, privacy, unethical usage. ✅

| Year | PYQ (handout, with marks) |
|---|---|
| NEW 2025 (10) | E-governance projects have a built-in bias towards technology and back-end integration than user-centric designs. Examine. |
| NEW 2024 (15) | E-governance is not just routine digital technology in service delivery but multifarious interactions for transparency and accountability: evaluate the role of the 'Interactive Service Model'. |
| 2023 (10) | E-governance has ushered in effectiveness, transparency, accountability. What inadequacies hamper enhancement of these features? |
| 2021 (15) | Has digital illiteracy, particularly in rural areas, coupled with lack of ICT accessibility hindered socio-economic development? Examine with justification. |
| 2020 (10) | Fourth Industrial Revolution (Digital Revolution) has initiated e-Governance as an integral part of government. Discuss. |
| 2019 (10) | ICT-based projects usually suffer in vital factors. Identify these and suggest measures for effective implementation. |
| 2018 (10) | E-Governance is not only about new technology but the critical importance of the 'use value' of information. Explain. |
| 2013 (10) | Electronic cash transfer for welfare schemes: an ambitious project to minimise corruption, eliminate wastage and facilitate reforms. Comment. |

## Recall drill: cover and answer

| | | | |
|---|---|---|---|
| E-government vs e-governance | internal efficiency vs state-market-civil society delivery | Five stages | info, two-way, transactions, integration, participation |
| Four models | broadcasting, critical info flow, e-mobilisation, interactive service | Digital divide statistic | 75% of net users urban |
| Six C's | content, competence, connectivity, citizen interface, cyber laws, capital | | |

# 📖 DATA PROTECTION, PRIVACY & CYBERSECURITY 📖

PYQ none quoted in the handout · Handout GEG pp. 15-20

✎ *Data is the new oil, and also a liability. India moved from IT Rules 2011 → Puttaswamy 2017 → Srikrishna Committee → PDP Bill 2019 (a Bill) → Digital Personal Data Protection Act 2023 (an Act). Keep Bill and Act apart.*

India: about 800 million internet users, 400 million smartphone users, 150 exabytes of data a year (handout). Strategic asset and liability. 132 of 194 countries have data-protection frameworks. Rise of big data, tech giants and data aggregation raises privacy-breach and profiling concerns: even India's poorest are integrated through Aadhaar-linked services. The Parliamentary Committee on the PDP Bill noted data volumes expanding exponentially: opportunities and governance challenges. ⭐

🛡️ Need for protective data usage

→ harness data for growth, better public services and Atmanirbhar Bharat

→ cross-sectoral data convergence (Aadhaar, GSTN, UPI, BHUVAN) can improve policy through predictive analytics

→ but privacy and security are imperative to keep public trust while maximising economic benefit.

## ⚠ ISSUES IN THE DATA ECOSYSTEM

| | |
|---|---|
| ⚠ Issues | → **data security and privacy:** prevent misuse for commercial gain; over-regulation stifles innovation, lax control erodes public confidence; **privacy by design** while enabling economic use<br>→ **cross-border compatibility:** align with global norms so firms operating internationally face no conflict; debate: uniform across private and public sectors or sector-specific; extent of government exemptions<br>→ **medico-legal:** leaks cause not just financial loss but emotional and psychological harm: stress, depression, PTSD (Identity Theft Resource Center study); law must integrate medico-legal safeguards<br>→ **fake accounts and bots:** mimic humans, spread propaganda and misinformation (NYT: 48 million Twitter accounts fake: malicious campaigns, scams)<br>→ **social media abuse by anti-social elements:** extremist and terror outfits (ISIS recruitment); tension between privacy and national security: needs government-platform cooperation |

## DATA LOCALISATION

**Data localisation** = restrictions on cross-border data flow: local storage with regulated external access. **Hard:** absolute restriction on data leaving national borders. **Soft:** stored locally with conditional cross-border sharing. Key challenge: defining clear **purpose-specific conditions** for permissible transfers.

| | |
|---|---|
| Benefits (detail) | → **national security:** hostile nations cannot access information on our population to manipulate it<br>→ **law enforcement:** easier access for investigation; abroad it is difficult and impedes investigation<br>→ **privacy:** government can impose its own privacy rules; otherwise data flows where regulation may be lenient<br>→ **grievance redressal:** breach can be pursued in an Indian court; not feasible if breach occurs abroad<br>→ **bargaining power:** local data is an asset in deals with countries and multilateral institutions (market access, bilateral, technical and economic cooperation) |

**SLIPB** — Benefits: **S**ecurity (national) · **L**aw enforcement access · **I**ndia's own privacy rules apply · **P**rivacy grievance in Indian courts · **B**argaining power. (own mnemonic)

## LEGAL PATH (in order)

**2000 / 2011**
IT Rules 2011 under IT Act 2000 defined Reasonable Security Practices and Sensitive Personal Data Rules; inadequate against rising privacy concerns, so a comprehensive PDP Bill was needed

**2017**
Puttaswamy: Right to Privacy a Fundamental Right, so government must build a robust legal framework; Justice B.N. Srikrishna Committee formed to draft the law

**2018**
Srikrishna report laid the foundation for India's first PDP Bill

**2019**
PDP Bill 2019 (a Bill); several progressive recommendations were omitted or diluted in the final draft, leaving gaps

**2023**
DPDP Act, 2023 (an Act)

**Bill vs Act:** PDP Bill 2019 was only a Bill (handout: Departmental Standing Committee; a JPC examined it and it was withdrawn in 2022: general knowledge, verify). Law in force: DPDP Act 2023.

📜 GDPR (EU, 2018): "EU avatar" of the Indian PDP Bill

→ **informed consent:** lengthy complex online consent causes consent fatigue; terms should be simplified, shortened, understandable

→ **breach notification:** the moment data is breached, the individual must be informed immediately

→ **automated decision-making:** AI recommendation algorithms build profiles; right to opt out to prevent profiling

→ **citizen awareness:** mass citizen-engagement programme

🛡️ Principles of data protection (7)

→ **technology agnosticism:** adaptive, future-proof; avoids frequent overhauls

→ **holistic application:** private entities and government; narrow, well-defined exemptions (national security, public order, investigation) to prevent misuse of discretion

→ **informed consent:** genuine choice, not procedural formality from consent fatigue

→ **data minimisation:** collect only what is strictly necessary; purpose-limited use

→ **controlled accountability:** fiduciaries proactively use advanced security; accountable for breach under a defined framework

→ **structured enforcement:** multi-tier: company, independent regulator, tribunals, judiciary (HC, SC)

→ **deterrent penalties** as envisaged in the PDP Bill, to ensure compliance and trust

**SHARP-DD** — Principles: Structured enforcement · Holistic cover (private + govt) · Agnostic technology · Responsible fiduciary · Purpose-limited minimisation · Deterrent penalties · Data consent (informed). (own mnemonic)

# 📜 PDP BILL 2019 (provisions of the Bill)

| | |
|---|---|
| 📜 Bill provisions | → preamble: right to privacy is a fundamental right; protect personal data as a facet of privacy; collective culture for a free and fair digital economy<br>→ applies to: government, companies incorporated in India, foreign companies dealing with personal data of individuals in India<br>→ personal data: traits or attributes of identity that identify an individual; sensitive: financial, biometric, caste, religious or political belief, or other category the government specifies with the Authority and sectoral regulator<br>→ data fiduciary: entity or individual deciding means and purpose of processing; only for specific, clear, lawful purposes, within collection and storage limits; security safeguards (encryption, preventing misuse), grievance redress, age verification and parental consent for sensitive data of children<br>→ rights of data principal: confirmation of processing, correction of inaccurate/incomplete/out-of-date data, portability to another fiduciary, restrict continuing disclosure when no longer necessary or consent withdrawn<br>→ consent is the basis; no consent needed for: benefits by the State, legal proceedings, medical emergency<br>→ social media intermediaries: enable user interaction; above a notified threshold and able to affect electoral democracy or public order: voluntary user verification<br>→ Authority: protects individuals' interests, prevents misuse, ensures compliance; chair + 6 members with at least 10 years in data protection and IT; appeal to Appellate Tribunal, then Supreme Court<br>→ transfer abroad: sensitive data only with explicit consent plus conditions, and must still be stored in India; critical personal data (notified) processed only in India<br>→ exemptions: Centre can exempt its agencies (security of state, public order, sovereignty and integrity, friendly relations, preventing incitement to cognizable offences); also prevention/investigation/prosecution of offences, personal or domestic, journalistic purposes (still specific, clear, lawful, with safeguards)<br>→ penalty: violation Rs 15 crore or 4% of annual turnover, whichever higher; failure of data audit Rs 5 crore or 2%; re-identification without consent: up to 3 years, fine or both |

## 📜 DPDP ACT 2023

| Provision | Detail |
|---|---|
| Scope | digital personal data in India and extraterritorial for goods/services offered in India |
| Consent | informed and explicit |
| 👫 Children | government can lower age of consent |
| Cross-border | "blacklisting" approach, not blanket bar |
| Social media | Significant Data Fiduciaries must enable user verification |
| Exemptions | selective, for security and law enforcement |
| Enforcement | Data Protection Board of India |

**⚠️ Challenges**

→ **vague exemptions for State use:** overbroad clauses may dilute privacy and encourage misuse by agencies

→ **weak enforcement:** Board's effectiveness hinges on autonomy, resources, capacity

→ **compliance burden on innovation:** small businesses and start-ups may struggle, stifling digital innovation

→ **international data-sharing frictions:** divergence from global data standards could hinder India's global digital integration.

## 🛡️ CYBERSECURITY

**Incidents**

→ UIDAI Aadhaar data leak 2018 (alarm over citizen data privacy)

→ Kudankulam nuclear plant breach 2019 (Lazarus Group-led; escalated national-security concerns)

→ AIIMS Delhi ransomware 2022 (fragility of healthcare cybersecurity).

**Role of cybersecurity:** the backbone of India's digital economy; trust in digital governance rests on safeguarding critical infrastructure, preventing intrusions, ensuring data confidentiality: from citizen data in welfare programmes to national security. Threats: ransomware, data breaches, espionage. ⭐

**Initiatives**

→ **CERT-In:** nodal agency for cyber-threat response, under MeitY

→ **National Cyber Security Policy 2013:** strategies for securing national digital assets

→ **Cyber Swachhta Kendra:** botnet cleaning, malware mitigation

→ **ISEA programme:** cyber awareness among students and government officials

→ **Cyber Surakshit Bharat:** public-private collaboration for cyber resilience in government institutions

**🔧 Way forward**

→ expand operational capacity of CERT-In and I4C; consider a dedicated Cybersecurity Authority for critical sectors

→ enforce DPDPA 2023 (robust data governance to uphold privacy)

→ PPP innovation hubs (e.g. Infosys Cyber Defense Center for capacity building)

→ cyber education in curricula (Cyber Surakshit Bharat)

→ home-grown R&D (DRDO secure communication systems set precedent).

**PEACH** – Cyber way forward: PPP hubs · Enforce DPDPA 2023 · Authority and capacity (CERT-In, I4C, cyber authority) · Cyber education · Home-grown R&D. (own mnemonic) 📌

## Recall drill: cover and answer

| | | | |
|---|---|---|---|
| Right to privacy case | Puttaswamy 2017: Fundamental Right | Srikrishna report; first Bill | 2018; PDP Bill 2019 |
| Law now in force | DPDP Act, 2023 | Hard vs soft localisation | never leaves vs conditional sharing |
| CERT-In falls under | MeitY | | |

# EMERGING TECH IN GOVERNANCE: BLOCKCHAIN · AI · DPI

PYQ Mains 2020* (Fourth Industrial Revolution and e-governance) · Handout GEG pp. 20-24

✎ *New tools (blockchain, AI, DPI) widen what government can do, and bring risks (deepfakes, content regulation, privacy). For each: what, example, challenge, way forward.*

## BLOCKCHAIN

Promise: transparency, immutability, decentralised trust: transforming public service delivery from land records to grievance redressal. CBDC (Digital Rupee): RBI initiative to modernise digital payments and reduce cash dependency. Telangana and Maharashtra pilot blockchain for property registration and digital academic records; regulators TRAI and SEBI exploring it for transparency and efficiency.

| Case | Impact |
|---|---|
| 👫 NFTs for land mutation (West Bengal) | streamlined land ownership records; eliminated manual processes |
| Tamil Nadu Blockchain Backbone | consolidates citizen documents into a secure digital wallet for easy access and sharing |
| 📬 Firozabad grievance system (UP) | transparent complaint redressal using blockchain verification protocols |

**⚠ Challenges**

→ scalability and energy use (high computational demand slows scaling)

→ legal ambiguity: no robust legal recognition of blockchain records

→ data privacy: public chains risk exposing sensitive citizen data.

**Way**

→ comprehensive regulatory framework akin to Estonia's blockchain legal infrastructure

→ prioritise permissioned blockchains for government use

→ capacity building and sandbox projects like Dubai's Blockchain Strategy.

## 🎯 AI AND GOVERNANCE (4IR) PYQ 2020*

AI is reshaping public administration through automation, predictive analytics and efficient service delivery.

**Uses**

→ AI-led service delivery: automation reduces administrative burden; e.g. Indian Railways' "Ideal Train Profile" optimises revenue via AI analysis

→ healthcare and education: telemedicine, personalised learning; e.g. NITI Aayog cancer image databases

→ agriculture and inclusivity: AI-based pest control; Bhashini project enables language inclusivity

**National initiatives**

→ **IndiaAI Mission:** build indigenous AI infrastructure, including 10,000 GPUs
→ **BharatGen Project:** multilingual AI models for India's linguistic diversity
→ **global collaborations:** GPAI; bilateral projects like US-India AI partnership

| AI challenge | Solution |
|---|---|
| fragmented data governance | implement National Data Governance Policy; open, interoperable datasets |
| 📜 lack of AI-specific legislation | draft AI-specific regulations ensuring ethical oversight and transparency |
| skill deficits in AI workforce | expand AI training, especially in rural and underserved regions |
| 🛡️ privacy and data security concerns | enforce DPDPA effectively, focusing on data localisation and protection of sensitive information |

## DEEPFAKES

**Deepfakes** blur the line between reality and fabrication: a challenge to governance (elections, national security, public trust). **Current law:** IT Act 2000 Secs 66C, 66E, 67, 67A + IPC provisions on defamation, obscenity, forgery. **IT Rules 2021:** flagged deepfake content to be taken down within 36 hours. ⭐

**Government response and advisory (2023)**

→ directives to intermediaries for timely takedown and user education
→ engagement with stakeholders for compliance
→ future IT Rules amendments to enhance platform accountability.

**📜 Impact on governance**

→ **election misinformation:** manipulates voter perception
→ **national security threats:** fabricated military or government communications
→ **cybercrime and fraud:** scams impersonating officials
→ **erosion of public trust:** citizens cannot tell genuine from manipulated content

**Way**

→ **platform accountability:** detection tools like Microsoft's Video Authenticator
→ **blockchain-based verification** to trace media authenticity
→ **comprehensive legislation:** frame a Digital India Act addressing deepfakes, learning from international frameworks
→ **public awareness:** responsible content sharing, media literacy.

## OTT AND CONTENT REGULATION

**🏛️ Why and how**

→ **need:** explosive growth (424 million users in 2022); obscenity, lack of censorship, minors exposed to inappropriate material; cybersecurity risks: data breaches, fraud
→ **Digital Media Ethics Code:** mandatory content classification: ratings U, UA 7+, 13+, 16+, A and parental controls
→ **three-tier grievance mechanism:** publisher-level redressal, self-regulatory bodies, government oversight
→ **norm compliance:** align digital news with Press Council and Cable TV Programme Codes
→ **way forward:** fast-track DPDPA to safeguard OTT user privacy · common regulator for digital, print and broadcast (Singapore model) · age ratings and content tags in regional languages alongside English · independent audit body for content compliance and data security

# 👥 DIGITAL PUBLIC INFRASTRUCTURE (DPI)

DPI: open-source, interoperable tech platforms underpinning mass delivery of public services, designed to be scalable, inclusive and secure. India Stack: Aadhaar, UPI, DigiLocker. Also ONDC, Open Health Stack, NDEAR (education; DIKSHA). 💡

| Platform | Purpose |
|---|---|
| Aadhaar | digital identity, presenceless authentication |
| UPI | real-time interoperable payments |
| DigiLocker | paperless documents |
| ONDC | open digital commerce |
| Open Health Stack | secure health-data sharing |
| NDEAR | national digital education architecture (DIKSHA) |

## 💡 Significance

→ digital inclusion and financial access: ~80% financial inclusion in 6 years vs expected 46-year trajectory; UPI brought digital payments to rural India, widening formal credit and savings access

→ economic gain: DPI could add 2.9–4.2% of GDP by 2030, pivotal to the $8 trillion economy ambition

→ govt efficiency and innovation: CSCs extend Digital India to remote areas through local entrepreneurs

→ AP ICJS 2.0 (Interoperable Criminal Justice System): police, forensics, courts, prisons digitised with AI-powered coordination: transparency and efficiency

## ⚠️ Challenges

→ digital divide: disparity across regions, castes, socio-economic groups; 70% of rural population lacks reliable connectivity; limited devices and training

→ privacy and trust deficit: broad digital identity raises surveillance and misuse concerns; unclear redress mechanisms and absent robust legal framework erode trust

→ state capacity and institutional gaps: need strong frameworks and "intelligent customers" (state actors knowledgeable in risk and data governance)

→ implementation disparity across states: Madhya Pradesh only 0.9% schools with digital libraries vs national 6.1%

## 🔧 Way forward

→ bridge connectivity and literacy gap: National Broadband Mission 2.0 (universal rural broadband); digital literacy via CSCs and PMGDISHA-like schemes

→ institutionalise data trust: embed privacy, contestability, grievance redress from inception; procedural fairness, not just compliance

→ state capacity and hybrid institutions: become intelligent DPI customers; State-civil society collaboration

→ scale through PPP and innovation: open-source interoperable platforms; e.g. Google's investment in Indian data centres

→ DPI for new sectors: power (India Stack-like for utilities), education (DIKSHA-based NDEAR), health (Open Health Stack)

## Recall drill: cover and answer

| | | | |
|---|---|---|---|
| IT Rules 2021 takedown time | 36 hours | IndiaAI Mission GPUs | 10,000 |
| Media rating labels | U, UA 7+, 13+, 16+, A | India Stack | Aadhaar, UPI, DigiLocker |
| DPI GDP estimate | 2.9–4.2% by 2030 | | |

# CIVIL SOCIETY & NGOs

PYQ Mains 2025 (anti-State?) · 2023 · 2021 · 2016 · 2015 (NGOs and environment) · Handout CS pp. 3–9

✎ *When the state and the market both fail, people organise on their own: civil society, the third sector. NGOs are its main face. Know the features, the four generations, the roles and the problems.*

Governance has two aspects: process/institutions (state, market, NGOs, legal frameworks) and substantive content (how it addresses health, education etc.). In a welfare state like India the state is the principal problem-solving forum and its legitimacy lay in its capacity to address public issues, defining India's model until the 1991 reforms. Over time structural inefficiencies showed it could not tackle complex challenges single-handedly; post-1990s reforms shifted to market delivery; three decades on the market's exploitative tendencies and limits are evident: so civil society emerged as the third forum (inclusivity, transparency, participatory decisions).

**Why the State falls short (1st sector)**

→ overcapitalisation: too much money and reliance on the state yet inadequate benefit to people

→ good politics, bad economics: decisions not matched to actual needs

→ nanny state: over-dependence on the state

→ too much money to one forum: corruption, embezzlement, stiffening of funds, linkages

→ rule-driven bureaucracy: adherence to rules became the goal; whether ultimate goals are met was a limited concern

| Forum | Strength | Weakness |
|---|---|---|
| State (1st sector) | welfare, policy, legitimacy till 1991 | overcapitalised; nanny state; rule-driven; corruption |
| Market (2nd) | alternative delivery of goods and services | profit-driven; user-pay; exclusionary; merit goods (health, education) neglected for those who cannot pay |
| Civil society (3rd) | voluntary, collective, autonomous | no universal definition |

Civil society = people organising themselves outside state and market (NGOs may get donations from state or market but are created by people and largely outside them): an intermediate space; the "fifth estate" (after legislature, executive, judiciary and media). Voluntary (organised on the principle of voluntarism) · collective interest · autonomous · largely self-supporting · bound by shared values · citizens acting collectively in the public sphere · does not seek formal power. Political parties and media are kept out. No universally accepted definition: a mafia satisfies all the characteristics yet is not civil society. It is not society in general but organised social life: people organising around common beliefs, values, interests (NGOs, interest, advocacy, philanthropic, social-activism groups).

**Why civil society grew**

→ developmental failure of state and market

→ societal learning (skill, will to organise)

→ rise of the governance paradigm

→ societal learning: people acquire skill, will and ability to organise outside state and market

→ rejection of the instrumentalist state: state not at the centre of everything or of public-goods delivery; move from state-centric to people-centric development

→ globalisation and information age

→ colour revolutions (democratic revolutions of the 1990s in many ex-Soviet republics to topple dictators and restore democracy), Arab Spring

## 💡 COMPONENTS AND SIGNIFICANCE

**Components**

→ people-serving (general interest: Human Rights Watch, ADR) vs member-serving (pressure groups focus on their own members)

→ traditional associations: caste, religion, ethnicity, language; representative: trade, student, peasant unions

→ interest groups: SHGs, pressure groups; philanthropic (Ramakrishna Mission), advocacy (PETA)

→ socio-cultural (sports, recreational clubs); professional, typically member-serving (BCI, IMA); social movements (India Against Corruption)

→ NGOs: private, not-for-profit, voluntary, self-governing entities · CBOs: voluntary grassroots entities serving local community need

**💡 Significance**

→ supplements, complements, questions, confronts, substitutes (where government is not active) the state/market

→ advocates social change; pro-active defence of civil liberties: HRW, Amnesty, PUCL

→ strengthens transparency and accountability: ADR, Transparency International; a vigilant civil society ensures government does not deviate from its promise

→ makes de-administered, decentralised development workable

→ evaluates impact of government policies (social audits); training ground for future political leaders

→ technical support to government: CPR, IDSA, FICCI

**SAFE-SCAN** – Own anchor for significance: Supplement · Advocacy · Freedoms defended · Evaluate (audit) · Support (technical) · Control of state power · Accountability · New leaders. (own mnemonic)

## 🗺️ ANTI-STATE OR NON-STATE? PYQ 2025

Non-State, not anti-State: they operate ✅ outside the government machinery, which does not make them anti-State. Criticism is not opposition: in a functioning democracy dissent and watchdog activity strengthen the State by improving accountability. Treating all civil society as suspect weakens democracy: blanket suspicion silences the legitimately voiceless alongside the genuinely problematic actor.

The concern is not baseless, only overextended: a small number may misuse funds or work against public interest, so proportionate, transparent regulation, the kind the 2nd ARC envisaged for FCRA, is legitimate. The failure is using that concern to justify blanket restriction.

**🔧 Way forward**

→ treat non-state actors as governance partners, not adversaries (service delivery, advocacy, innovation)

→ reform FCRA toward proportionality, decentralising administration as 2nd ARC suggested, distinguishing genuine financial misconduct from politically inconvenient advocacy

→ deepen SHG 2.0, addressing rising NPAs and credit weaknesses so SHGs evolve from a subsistence tool into economic empowerment infrastructure

→ modernise cooperative governance (PACS computerisation, Model Cooperative Societies Act, Ministry of Cooperation)

→ formal consultative mechanisms for pressure groups, not street mobilisation and informal lobbying alone

→ calibrate regulation to risk: target genuine wrongdoing without a chilling effect on legitimate civic work.

## SOCIAL CAPITAL AND LEGAL BASE

Social capital = power of the collective. ⭐ Two pillars: trust and reciprocity. vs financial capital: both are productive; social capital is everywhere whereas financial capital is confined to financial institutions; social capital is unlimited and infinite, financial is finite.

| Basis | Provision |
|---|---|
| Art 19(1)(c) | right to form associations, unions, cooperatives |
| Art 43B | promote cooperatives |
| Part IX-B | cooperatives |
| Art 43B | State to promote voluntary formation, democratic and effective functioning of cooperatives |
| 🗺️ State List 32 | cooperatives; multistate cooperatives governed by central laws |
| 👫 Concurrent List 10, 28 | Entry 10 trusts; Entry 28 charities, charitable and religious endowments |

💡 NGO features

→ voluntary; initiated and governed by own members, ideally on democratic principles; autonomous from state and market

→ legal entities: trusts, cooperatives, charities, trade unions, not-for-profit companies

→ own written constitution; definite aims and objectives; proper organisational structure

→ ability to mobilise resources locally or outside; well-organised accounting/auditing; continuous evaluation of performance

→ government funding: certainty of finance; saves time and energy spent raising funds; expands scope and outreach; regular state-NGO interaction is mutually beneficial

# ⚡ ROLES AND GENERATIONS

**⚡ Role of NGOs in development**

→ **mediatory:** link between citizens and government; brings to government circles people's problems that escaped notice

→ **mobilising:** organise Gram Sabha meetings; many SHGs sponsored and developed by NGOs

→ **consultative:** think-tanks give technical inputs; leaders consulted, put on ad-hoc advisory bodies

→ **educational:** vocational training for poor to create self-employment; e.g. SEWA (early 1970s, Ela Bhatt: poor women)

→ **supplementary/complementary:** core developmental areas; last-mile connectivity; address people's trust deficit with the state through a sensitive approach

→ **leadership:** principal change agents in certain areas, eyes and ears of government (e.g. issues of sex workers)

→ **innovation:** imaginative interpretation of rules to serve public welfare; experiment until best practice, then replicated across departments

→ **efficiency:** bureaucracy is rule-driven, NGOs are goal-driven; adequate funding raises efficiency of government spending

→ also: highlight loopholes in legislative and institutional framework · enforce standards of accountability and transparency · voice of **informed dissent** through research and surveys

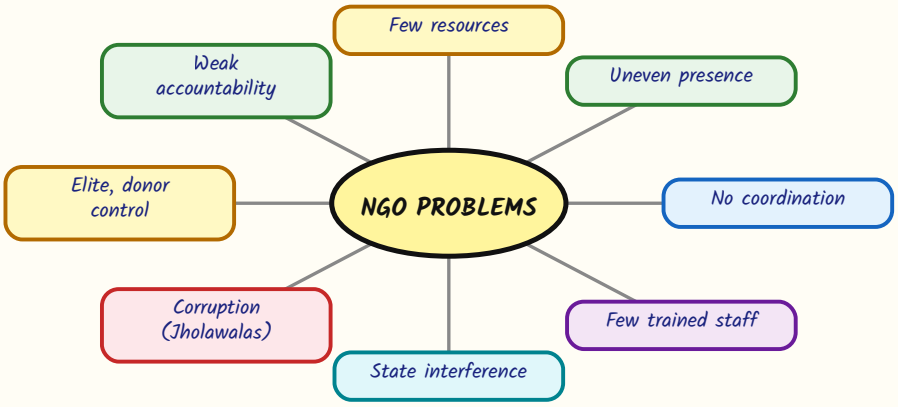
**MM CESIE** – Roles: Mediatory · Mobilising · Consultative · Educational · Supplementary · Innovation · Efficiency (plus leadership, loopholes, accountability, informed dissent). (own mnemonic)

| Generation | Problem seen | Scope |
|---|---|---|
| 🧍‍♂️ 1st relief and welfare | defined problems as **shortage** of something | bring relief and welfare to individuals or families |
| 2nd community development (began 1970s) | **local inertia:** role became mobilising and organising rather than momentary benefits | whole village or larger area, the district |
| 3rd sustainable system development | defined problems as **institutional and policy constraints**; element of **activism:** regular interaction with government, agitation, newspaper articles, media debates | region or nation as a whole |
| 4th (present) hybrid: organisations and movements | people not given an adequate **mobilising vision** for the future; doer (relief, studies, policy constraints) and on-ground activists; alternative mobilising vision for the world | national and international |

**RCDM** – Generations in order: Relief · Community · Development-system · Movement. (sequence kept) (own mnemonic)

# ⚠ PROBLEMS OF NGOs PYQ 2021 PYQ 2015

## EIGHT FRICTIONS




⚠ Problems in detail

→ **deficiency of resources:** pre-1991 closed economy and public-sector dominance limited private donations; NGOs with radical agendas became dependent on government funds, so bureaucratic interference; post-liberalisation corporate donations rose but scarcity persists

→ **uneven presence:** limited networks, absent in large parts of rural India; certain regions attract excess attention (Niyamgiri-Vedanta agitation), others neglected

→ **lack of coordination:** NGOs in similar sectors (health, education, skills) compete for donor recognition; reluctance to pool resources for fear of losing credit: duplication and wastage

→ **limited outreach/networks** reinforce uneven presence; **shortage of trained and dedicated workers** (technical and managerial expertise) hurts field effectiveness

→ **state interference:** government-funded NGOs face bureaucratic oversight; internal operations become bureaucratised and rule-driven, undermining independence

→ **corruption:** some misuse funds, money laundering, misappropriation; ex-CVC N. Vittal named "Jholawalas" (corrupt NGOs) alongside Netas, Babus, Lalas and Dadas

→ **elite domination:** reliance on corporate donors, rich elites, landlords gives donor-driven agendas, compromising grassroots autonomy

→ **accountability:** government-funded NGOs submit progress reports and audits; those raising funds from public donations or informal channels lack structured accountability, so monitoring is difficult

→ **no common governance norms:** registered under Trusts, Societies, Charitable Institutions, Not-for-Profit Companies: fragmented oversight; RWAs and SHGs not formally registered

→ **government crackdown:** in democracies with weak institutions governments see NGOs as threats for dissent and activism; regulatory scrutiny and funding restrictions on those advocating public causes

| Year | PYQ (handout, marks) |
|---|---|
| 🆕 2025 (10) | Civil Society Organisations are often perceived as anti-State actors rather than non-State actors. Do you agree? Justify. |
| 2023 (15) | Contribution of civil society groups for women's effective and meaningful participation and representation in state legislatures. |
| 2021 (15) | Can civil society and NGOs present an alternative model of public service delivery to benefit the common citizen? Discuss the challenges of this alternative model. |
| 2016 (12.5) | In the Indian governance system the role of non-state actors has been only marginal. Critically examine. |
| 2015 (12.5) | How can the role of NGOs be strengthened in India for development works relating to protection of the environment? Discuss the major constraints. |

**Recall drill: cover and answer**

| | | | |
|---|---|---|---|
| Civil society is the | third sector, "fifth estate" | Excluded from civil society | political parties and media |
| Two pillars of social capital | trust and reciprocity | Four NGO generations | relief, community, system, hybrid movement |
| Art 19(1)(c) | form associations, unions, cooperatives | | |

# FCRA · REGULATING NGOs · DONOR AGENCIES

PYQ Mains 2015 (FCRA) · 2024 (charitable trusts) · 2022 (donor agencies) · Handout CS pp. 9–12

✎ *The state has tightened control of foreign funding step by step: FCRA 1976 → FCRA 2010 → Amendment Act 2020 → an Amendment Bill 2026 that is still only a Bill. Know which are Acts and which is a Bill.*

**1976** FCRA 1976 enacted by Indira Gandhi amid declared suspicion that foreign interests were trying to influence or destabilise India

**1982** Kudal Commission appointed to investigate activities and foreign funding of certain voluntary organisations; report not placed in public domain

**2010** FCRA, 2010 main framework (MHA)

**2013** Lokpal Act 2013: NGOs receiving substantial foreign contributions fall within Lokpal's jurisdiction, strengthening accountability over foreign funds

**2014** media reports cited a leaked Intelligence Bureau report alleging some foreign-funded NGOs mobilised opposition to projects on nuclear energy, mining, GM crops and industrial development: Kudankulam, uranium mining, POSCO, Vedanta

**2020** FCRA (Amendment) Act, 2020

**2022** Noel Harper v UoI upholds 2020 provisions

**2026** FCRA Amendment Bill, 2026: still a Bill, with a JPC

**Act vs Bill:** FCRA 1976, 2010 and the 2020 Amendment are **Acts**. The 2026 measure is a **Bill referred to a Joint Parliamentary Committee**, so it is not law yet (handout wording).

## FCRA, 2010

**FCRA 2010 (MHA)**

→ regulates receipt and utilisation of foreign contribution by individuals, associations, NGOs, trusts and other entities; administered by MHA

→ two routes: Registration (fixed period, subject to renewal) and Prior Permission (specific purpose and specific foreign source, generally for organisations without regular FCRA registration)

→ allowed fields: cultural, economic, educational, religious, social

→ barred recipients: political parties, election candidates, public servants, organisations of a political nature

→ MHA can suspend or cancel; annual returns and accounts

**⚠️ Concerns**

→ complex registration and renewal

→ vague "political nature"

→ suspension and cancellation

→ compliance load

→ admin spend cut by 2020. FCRA Rules: office-bearers declare on religious conversion, sedition, violence; foreign hospitality covered.

| FCRA (Amendment) Act, 2020 | Change |
|---|---|
| Public servants | cannot receive foreign contribution |
| Transfer | cannot pass it to another person or entity |
| Administrative expenditure | 50% → 20% |
| 🚪 Suspension | maximum 180 → 360 days |
| Aadhaar | mandatory for key office-bearers |
| Account | first into designated FCRA account, SBI New Delhi Main Branch |

**PTAS-AD** – 2020 changes: Public servants barred · Transfer barred · Admin cap 20% · Suspension 360 days · Aadhaar · Designated SBI account. (own mnemonic)

Noel Harper v Union of India (2022): SC upheld the major 2020 provisions; receiving foreign contribution is not an absolute right. ✅

## 📜 FCRA AMENDMENT BILL, 2026 (referred to JPC)

**📜 What the Bill proposes**

→ certificate ceases if not renewed, no application made, or renewal rejected

→ Designated Authority for vesting, supervision, management and disposal of foreign contributions and assets created from them after registration ends

→ provisional vesting: assets temporarily in custody, restored if registration revived; permanent vesting: if not restored, assets may vest permanently in the Authority, be used for public purposes, disposal proceeds credited to Consolidated Fund of India

→ prior-permission funds must be received and utilised within the prescribed period; Designated Authority must preserve religious character of places of worship, cannot convert or repurpose them

→ maximum imprisonment for specified offences reduced to one year from five; prior approval of the Central Government before initiating investigation for offences under the Act

**Significance**

→ closes a legal gap (framework for assets when certificate expires or is not renewed)

→ prevents regulatory avoidance (cannot escape scrutiny by letting registration lapse)

→ protects foreign-funded assets for public purpose

→ transparency and anti-money-laundering compliance

→ decriminalisation (reduced imprisonment shows a trust-based regulatory approach).

**Concerns**

→ disproportionate consequence: even procedural lapses may cost assets

→ retrospective impact: earlier assets may stay subject to vesting even if the organisation now functions on domestic funds

→ differential treatment of registered vs prior-permission organisations

→ due process: no clear hearing or appeal against denial of renewal, more executive discretion

→ centralisation: prior Central approval for investigation raises institutional-independence concerns.

**PACT-D** – Why the 2026 Bill matters: Prevents avoidance · Assets protected · Closes the legal gap · Transparency and anti-money-laundering · Decriminalisation. (own mnemonic)

**Balance and way forward**

→ regulate to stop laundering, foreign political influence, diversion and security threats, but keep space for health, education, environment, relief. Give a statutory appeal

→ judicial safeguards before permanent vesting

→ clean exit from FCRA without forfeiture of legitimate assets

→ real-time digital disclosure on the FCRA portal

→ proportionate treatment of technical lapses. Conclusion: stronger executive power needs due process, proportionality and transparency.

## CAN CIVIL SOCIETY REPLACE THE STATE? PYQ 2016

**State functions not to outsource**

→ defence; public order; external affairs

→ larger societal problems neither civil society nor market can handle: population-control policy, comprehensive national policies, broad problems like communalism and casteism

→ symbolic functions (regularly celebrating Republic Day, Independence Day)

→ framing monetary, fiscal, EXIM, industrial policies

→ Verdict: civil society can be one alternative problem-solving forum, but not a complete substitute for the state or the market

## DONOR AGENCIES PYQ 2022

Donor agencies are now significant players in financing India's development projects; resources and expertise are valuable, but excessive reliance may undermine community ownership and grassroots participation in setting priorities.

| | |
|---|---|
| 🫂 Against dependence | → reduced community ownership: projects look externally driven, alienate locals (Narmada Dam protests)<br>→ top-down imposition: global narratives over local realities (World Bank ICDS support faced local adaptability challenges)<br>→ bureaucratic complications: donor procedural norms, audits, reporting burden local agencies (MNREGA reporting delays from donor-linked processes)<br>→ weakened accountability: external steering bypasses national oversight, less transparency to locals and democratic institutions |
| For involvement | → capacity building: training and technical inputs (UNDP water management, rural India)<br>→ participatory planning: community engagement in design and monitoring (ADB Urban Climate Fund)<br>→ local knowledge: partnerships amplify indigenous experience (Sweden-SEWA boosted women's livelihoods)<br>→ global best practice: benchmarks in transparency, gender inclusivity, environmental safeguards |

| Year | PYQ (handout, marks) |
|---|---|
| 2015 (12.5) | Examine critically the recent changes in the rules governing foreign funding of NGOs under the FCRA, 1976. |
| 🆕 2024 (10) | Public charitable trusts have the potential to make India's development more inclusive as they relate to certain vital public issues. Comment. |
| 2022 (15) | Do you agree that increasing dependence on donor agencies for development reduces the importance of community participation in the development process? Justify. |

**Recall drill: cover and answer**

| | | | |
|---|---|---|---|
| FCRA 1976 enacted by | Indira Gandhi government | Admin expenditure cap (2020) | 50% → 20% |
| Max suspension (2020) | 180 → 360 days | FCRA 2026 status | Bill with a JPC, not yet an Act |
| Noel Harper (2022) | foreign contribution not an absolute right | | |

# SELF-HELP GROUPS (SHGs)

PYQ Mains 2021 · 2020 · 2017 · 2015 · 2014 · 2013 · Handout CS pp. 12-17

✎ *An SHG is a small informal savings group, mostly rural women, that lends from its own corpus and later links to a bank. Social capital replaces collateral. NABARD started the bank-linkage programme in 1992.*

| | |
|---|---|
| SHG | → principally a rural women's movement (not only women-specific; some include men)<br>→ small, informal associations, not legally registered, not legal entities<br>→ largely poor women, preferably of similar socio-economic background<br>→ ideal size 10-20. Each must save regularly (weekly)<br>→ a weekly loan corpus is created and lent to members for income-generating ventures, vulnerabilities, productive needs. A savings-led microfinance model to improve earnings and savings and build an economic |

base to escape poverty, on self-help and collective responsibility: loans carry no security (poor rural women lack the collateral financial institutions demand)
→ repaid because of collective responsibility and peer pressure.

Bank link: when an SHG matures it is linked to a bank: it deposits its collective corpus, earns interest, and can avail a larger loan. Banks normally follow a 1:4 deposit-to-credit ratio (SHG depositing Rs 10,000 a month as corpus is eligible for four times that as loan).

| Type | How it works |
|---|---|
| ROSCA (Rotating Savings and Credit Association) | like the urban kitty/committee: each month or week savings pooled; corpus given to one member (name picked by draw of lots); rotates till the last member is selected, then the cycle repeats |
| ASCA (Accumulated Savings and Credit Association) | no rotation; accumulated corpus from regular periodic savings; loans to those who need, on collective decision and joint approval |

## SHG-BANK LINKAGE (SHG-BLP)

**SHG-BLP**

→ NABARD, 1992 started the SHG Bank Linkage Programme; principal self-help promoting agency in the country; mature SHGs get linked to banks
→ Microfinance SHGs: set up by financial institutions
→ Microfinance Plus SHGs: set up by government agencies and NGOs, with wider development aims
→ SHPIs: NABARD, RRBs, SCBs, NGOs, government agencies
→ 100+ million households covered; 84%+ SHGs are women's: movement largely driven by rural poor women

**Panchsutras (Panchsheel)**

→ if SHGs follow these they are of very good quality and banks are willing to lend: regular savings
→ regular internal lending
→ regular repayment of loans
→ regular meetings
→ regular books of accounts.

S-I-R-M-B — Teacher's Panchsutra (five regulars): Savings · Internal lending · Repayment · Meetings · Books of account. (initials are my aid; the five points are the handout's) (own mnemonic)

**NABARD tools**

→ Joint Liability Group: the whole group collectively takes responsibility for repaying the loan even if only a small part was lent to one member; introduced by NABARD 2005-06; best done by organising women of similar skills into affinity SHGs and developing enterprises for all (each like a shareholder; bank loan goes to the whole enterprise)
→ NABFINS (NABARD Financial Services Ltd): to evolve into an ideal MFI, setting governance standards among MFIs, a model for how to approach SHGs especially loaning
→ microfinance development programmes: skill development if members lack skills; improve skills or optimise production if they have them
→ Livelihood and Enterprise Development: livelihood promotion in clusters of 15-30 SHGs in contiguous villages (one SHG's product can be input for another); handholding 3-6 months (representatives explain the value chain); affinity groups; end-to-end support

→ DAY-NRLM: mission aims to bring at least one woman from each identified poor rural household into SHGs; special emphasis on the most vulnerable: manual scavengers, disabled, PVTGs, bonded labour, victims of sexual offences

## BENEFITS AND IMPACT PYQ 2021 PYQ 2020

**Benefits**

→ financial inclusion: perhaps the best model for extending microfinance: savings, credit, insurance

→ physical capital replaced by social capital: poor lack physical collateral; SHGs need none

→ capability approach (not dole, due or rights): strengthens capacity and autonomy to make the choices people want in life

→ social and economic transformation of women: income meets life-cycle and production needs of family; social status rises; gives economic reforms a human face; declared component of GoI poverty-alleviation strategy; positive effect on demographic and social indicators

→ political empowerment: community platform; rural women attend Gram Sabha regularly, take part in panchayat elections

Dole vs Due: dole = something government gives out of generosity or political will; addresses a shortage of goods at a point in time, never on a sustaining basis. Due = government converts benefits (employment, food security: RTS, FSA) into legally enforceable rights, the Rights-Based Approach. SHG is neither: it strengthens people's capacity and so their autonomy of choice, the capability approach.

| Impact | Fact |
|---|---|
| Number | over 10 million SHGs |
| Credit | collateral-free loans of Rs 87,098 crore to 5 million SHGs (by March 2019) |
| Poverty | inculcates habit of thrift; less dependence on moneylenders; economic base to escape poverty; other studies: impact more protectional than promotional |
| Women | stronger and more empowered in mature SHGs; but patriarchy leaves women little decision-making control and many studies see limited effect on economic activity, skills; some SHGs organise community action on child marriage, child labour, liquor ban |

## ⚠ ISSUES PYQ 2014 PYQ 2013

| | |
|---|---|
| ⚠ Issues | → outreach: more successful in South India (undivided Andhra led SHG formation; Kerala got lots of government support; maybe linked to higher education); poorest of the poor left out<br>→ restrictive policies of FIs and banks: banks compel SHGs to work as suits the banks; SHGs wound up, members return to moneylenders (NABARD now gives 100% refinancing against SHG loans)<br>→ quality of management and governance: weekly meetings not held, poor attendance; book-keeping weak; membership too large, unmanageable; only leaders benefit more from loans; leadership should change periodically but does not; securing autonomy from government interference<br>→ inability to take up new productive ventures; unhealthy competition among states; inadequate micro and macro studies; capacity and skill development<br>→ rising NPAs (new concern): outstanding SHG loans Rs 423 crore (2007-08), Rs 452 crore (2018-19); expected to rise due to COVID<br>→ inequality: reduces inequality based on social gaps but may create inequality by education: better-educated women benefit more |
| 🔧 Measures | → government as facilitator, not controller (Grameen Bank)<br>→ targeted expansion in credit-deficient regions (MP, Rajasthan, North-East, to bridge regional disparity; Kenya's rural SHGs, Chamas, cut financial exclusion among women)<br>→ financial infrastructure and digital connectivity: integrate with banking networks, ICT, capacity building (AP SERP model: dedicated monitoring cells and ICT tracking performance, credit linkages, transaction histories)<br>→ urban and peri-urban SHGs for slum dwellers and urban micro-entrepreneurship (Brazil's Bolsa Familia included urban SHGs).<br>Government role example: Bangladesh's Grameen Bank showed proactive government support fosters a microfinance ecosystem. |

## 💰 SUCCESS STORIES

| SHG story | Detail |
|---|---|
| Kudumbashree (Kerala, 1997) | very successful Kerala Government SHG programme, started 1997; literally "Prosperity of Family": neighbourhood groups of women → Area Development Society (ADS) at ward level → federated into Community Development Societies (CDS) at gram panchayat or block panchayat; ~3 lakh neighbourhood groups, ~19,500 ADS, ~1,064 CDS, ~46 lakh women |
| Grihalakshmi SHG | West Singhbhum, Jharkhand; national award for best-performing SHG 2018; notable efforts to eradicate child labour locally |
| Didi ki Rasoi | Bihar; community-based canteen with quality, hygienic food; a group of women can affiliate and start their own; began with food for hospitals, now other institutions too |
| Pangi Hills brand | remote tribal area of Himachal; exotic forest products: honey, black cumin, walnuts; members earn up to Rs 2-2.5 lakh a year |
| COVID | masks, sanitisers, protective gear; instrumental in social distancing, masks, quarantine facilities, elderly care; Kudumbashree network dispelled Covid fake news on WhatsApp groups; COVID an opportunity to push digitisation as physical activity stopped |

| Year | PYQ (handout, marks) |
|---|---|
| 2021 (10) | Can the vicious cycle of gender inequality, poverty and malnutrition be broken through microfinancing of women SHGs? Explain with examples. |
| 2020 (15) | Micro-finance as an anti-poverty vaccine aimed at asset creation and income security of the rural poor: evaluate the role of SHGs in achieving the twin objectives along with empowering women in rural India. |

| | |
|---|---|
| 2017 (15) | Emergence of SHGs points to slow but steady withdrawal of the state from developmental activities: examine the role of SHGs and measures taken by GoI to promote them. |
| 2015 (12.5) | The SHG Bank Linkage Programme (SBLP), India's own innovation, has proved one of the most effective poverty alleviation and women empowerment programmes. Elucidate. |

**Recall drill: cover and answer**

| | | | |
|---|---|---|---|
| SHG ideal size | 10–20 women | SHG–BLP started | NABARD, 1992 |
| Deposit-to-credit ratio | 1:4 | JLG introduced | NABARD, 2005–06 |
| Kudumbashree started | Kerala, 1997 | | |

# PRESSURE GROUPS & LOBBYING

PYQ Mains 2026 · 2025 · 2021 · 2019 · 2017 · 2013 · Handout CS pp. 17–26

✎ *A pressure group influences government policy without trying to become the government. India has many types: social, professional, institutional, ad hoc and anomie. Learn techniques, problems and a few recent examples.*

**Pressure group**

→ hard to define (parties are sometimes included, sometimes excluded)

→ the common definition excludes political parties and covers groups wishing to influence government policies and activities while remaining apart from government. An association of people with common interests who try to achieve them by influencing government

→ helps social integration, political articulation and acts as a catalyst for change. Definition: "an organised aggregate which seeks to influence the context of governmental decisions without attempting to place its members in formal governmental capacities". Alan R. Ball: firmly part of the political process

→ reinforce or change the direction of policy but do not wish to become the government. Henry Turner: non-partisan

→ do not draft party programmes or nominate candidates. Finer: "anonymous empire". R.D. Lambert: "unofficial government". Truman (group theory): a group, on the basis of shared attitudes (the interest), makes claims on other groups for the establishment, maintenance or enhancement of behaviour implied in those attitudes.

**🏛 Genesis**

→ in existence ever since governmental machinery could deliver benefits to individuals or groups; took concrete form after the industrial revolution and rise of market economies

→ trusts and monopolies, struggle over tariffs

→ technology and agricultural skills: new problems, desires, needs, new groups

→ state took on welfare functions besides regulation: more power and discretion in state apparatus, so need to pressure it grew

→ dominant sections need State help for economic activity; weak and deprived need it for basic requirements

→ freedom of association in democracies: the basic factor

→ welfare state, socialism, positivism: pressure groups as a shield against misuse of government power

→ consequence of inadequacies of political parties in articulating demands of deprived and dominant interests

## 👫 FEATURES AND INTEREST GROUPS

### 💡 Features

→ organised on social, political, economic, religious, vocational interests; try to dominate political structure and suppress clashing groups

→ represent interests of different parts of society; vary in size and structure

→ vitality = ability to influence policy makers, law makers, implementers; influence varies (trade unions, business, professionals strong; a small ad hoc local committee can force quick policy change by mass marches)

→ modern means without renouncing old: financing parties, sponsoring close-associate candidates, getting friendly persons into executive jobs

→ change allegiance quickly; appear and disappear with conditions

→ individuals have lobbying rights but a collective approach exerts stronger pressure and consolidates similar ideas

### 👫 Pressure vs interest group

→ interest group: formed by people with shared interests, no interest in pressurising government for favourable decisions

→ pressure group: organised interest group with regular interface with government, questions or connects with it to win favourable policy

→ a group may start as an interest group and morph into a pressure group as it grows with wider objectives; terms often used interchangeably

→ inevitable in a democracy; their study is intrinsic to understanding dynamics of politics and of policy making

**Pressure groups vs political parties:** pressure groups do not participate in elections, parties do; pressure groups have a **smaller social base**, parties a larger one.

## 🎯 TYPES PYQ 2013

| Type | Example |
|---|---|
| Social or identity-based | two kinds: community service (Singh Sabha movement); mobilisation for political ends (RSS, VHP, All India Sikh Students Federation) |
| Associational / professional | peasants, trade unions, business associations; professionals: Bar Association, Indian Medical Association |
| Institutional (operate within government) | use the government machinery to pressurise government: IAS lobby, IPS lobby |
| Ad hoc | created for a specific purpose or issue; dissolve when resolved: India Against Corruption (Lokpal movement) |
| Anomie | from despair and frustration when regular grievance methods fail: spontaneous outbursts that can turn violent, destroy public property, use extra-legal means: RRB exam protests (Gaya, Patna), MAGA movement, anti-vaxxers (USA) |

**SAIAA** — Five types: Social · Associational · Institutional · Ad hoc · Anomie. (own mnemonic)

## 🎯 RECENT EXAMPLES (as given in the handout; verify dates)

| Group | Role and example |
|---|---|
| Farmers | role: MSP guarantees, fair prices, subsidies, debt relief, land rights via mass mobilisation and negotiation. Samyukt Kisan Morcha 2020–21 against three farm laws, repealed in 2021; SKM (Non-Political) and KMM Dilli Chalo 2024: legal MSP guarantee on C2+50% formula, debt waivers, pensions |
| Youth / Gen Z | role: unemployment, paper leaks, corruption, institutional accountability via social media and mass protests. Handout: Cockroach Janta Party (CJP) Jantar Mantar protests 2026 against exam irregularities; CJP activists in October 2026 on alleged electoral-roll irregularities, demanding the Chief Election Commissioner's resignation |
| 🗺️ Trade unions | role: wages, job security, conditions, pensions, collective bargaining. Central unions' nationwide strike 2025 (higher minimum wages, social security, changes to Four Labour Codes); Noida factory workers April 2026: UP raised minimum wage ~21% for unskilled workers in Noida and Ghaziabad |
| Environment | role: biodiversity, pollution control, forest rights, sustainable development. Save Aarey 2019–22 (tree-felling for Mumbai Metro car shed); Hasdeo Arand Bachao 2024 (tribals vs coal mining and forest clearance, Chhattisgarh) |
| Professional | role: professional autonomy, fair pay, ethical standards, workplace safety. IMA nationwide protests 2024 after RG Kar Medical College incident: Central Protection Act, stronger hospital security |
| Gig workers | role: fair wages, algorithmic transparency, social security, protection from arbitrary deactivation. December 2025 strikes (IFAT and others) against unsafe 10-minute delivery targets, low earnings, poor social security |

📰 *In the news · handout (verify)* The handout says sustained CJP protests contributed to the resignation of Union Education Minister Dharmendra Pradhan in July 2026. Unverified by me.

## WESTERN vs INDIAN

**Differences**

→ Western groups regarded as the "fourth organ" of government; Indian groups not yet able to play a significant role in politics

→ India and Britain: main lobbying targets are the cabinet and civil service, not Parliament; USA: Congress and its committees, rather than the President

→ Indian groups based on caste, religion, region are more powerful than business organisations

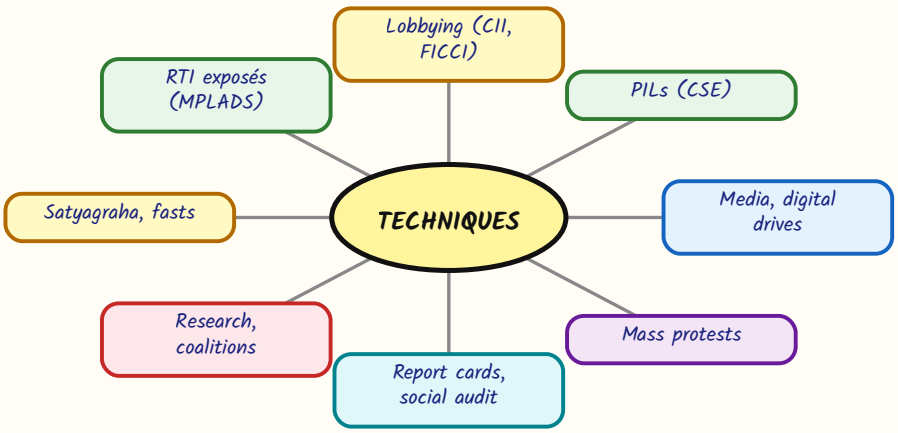
→ American groups take interest in foreign policy; Indian groups do not

## 💡 SIGNIFICANCE

| | |
|---|---|
| 💡 Significance | → channel of communication between citizens and government<br>→ broaden political participation: people join because of deep distrust between people and political parties<br>→ political socialisation: process by which people become politically active and acquire political vision, approach, values<br>→ data, inputs, information for policy (FICCI, ASSOCHAM, CII)<br>→ prevent a dominant force: countervailing groups demand opposite things<br>→ informal face of politics: mobilise and shape public opinion, question and confront government, agitation and propaganda: keep democracy alive between elections<br>→ support parties and candidates, give donations<br>→ "legislatures behind legislatures": legislators get cues on what to discuss from groups that raise issues<br>→ reservoirs of political leadership (Kejriwal from the Lokpal movement)<br>→ check arbitrary use of state power (farmers vs three farm laws); improve governance (human-rights groups)<br>→ educate people by campaigns, propaganda, reports, media debates (environmentalists against growth harmful to environment)<br>→ safety valve for grievances, preventing spontaneous outbursts<br>→ consensus building to present a united face to government (FICCI; Samyukt Kisan Morcha) |

## 👫 TECHNIQUES, LOBBYING, BEST PRACTICES

### EIGHT WAYS TO PRESSURE




| | |
|---|---|
| 🎯 Techniques in detail (with handout examples) | → lobbying and direct negotiation with policymakers, bureaucrats, legislators (CII, FICCI on tax reforms and industrial policy)<br>→ PILs for judicial intervention (CSE for air-pollution control) |

| | |
|---|---|
| | → media campaigns and opinion building (RTI activists exposing administrative opacity)<br>→ mass mobilisation: rallies, dharnas, petitions, signature drives (farmers' protests 2020–21)<br>→ social audits and citizen report cards (PAC report card reduced bribery in service delivery in Bangalore)<br>→ expert inputs and research-based advocacy: white papers, data to committees and ministries (PRS Legislative Research)<br>→ coalition building (NCPRI united civil society for the RTI Act)<br>→ strategic legal interventions: court cases, stay orders, amicus curiae<br>→ symbolic protests: satyagraha, padayatras, hunger strikes (Anna Hazare's Lokpal movement)<br>→ digital campaigns: hashtags, viral videos, petitions (#SaveAarey mobilised urban youth)<br>→ RTI-based exposes (MPLADS fund misuse)<br>→ international advocacy and moral pressure: global bodies and indices for reputational pressure |
| 🧑‍🤝‍🧑 Best practices | → PAC report card (Bangalore: citizen audits cut corruption in municipal services)<br>→ NCPRI RTI campaign (coalition success, led to the RTI Act)<br>→ #SaveAarey (Mumbai, 2019: digital activism led to policy reversal on urban deforestation)<br>→ CEHAT (research-based lobbying shaped national policy on patient rights)<br>→ Anna Hazare's Jan Lokpal movement (2011: Gandhian methods put anti-corruption on the national agenda). |
| Lobbying | → so called as big business leaders roamed the lobbies of the US Congress to influence policy. Today: formally connecting with government, regular meetings with officials and ministers, presenting the interests of the section one represents to get a favourable policy outcome<br>→ used principally by organised corporate groups, business houses, business associations. Not bad per se<br>→ in India neither legal nor illegal. Problems: (a) paid lobbyists: Nira Radia and Vaishnavi Corporate Communications (getting specific leaders placed in specific ministries)<br>→ Deepak Talwar Associates (accused of bribing civil servants)<br>→ (b) legislators as lobbyists: H.G. Mudgal disqualified from the provisional Parliament after Independence for lobbying for a private organisation (Bombay Bullion Organisation)<br>→ (c) bureaucrats, serving or retired: advising the Minister to tweak rules for certain organisations, pushing files to accommodate a private player. Santhanam Committee 1962: proper system of accreditation of lobbyists<br>→ no civil servant should interact with a representative of a business organisation or group unless fully accredited. |
| Business associations (FICCI, ASSOCHAM, CII) methods | → lobbying<br>→ political donations via electoral bonds<br>→ critical assessment of government economic policies/legislation<br>→ commissioning studies<br>→ workshops and conferences |

→ technical inputs
→ appointment to advisory/ad hoc panels
→ consensus building
→ interaction with analogous institutions abroad, like WTO.

## ⚠️ PROBLEMS AND EFFECTIVENESS

**⚠️ Problems**

→ **disproportionate influence** of some: caste and community groups, trade and peasant unions, business associations like FICCI, CII after 1991
→ **subversion of democratic institutions:** legislators and parties heavily influenced lose independent thinking
→ **unorganised interests neglected** (e.g. educational development)
→ **extra-legal methods:** bandhs, hartals, rail roko, chakka jam, destruction of public property
→ **divisive:** prevent emergence of a true national identity
→ **block progressive initiatives:** some Khap Panchayats sanction honour killings in inter-caste marriages
→ many lack transparency in internal functioning (e.g. RSS)

**Khap Panchayats:** SC 2011: a Khap advocating or sanctioning honour killing should be banned altogether under the Unlawful Activities (Prevention) Act; an officer who does not check its illegal decisions would also be penalised. As victims are generally SC/ST, the accused can also be prosecuted under the SC/ST (Prevention of Atrocities) Act, 1989. Some states like Rajasthan proposed laws against honour killing, but regular IPC provisions (e.g. Sec 302) suffice if rationally enforced. Khaps thrive on weak local bodies, judicial inadequacies, political patronage. **But** some Khaps have done consensus building and socially oriented community service.

**Effectiveness depends on**

→ **sectional** (RSS, Khap Panchayats, caste associations: more effective in India) vs **promotional** (human rights organisations, PETA)
→ **funding** (lobbying needs a lot of money)
→ **political branding** (linked to certain parties, so effectiveness depends on that party's role in government)
→ **membership** (quantity and quality)
→ **government reliance on them** (Make in India needs business associations).

**🔧 Way forward**

→ **legal recognition and regulatory framework:** absence of formal status limits legitimacy and accountability; registration and regulation akin to US and UK lobbying laws
→ **code of conduct and financial transparency:** mandatory ethics, disclose funding sources and lobbying (vital in telecom, pharma where opaque lobbying undermines trust)
→ **consultative role** in legislative committees and policy dialogues (e.g. farmers' associations in agricultural reforms and MSP)
→ **digital platforms like MyGov** to gather feedback systematically.

| Year | PYQ (handout, marks) |
|---|---|
| 🆕 2026 (15) | To what extent do pressure groups, social movements and corporate lobbies deepen pluralistic democracy in India by representing excluded interests? Analyse whether the growing convergence of corporate wealth and political power threatens the autonomy of formal democratic institutions. |
| 🆕 2025 (15) | What are environmental pressure groups? Discuss their role in raising awareness, influencing policies and advocating environmental protection in India. |
| 2021 (10) | Pressure groups play a vital role in influencing public policy making in India. Explain how the business associations contribute to public policies. |
| 2019 (10) | Methods used by farmers' organisations to influence policymakers in India and how effective are they? |
| 2017 (10) | How do pressure groups influence the Indian political process? Do you agree that informal pressure groups have emerged as more powerful than formal ones in recent years? |
| 2013 (10) | Pressure group politics is sometimes seen as the informal face of politics. Assess the structure and functioning of pressure groups in India. |

### Recall drill: cover and answer

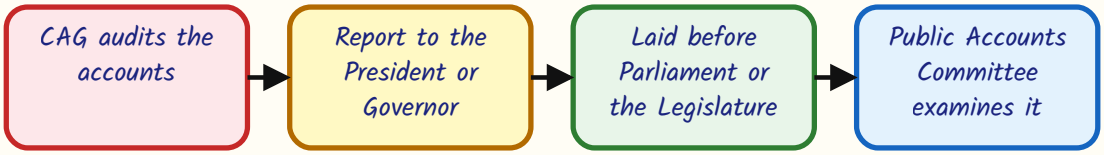
| | | | |
|---|---|---|---|
| Five types | social, associational, institutional, ad hoc, anomie | Groups vs parties | groups do not contest elections |
| Lobbying in India | neither legal nor illegal | Santhanam 1962 on lobbyists | accredit them |
| Khap ruling | SC 2011: ban honour-killing sanction | | |

## ⚖ COMPTROLLER & AUDITOR GENERAL (CAG) ⚖

PYQ Mains 2018 (appointment, terms, powers) · 2016 (Art 149; policy audit) · Handout CAG pp. 2–7

✎ *The CAG audits the spending of Union, States and bodies funded by the government, and reports to Parliament. India's CAG audits after the money is spent; the UK CAG also controls release of funds.*

### 🏛 CAG audit: how it reaches the House




Ambedkar in the Constituent Assembly: "the most important office under the Constitution"; one of the 4 pillars with SC, UPSC and Election Commission. Art 148 creates the office. Principal responsibility: audit accounts of State and Central governments spending taxpayers' money; so significant for financial accountability that it must have independence like the judiciary. Status: service conditions broadly equivalent to a Supreme Court judge, including salary and removal safeguards. ⭐

| Point | Fact |
|---|---|
| ⏳ Tenure | 6 years or until age 65, whichever is earlier, under the CAG (Duties, Powers and Conditions of Service) Act, 1971; changes require amending the Act, not the Constitution |
| ⏳ Post-retirement restriction | Art 148(4): CAG ineligible for further government office under the Union or any State |
| 🤝 Duties | prescribed under Art 149; laid down in the CAG (Duties, Powers and Conditions of Service) Act, 1971, enacted by Parliament |
| Accounts form | advises President (Art 150) |
| Net proceeds | certifies shared Union–State proceeds (Art 279) |

## ⚡ FUNCTIONS

| | |
|---|---|
| Audit and report on | → all expenditure from Consolidated Fund, Public Account, Contingency Fund of India / States / UTs with legislative assembly<br>→ trading, manufacturing accounts and profit and loss statements kept by any department of Centre, States, UTs with legislature (e.g. Railways, Posts)<br>→ receipts of Union and States: rules designed to secure an effective check on assessment and collection of revenue<br>→ stocks and stores and government inventory: ensure no pilferage<br>→ receipts and expenditure of bodies substantially financed by government; and of bodies not substantially financed when requested by the President or Governor<br>→ Public Sector Undertakings<br>→ advises the President on the form of accounts of Union and States (Art 150); certifies net proceeds shared by Union with States (Art 279)<br>→ assists the Finance Commission in a fair understanding of states' actual financial position<br>→ audits accounts of Autonomous District Councils under Schedule VI |

**CARSE** — Audit-on: Consolidated and other funds · Accounts (trading, P&L) · Receipts · Stores · Entities financed (bodies, PSUs). (own mnemonic)

## PSU AUDIT AND ACCOUNTS

| PSU type | CAG audit |
|---|---|
| 📜 Statutory corporations (special law, governed by own statute, generally government-owned; LIC, FCI, RBI) | CAG may conduct full, partial or no audit, depending on the law |
| 📜 Government companies (registered under Companies Act / joint stock; at least 51% government ownership) | audited by private auditors appointed in consultation with CAG; CAG can also do a supplementary audit over and above it |

PSUs = government-owned enterprises for commercial and economic activity outside the regular departmental structure; some set up as State monopolies in strategic sectors. Performance audit: both categories may face comprehensive performance audit through the Audit Board (introduced 1968), where applicable.

Separation of accounting and auditing: accounts are prepared by the department or undertaking; audit is by an external authority for independence and no conflict of interest. Departmentalisation of Accounts (1976): before 1976 CAG did both compilation of accounts and audit; the scheme transferred preparation and compilation of Union accounts to ministries and departments, leading to the Indian Civil Accounts Service (ICAS) and the Controller General of Accounts (CGA) under the Finance Ministry. Now: CAG primarily audits Union accounts, continuing both accounting and auditing for most States, subject to arrangements. Significance: clearer separation, stronger financial accountability and independent oversight.

## ISSUES IN WORKING PYQ 2018

**Mode of appointment**

→ no role of a broad-based committee as in NHRC, CVC, Information Commissioners; entirely at the discretion of the central government

→ UK: CAG heading the National Audit Office appointed by House of Commons resolution after agreement between PM and chair of PAC (generally an opposition member)

→ USA: Comptroller General heading GAO appointed by the President, ratified by the Senate

→ Australia: ratification and confirmation by the whole Public Accounts Committee

→ India is a member of ASOSAI and INTOSAI and should abide by their mission statement and charter so that complete independence is guaranteed; experts recommend a broad-based committee of PM, LoP in Lok Sabha and CJI for appointments like CAG, UPSC, Election Commission

**Who should be appointed**

→ experts: career auditors and accountants of the Indian Audit and Accounts Service (IAAS)

→ till date among 14 CAGs only the first three came from IAAS; of the remaining 11, 10 were retired IAS officers

→ adverse effect on morale and motivation of IAAS officers

→ conflict of interest: an IAS officer who served a department is asked to audit the same department as CAG

→ post-retirement incentive for IAS officers may lead to politicisation of civil services

→ so: encadre the post, earmarked only for IAAS members

→ Narhari Rao first CAG; K. Sanjay Murthy present (as per handout, verify)

Single vs multi-member body: experts debate making CAG multi-member like UPSC and Election Commission. But the real problem is understaffed IAAS, not single-member form: of about 250,000 auditable entities CAG effectively audits only about 60,000 a year, so more IAAS officers, ground staff and junior officers are needed. In the USA and UK too the CAG is a single-member body, with a heavier caseload than India's; no study shows a multi-member institution performs better.

## TYPES OF AUDIT

| Audit | Question it asks |
|---|---|
| Compliance (legality / statutory / transactions audit) | was money spent according to the financial law of the country? legal availability of money spent; was the mandated activity authorised by Parliament? |
| Financial | are proper books of accounts maintained; are recorded transactions a faithful representation of what actually took place? |
| Performance (includes efficiency audit) | e.g. number of schools set up under an amount, and their standards and facilities: efficiency of money spent. CAG does only performance audit/reporting, not performance evaluation; reasons for inefficiency are outside CAG's domain |
| Propriety (from "proper") | questions the wisdom and faithfulness of government spending; e.g. 2G spectrum on first-come-first-served, audited by then CAG Vinod Rai: Rs 1.76 lakh crore revenue loss. Need: it is taxpayers' money, not officials' own, so officials cannot be expected to show the caution they would with their own; major frauds and scams come to light only through propriety audit |

**CFPP** – Four audits: Compliance · Financial · Performance · Propriety. The 1971 Act does not clearly state the types of audit; Sec 23 authorises CAG to define the scope of audit. (own mnemonic)

**🧑‍🤝‍🧑 Against propriety audit**

→ **benefit of hindsight:** a decision may look unwise without the context in which it was made

→ **auditors know little of administration:** seasoned auditors lack experience of decisions under administrative circumstances

→ **red tapism:** fear of CAG, CVC, CBI makes officials keep files undecided

→ **slows development.** **Paul Appleby** (1950s, American public-administration expert): CAG oversight created fear among civil servants and delayed decisions; he even recommended **abolishing** the office.

**For**

→ CAG's role is more than tallying accounts, "which any B.Com. graduate can do"

→ supreme audit institutions worldwide do propriety audit

→ CAG should not be nit-picking, but if a **prima facie case of fraud, impropriety, irregularity** comes up, exposing it is not just his right but his **duty**

→ purpose is not fault-finding but **better financial governance**

→ instead of questioning it, **streamline internal audits** and respond proactively to audit queries

→ best potential to expose irregularities, embezzlement, bribery, fraud.

**⚖️ 2G case**

→ 2008 licences allocated on First-Come-First-Served instead of auctions

→ CAG estimated a presumptive loss of up to **Rs 1.76 lakh crore**

→ government defended low spectrum prices as promoting affordable telecom

→ **SC 2012** quashed **122** licences and directed fresh allocation by auction

→ the auction raised about **Rs 9,400 crore**, below expectations, partly due to changing market conditions and limited bidders. **CAG's jurisdiction:** normally examines policy implementation, but may question policy decisions where they involve financial irregularities, wasteful expenditure or loss to the exchequer **PYQ 2016**

## COMPTROLLER vs AUDITOR; PPPs; LOCAL BODIES

**Comptroller function:** before public money is released, verify that the expenditure has been **authorised by Parliament** and approve release of funds. **Key difference:** UK CAG exercises **pre-expenditure** control; Indian CAG audits **after** the money has been spent. 💡

| | UK | India |
|---|---|---|
| 💰 Comptroller (pre-expenditure control over release of funds) | performed | **not** performed |
| 🧑‍🤝‍🧑 Auditor (post-expenditure) | yes | yes (primary role) |

**Should CAG audit PPPs?**

→ **PPP:** government-private collaboration for infrastructure (highways, airports, ports); government gives approvals, land, support as agreed; private gives investment and expertise, develops and operates

→ **BOT:** private builds and operates for a concession period, recovers investment through tolls or user fees, then transfers to government

→ VGF: one-time or deferred government grant for economically justified but financially unviable PPP projects; 2020 VGF Scheme extended to social infrastructure (health, education, water supply, waste management)

→ question: PPPs may be largely privately financed, so what is CAG's jurisdiction? Public interest: public assets, natural resources, concessions, revenue sharing; irregularities in concession period, toll collection, revenue sharing harm public interest; so PPPs may fall in CAG purview, depending on applicable law and contract, even with private financing

→ Telecom revenue sharing: operators pay licence fees as a percentage of Adjusted Gross Revenue (AGR); underreporting or inadmissible deductions cut the government's share; AUSPI v Union of India (2014): SC upheld CAG's authority to examine private telecom operators' accounts to verify revenue-sharing payments

Local bodies (ULBs, PRIs): in some states CAG provides broad supervision and guidelines for local-body accounts and audit; it does not conduct audits as such; the broad overview is accepted by state governments principally to get the conditional grants recommended by the Finance Commission.

## WHY CAG IS WEAK: THE FAMOUS QUOTE

| "CAG is a ..." | Meaning |
|---|---|
| ⚡ prosecutor with a law that hobbles his functioning | law does not clearly indicate the audits he is to perform; does not give adequate powers to obtain documents from government; audit queries are not answered properly, yet law gives no power to act against departmental officials who refuse; so the law itself makes him shaky |
| ⚡ judge without the power to sentence | can clearly indicate a case of financial fraud but cannot punish; can only make allegations in the report to Parliament; action stays at the government's discretion; can establish guilt but not pass punishment |
| 🛡️ litigant without the right to appeal | after his report goes to Parliament and then the PAC, he has no power to question or appeal on action taken; if Parliament and government pay no heed to his report he has no power to challenge it |

Effectiveness of an audit depends on (1) system for evaluating CAG reports: by Parliament and PAC: adequate discussion time, members present. In the USA and UK the CAG is part of the legislative branch; in India independent of both legislature and executive; a long-pending reform is to make CAG part of the legislature so Parliament debates reports more seriously, holding government accountable and improving financial governance. ✅

(2) Quality of audit reports: under INTOSAI guidelines senior auditors from other countries review India's audit process and make recommendations (and Indian auditors go abroad): the peer review mechanism. First peer review of India's CAG in 2012 found around 50% of CAG's irregularity allegations were not backed by concrete evidence. ✅

| Year | PYQ (handout, marks) |
|---|---|
| 2018 (10) | The CAG has a very vital role to play. Explain how this is reflected in the method and terms of his appointment as well as the range of powers he can exercise. |
| 2016 (12.5) | Exercise of CAG's powers in relation to accounts of the Union and States is derived from Art 149. Discuss whether audit of the Government's policy implementation could amount to overstepping CAG's jurisdiction. |

## Recall drill: cover and answer

| | | | |
|---|---|---|---|
| CAG article; tenure | Art 148; 6 years or 65 | Governing Act | CAG (DPC) Act, 1971 |
| Comptroller function | UK yes; India no | CAGs from IAAS | first 3 of 14 |
| Peer review 2012 finding | ~50% allegations lacked evidence | | |

# ⚖ REGULATORY BODIES · WHY THEY ROSE · ROLE · COURTS ⚖

PYQ Mains 2015 (added outside the handout) · Handout RB pp. 2-4

✎ *After 1991 the State stopped running most sectors and started refereeing them. Independent regulators were created to keep that refereeing away from politics. Know why they rose, how far they really are free of politics, what they added, and how courts shaped them.*

**⚡ Three main functions of the State**

→ **provision of services:** many services, most **monopolistic** (police, defence)

→ **regulation:** became important **post-1991 (LPG reforms)**: before 1991 most sectors were **nationalised**, so little need for regulation (less open competition, few players); after **liberalisation and privatisation** competition and private players grew, so the need to **regulate** was felt

→ **redistribution and welfare:** socio-economic justice through welfare programmes, subsidies and redistribution, particularly for vulnerable sections

**Two forms of regulation**

→ **self-regulation:** regulators are **from that sector only** and directly involved in service provision. E.g. Bar Association of India, ICAI, News Broadcasting Standards Authority

→ **external regulation:** regulators are **outside the sector** and not directly involved in service provision

**Two types of regulatory bodies**

→ **sector-specific:** power, telecom etc. E.g. IRDA, PFRDA, TRAI, SEBI

→ **general:** regulate some aspects of **all sectors**. E.g. Competition Commission of India

## WHY INDEPENDENT REGULATORS ROSE

**Factors behind the rise of Independent Regulatory Bodies**

→ **insulate key sectors from the ups and downs of politics:** before 1991 the government held a monopoly in most sectors; regulators set up after the reforms insulate key sectors from **political interference**

→ **insulate from pressures of re-distributive justice:** services once given as redistributive justice are now also provided by **private sectors**; government control let politicians promise services at **subsidised rates for gaining votes**

→ attract **private investment including FDI**

→ increasing **technicality** of regulatory space

→ protect the **interest of consumers**; promote **fair competition** through fair rules

→ **government was itself a player** in several sectors, so not fair for it to regulate them: hence **separate independent regulators**

→ **experience gap:** with nationalisation there were very few private players, so government had no experience of regulating; after withdrawal, regulation needed **experts** of those sectors

→ create conditions conducive to the **growth of the sector**

**GIFT PRICE** — Nine factors: Government was a player · Investment (FDI) · Fair competition · Technicality · Politics insulated · Redistributive pressure insulated · Interest of consumers · Conditions for growth · Experience gap. (own mnemonic)

## ARE IRCs REALLY DEPOLITICISED?

IRCs were set up to insulate key economic sectors from political interference and ensure independent, transparent and expert-based decision-making. But their success in depoliticisation has been limited.

**Reasons for limited depoliticisation**

→ political pressure: governments still influence decisions, esp. where tariff increases and market reforms clash with electoral promises and public expectations

→ redistributive justice: regulators must balance commercial viability with social welfare, so economic regulation cannot be cleanly separated from politics

→ limited independence: government control over appointments, funding and regulatory powers

→ regulatory capture: powerful businesses influence decisions through financial resources and technical expertise

**CAPE** — Why depoliticisation is limited: Capture by business · Autonomy limited · Political pressure · Equity (redistributive justice) duties. (own mnemonic)

| Sector | What happened (handout) |
|---|---|
| ⚡ Power | Odisha Electricity Regulatory Commission (1995) set up for independent tariff regulation amid rising losses and distorted tariffs; political pressure to keep subsidised tariffs limited depoliticisation. Even after the Electricity Regulatory Commissions Act, 1998 and Electricity Act, 2003, tariff decisions and subsidies stay politically sensitive |
| Telecom (TRAI) | set up to attract private investment and ensure independent telecom regulation, but faced continuous conflicts with the Department of Telecommunications (DoT), which kept important licensing and policy powers; the 2G spectrum allocation controversy showed how politically influenced decisions can undermine independent regulation |
| ⚡ Petroleum (PNGRB) | PNGRB Act, 2006: limited powers, upstream activities outside its jurisdiction and important pricing decisions beyond its direct control: government retention of crucial powers limits a regulator even when a separate body exists |

Overall assessment: IRCs have not completely depoliticised economic regulation, as governments keep control of important policy and regulatory decisions. But they made regulatory processes more transparent, consultative and open to public scrutiny. ✅

**Critical assessment**

→ increasing regulators with limited powers: more regulators have not always come with real independence or authority

→ rationalising myth: the belief that merely creating regulators will send the right signals and attract investment fails without effective powers and institutional capacity

→ sinecure state: regulators may be used to rehabilitate retired government officers: power, money and prestige but little responsibility or work

## CONTRIBUTION OF REGULATORY BODIES

**What regulators contributed**

→ **checking elite capture:** regulators depend on **big corporates for information** to make rules; corporates may give it in ways that benefit them (**elite capture**). To counter it, regulators adopt **transparent, democratic rule-making**

→ **public participation: open hearings and comment-seeking; democratisation of regulatory space:** greater democratisation of regulatory decision-making

→ **changing political engagement:** earlier mobilisation was on **macro issues** (free power for farmers); now also **micro issues** such as different tariffs for different sectors and the location of power plants

→ **greater transparency:** an **inversion** of the original idea, as the **regulatory space itself became an arena of political contest**, but transparency has increased over time

**PEDCT** — Contributions: Public participation · Elite capture checked · Democratised space · Changed political engagement · Transparency. (own mnemonic)

## JUDICIAL INTERVENTION

**⚖️ Courts in the telecom sector**

→ **Delhi Science Forum Case (1996):** Supreme Court stressed the need for an **independent regulatory framework** in telecom

→ **2G Spectrum Case:** SC examined the **legality and transparency of spectrum allocation**

→ **TRAI and TDSAT:** judicial intervention strengthened their **regulatory role** while subjecting decisions to **scrutiny**

→ **outcome:** better **overall quality of sectoral governance**

**Historical data (2009–12 study):** effectiveness of sector regulators can be read from **appeals against their decisions before appellate bodies**. The figures reported: **telecom 62%** · **power 8%** (with interstate variations).

**PYQs on this section** Added from outside the handout (UPSC PYQ lists); question gist paraphrased, check exact wording in your PYQ book.
**Mains 2015:** independence and autonomy of regulators in light of recent experience. Use the factors behind the rise of regulators and the role of courts above, then pair with the next chapter for people, parent ministry and accountability.

## Recall drill: cover and answer

| | | | |
|---|---|---|---|
| Three functions of the State | provision of services, regulation, redistribution and welfare | Why regulation grew | post-1991 liberalisation: competition and private players |
| Self vs external regulation | from the sector vs from outside it | Sector-specific vs general regulator | IRDA, PFRDA, TRAI, SEBI vs CCI |
| Four limits on depoliticisation | political pressure, redistributive duty, limited independence, capture | Power example | Odisha ERC 1995; ERC Act 1998; Electricity Act 2003 |
| Telecom conflict | TRAI vs DoT; 2G | PNGRB Act | 2006; upstream outside its remit |
| Appeals share 2009–12 | telecom 62%, power 8% | | |

# ⚖ REGULATORS: PEOPLE · PARENT MINISTRY · ACCOUNTABILITY · CONFLICTS ⚖

PYQ Mains 2015, 2014, 2013 (added outside the handout) · Handout RB pp. 4-6

✎ *A regulator is only as independent as its members, staff, funding and links to its ministry. This chapter covers who sits on regulators, how ministry and regulator share work, how regulators are held accountable (India vs USA and UK), and where regulators fight each other.*

## HUMAN RESOURCE

**Two kinds of people in regulators: regulators and general staff**

→ regulators need two things: professional expertise and independence

→ historical findings: 90% of members had a government background (partly because officials had expertise); 49% had worked with the nodal or a related ministry before appointment, which can compromise independence; appointment and removal still depend on government discretion

**3 QUALITIES** – Seek in a regulator: Expertise · Independence (not detachment) · Ability to engage multiple players (a miniature State).

**⚠ General staff: four problems**

→ understaffing: 15–30% in regulators, including vacancies in senior positions

→ dependence on deputation: fewer permanent staff, more deputation from PSUs; experience may not be used fully because of a short period of employment

→ lack of motivation: no clear career path and adequate incentives; regulators cannot offer incentives like PSUs

→ weak employment ecosystem: regulatory space has no employment ecosystem with clear career pathways

**UDLW** – Staff woes: Understaffing 15–30% · Deputation dependence · Low motivation · Weak ecosystem. (own mnemonic)

Variations among regulators: composition, tenure, and appointment and removal processes differ. Need: a comprehensive regulatory framework and less government discretion.

## RELATIONSHIP WITH THE PARENT MINISTRY

Policy and regulation are hard to separate: it is not always clear where policymaking ends and regulation begins. ⭐

**⚡ Ministry's role**

→ set the broad policy

→ appointment and removal of regulators

→ provide funding and staff

→ provide the parliamentary interface

→ ensure vigilance against corruption and bribery

→ coordination with other regulators and ministries

→ capacity building

**PAF PVCC** – Ministry duties: Policy · Appointments · Funds and staff · Parliament interface · Vigilance · Coordination · Capacity building. (own mnemonic)

Proposal: a separate Ministry of Regulation over all regulators. Why it may not work: the ministry of a sector understands its functioning and complexities better, and a single ministry may lack expertise to supervise regulators across diverse sectors.

UK practice: regulators and parent ministries issue management statements setting annual and long-term objectives and norms for their interactions. ✅

## ACCOUNTABILITY OF REGULATORS

| Country | Accountability picture (handout) |
|---|---|
| USA | independent commissions called the fourth, headless branch of government: substantial autonomy from the executive, while congressional oversight may be limited by lack of technical expertise, raising accountability concerns |
| India | regulators work under nodal ministries: a different relation between autonomy and executive accountability. Created by statute; most have an independent appellate mechanism; accounts under CAG audit; subject to public service laws; annual reports placed before Parliament through the executive; Parliamentary Committees examine reports and depositions; no separate parliamentary committee needed, as the committee of the nodal ministry is better placed |
| UK | Corporate Plans · open meetings and consultations · affordable appeals · Regulatory Impact Assessment of regulations on the sector · information on comprehensive websites |

📝 Steps to ensure accountability

→ statutory creation: law increases accountability through parliamentary scrutiny and a legally defined framework
→ a clear mandate
→ clear definition of the relationship with Executive, Legislature and Judiciary
→ transparency in appointments, removal and decision-making
→ periodic reports
→ an independent appellate mechanism

RAPID SC – Accountability steps: Relationship defined · Appointment transparency · Periodic reports · Independent appeal · Decision transparency · Statute · Clear mandate. (own mnemonic)

## ⚠️ OTHER ISSUES AND INTER-REGULATOR CONFLICTS

⚠️ Other issues

→ regulation vs development: more focus on regulation than on development of the sector
→ strained stakeholder relations: e.g. Cellular Operators Association of India (COAI) vs TRAI
→ inadequate research: too few macro and micro studies; such studies help ministries find problems and an agenda for reform

| Conflict of jurisdiction | Issue (handout) |
|---|---|
| IRDA vs SEBI (2010) | Unit Linked Insurance Plans (ULIPs) combine insurance and investment features; the Central Government intervened to clarify jurisdiction |
| CCI vs RBI | jurisdiction over bank mergers |
| CERC vs CCI | boundary between sector-specific electricity regulation and general competition law |
| CCI vs PNGRB | competition proceedings involving public-sector oil companies: sectoral vs general regulators |

FSLRC, 2011 (Justice B.N. Srikrishna) recommended consolidating financial-sector regulation, including the merger of SEBI, FMC, IRDA and PFRDA. Result: the Forward Markets Commission (FMC) was later merged with SEBI; the other regulators remain separate. 💡

🔧 Reform requirements

→ clear jurisdiction: clear division between sectoral and general regulators

→ inter-regulatory consultation: fewer conflicting orders, uncertainty and prolonged litigation

→ independent appointments: combine professional expertise, independence and accountability

PYQs on this section Added from outside the handout (UPSC PYQ lists); question gist paraphrased, check exact wording in your PYQ book.
Mains 2015 (10 marks, 150 words): regulatory institutions must stay independent and autonomous to reach their objectives; discuss with recent experience. Skeleton: why independence matters (insulate from politics, technicality, FDI and investor trust, government itself a player) → where it falls short (members from government, parent-ministry control, staff gaps) → accountability and appeals → reforms.
Mains 2014: would a Rail Tariff Authority help consumers, Railways and private container operators? (use the power-sector regulator experience).
Mains 2013 (10 marks, 150 words): justify merging SEBI and IRDA given overlapping products. Link: the conflicts and clear-jurisdiction points in this chapter.

## Recall drill: cover and answer

| | | | |
|---|---|---|---|
| Members with government background | 90% | Members from nodal or related ministry | 49% |
| Staff shortfall in regulators | 15–30% | Three qualities sought in a regulator | expertise, independence, ability to engage many players |
| US independent commissions called | fourth, headless branch of government | UK accountability tools | Corporate Plans, open meetings, affordable appeals, RIA, websites |
| IRDA vs SEBI 2010 | ULIPs | FSLRC 2011 head | Justice B.N. Srikrishna |
| Regulator merged into SEBI | Forward Markets Commission | | |

# ⚖ FOOD SAFETY AND STANDARDS AUTHORITY OF INDIA (FSSAI) ⚖

PYQ None quoted in the handout · Handout RB pp. 6–8 · 2026 developments marked verify

✎ *FSSAI is the food regulator: it sets food standards, licenses food businesses and checks labels, working with the States. Know the Act, the ministry, the functions, the schemes, and the problems of weak enforcement and small vendors.*

| About FSSAI | Handout |
|---|---|
| Status | statutory body under the Food Safety and Standards Act, 2006 |
| Nodal ministry | Ministry of Health and Family Welfare |
| 💡 Objective | availability of safe and wholesome food for human consumption |
| Scope | food manufacturing, processing, storage, distribution, sale and import |
| Implementation | works with State Food Safety Authorities |

## ⚡ FUNCTIONS AND POWERS

**What FSSAI does**

→ **food safety standards:** science-based standards for food products, additives, contaminants and packaging
→ **licensing and registration** of **Food Business Operators (FBOs)**
→ **inspection and surveillance:** sampling, testing, surveillance and enforcement
→ **food labelling:** nutritional information, ingredients and mandatory consumer disclosures
→ **consumer protection:** misleading claims, unsafe food and violations of safety rules

**CLIPS** – FSSAI functions: Consumer protection · Labelling · Inspection · Licensing (registration) · Standards. (rearranged: no fixed order) (own mnemonic)

## INITIATIVES

| Initiative | Purpose (handout) |
|---|---|
| 🛡️ Eat Right India Movement | safe, healthy and sustainable food habits: regulatory, capacity-building and awareness measures |
| FoSCoS (Food Safety Compliance System) | digital platform for **licensing, registration, renewal and compliance** |
| FoSTaC (Food Safety Training and Certification) | **capacity building** among food handlers and businesses |
| Hygiene Rating Scheme | encourages food establishments to meet **hygiene and sanitation** standards |
| 💡 RUCO (Repurpose Used Cooking Oil) | **responsible collection and disposal or repurposing** of used cooking oil |

📰 **Recent developments, 2026 (verify dates):** **school food regulations:** draft amendment, **Aug 2026**, on definitions of food high in added fat, sugar or salt, for safe food and balanced diets for children in schools · **front-of-pack nutrition labelling:** simplified FOP information still a key regulatory issue · **pan masala packaging:** amendments notified **Aug 2026** · **food testing:** amendments notified **Sep 2026** on timelines for lab sample analysis, methods and reporting formats · **FoSCoS:** revised licensing requirements and compliance processes in 2026.

## ⚠️ SIGNIFICANCE, ISSUES, WAY FORWARD

**💡 Significance in governance**

→ **public health:** safety and quality of food
→ **consumer rights:** transparency through labelling and regulation of misleading claims
→ **preventive healthcare:** healthy diets, fewer risks from unsafe food
→ **market regulation:** common standards, fairer markets
→ **cooperative governance:** works with States, food businesses and consumers

⚠️ Issues and challenges

→ weak enforcement capacity: shortage of inspectors and testing laboratories

→ uneven State capacity: infrastructure and staffing differ

→ unorganised food sector: street vendors and small businesses face financial and technical barriers

→ misleading labelling: nutrition claims and packaging confuse consumers

→ balance: protect public health without excessive burden on smaller businesses

🔧 Way forward

→ strengthen State enforcement: laboratories, inspector capacity, risk-based surveillance

→ improve nutritional labelling: clear, evidence-based, easy to understand

→ support small food businesses: affordable training and compliance help

→ digital monitoring: FoSCoS, food traceability, data-based inspections

→ consumer participation: grievance redressal, awareness, public consultation

## Recall drill: cover and answer

| | | | |
|---|---|---|---|
| FSSAI Act | Food Safety and Standards Act, 2006 | Nodal ministry | Health and Family Welfare |
| Works with | State Food Safety Authorities | FoSCoS | digital licensing and compliance platform |
| FoSTaC | food safety training and certification | RUCO | Repurpose Used Cooking Oil |
| Core challenge | few inspectors and labs; unorganised sector | | |

# ⚖ COMPETITION COMMISSION OF INDIA (CCI) ⚖

PYQ Mains 2023, Prelims 2026 NBFC (added outside the handout) · Handout RB pp. 8-9 · 2023-24 developments and Meta case

✎ *CCI is the general regulator of markets: it stops cartels and abuse of dominance, vets big mergers, and now watches digital platforms. Know the Act, the 2023 changes, the Meta-WhatsApp penalty and the digital-market problems.*

## ⚖ CCI: how a case moves

Complaint, reference or suo motu → Director General investigates → CCI inquiry and order (penalty up to 10% of turnover) → Appeal to NCLAT, then Supreme Court

**2002**
Competition Act, 2002 creates the CCI

**2009**
CCI fully functional

**2023**
Competition (Amendment) Act, 2023: deal value threshold, faster clearance, settlement and commitments, global-turnover penalties

**2024**
CCI regulations on merger review, settlements, commitments and penalties · Meta penalty ₹213.14 crore

| About CCI | Handout |
|---|---|
| Status | statutory body under the Competition Act, 2002; fully functional in 2009 |
| Nodal ministry | Ministry of Corporate Affairs |
| 💡 Objective | prevent practices with adverse effect on competition, promote and sustain competition, protect consumers, ensure freedom of trade |
| 👥 Composition | Chairperson and not more than six other members, appointed by the Central Government |
| Appeals | to NCLAT, then the Supreme Court |

## ⚡ FUNCTIONS AND POWERS

**What CCI does**

→ anti-competitive agreements: prohibits cartels, bid rigging, price fixing and agreements causing appreciable adverse effect

→ abuse of dominant position: unfair pricing, predatory pricing, denial of market access; dominance itself is not prohibited, abuse is

→ regulation of combinations: mergers, acquisitions and amalgamations

→ investigation and enforcement: directs investigation through the Director General, imposes penalties, issues corrective directions

→ competition advocacy: opinions on policies, awareness among businesses and consumers

Remember: being dominant is legal; abusing dominance is not. ✅

## 📬 COMPETITION (AMENDMENT) ACT, 2023

| Change | Detail |
|---|---|
| Deal value threshold | combinations above ₹2,000 crore may need CCI approval where the target has substantial business operations in India |
| Faster merger clearance | maximum period cut from 210 days to 150 days |
| Settlement and commitment | faster resolution of specified cases on anti-competitive vertical agreements and abuse of dominant position |
| Penalty framework | penalties can consider global turnover |
| 🆕 Regulations (2024) | CCI regulations and guidelines on merger review, settlements, commitments and monetary penalties |

**DFSGR** – Amendment 2023: Deal value ₹2,000 cr · Faster 150 days · Settlement and commitments · Global turnover penalty · Regulations 2024. (own mnemonic)

## ⚖️ DIGITAL MARKETS AND THE META CASE

**Regulating digital markets**

→ platforms gain from network effects, large user bases and concentration of data: risk of market dominance

→ self-preferencing, tying of services, restrictions on market access raise concerns

→ the 2023 amendment strengthens control of combinations, esp. high-value digital deals with limited physical assets

📰 Meta-WhatsApp (2024, verify): CCI imposed a penalty of ₹213.14 crore on Meta for anti-competitive practices linked to WhatsApp's 2021 Privacy Policy update. The case links data collection, consumer choice and market dominance.

## ⚠️ ISSUES AND WAY FORWARD

**⚠️ Issues and challenges**

→ digital market dominance: network effects, data concentration and platform ecosystems make anti-competitive conduct hard to spot

→ regulatory overlap: CCI and sectoral regulators: jurisdictional uncertainty

→ institutional capacity: technical, legal and economic expertise for digital cases

→ enforcement delays: appeals and prolonged litigation

→ innovation vs regulation: too much intervention discourages investment; too little leads to market concentration

**🔧 Way forward**

→ strengthen digital competition regulation: rules for digital gatekeepers while protecting innovation

→ inter-regulatory coordination: consultation with sectoral regulators

→ technical capacity: digital forensics, platform economics, data analytics

→ timely enforcement: better investigation and appellate efficiency

→ promote fair competition: protect market access for MSMEs, start-ups and new entrants

📌 PYQs on this section Added from outside the handout (UPSC PYQ lists); question gist paraphrased, check exact wording in your PYQ book.
Mains 2023 (10 marks, 150 words): role of the Competition Commission of India in containing abuse of dominant position; refer to recent decisions. Use: the CCI functions and recent cases in this chapter.
Prelims 2026 (from the August 2026 current-affairs PYQ Connect): statements on NBFCs: cannot accept demand deposits; all NBFCs must be RBI-registered; can issue cheques on themselves; no DICGC cover for deposit-taking NBFCs. Likely key (own working, verify): (a) 1 and 4.

## Recall drill: cover and answer

| | | | |
|---|---|---|---|
| CCI Act; functional | 2002; 2009 | CCI nodal ministry | Ministry of Corporate Affairs |
| CCI composition | Chairperson + not more than 6 members | Appeal route | NCLAT, then Supreme Court |
| Dominance vs abuse | dominance legal; abuse prohibited | Deal value threshold 2023 | ₹2,000 crore |
| Merger clearance limit | 210 → 150 days | Penalty basis added | global turnover |
| Meta-WhatsApp 2024 | ₹213.14 crore penalty | | |